Afcons Infrastr. (AFCONS)

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Subject: Transcript of Q2 & H1 FY25 Earnings Call

Pursuant to Regulation 30 and 46 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the Transcript of the Q2 & H1 FY25 Earnings Call held on Monday , November 25, 2024 .

The aforesaid Transcript is also available on the website of the Company:
https://www.afcons.com/en/investors -meet

This is for your information and records.
Yours faithfully,
FOR AFCONS INFRASTRUCTURE LIMITED

Gaurang Parekh
Company Secretary and Compliance Officer
Membership No.: F8764
Encl: As stated above

"Afcons Infrastructure Limited
Q2 and H1 FY25 Earnings Conference Call"
November 25 , 2024

MANAGEMENT : MR. SUBRAMANIAN KRISHNAMURTHY – EXECUTIVE
VICE CHAIRMAN – AFCONS INFRASTRUCTURE
LIMITED
MR. PARAMASIVAN SRINIVASAN – MANAGING
DIRECTOR – AFCONS INFRASTRUCTURE LIMITED
MR. RAMESH JHA – CHIEF FINANCIAL OFFICER --
AFCONS INFRASTRUCTURE LIMITED
MR. HITESH SINGH – HEAD CORPORATE STRATEGY –
AFCONS INFRASTRUCTURE LIMITED

MODERATOR : MS. BHOOMIKA NAIR – DAM CAPITAL ADVISORS

LIMITED

Moderator: Ladies and gentlemen, good day and welcome to the Afcons Infrastructure Limited Q2 FY25 Earnings Conference Call hosted by DAM Capital Advisors Limited. As a reminder, all participants' lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation conclude s. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.
I now hand the conference over to Ms. Bhoomika Nair from DAM Capital Advisors Limited. Thank you and over to you, ma'am.
Bhoomika Nair: Thanks. Good afternoon, everyone, and a warm welcome to the Q2 and H1 FY25 Earnings Call of Afcons Infrastructure Limited. We have the management today being represented by Mr. Subramanian Krishnamurthy , Executive Vice-Chairman, Mr. Paramasivan Srinivasan , Managing Director, Mr. Ramesh Jha, Chief Financial Officer and Mr. Hitesh Singh, Head Corporate Strategy. At this point, I'll hand over the floor to the management for their initial remarks, post which we'll open up the floor for Q&A. Thank you and over t o you, sir.
Subramanian K: Good afternoon, ladies and gentlemen. This is Krishnamurthy Subramanian speaking to you. I am pleased to welcome all of you to the m aiden Earnings Conference Call of Afcons Infrastructure Limited. Our financial results and investor presentations have been uploaded on the exchanges, and I hope you had a chance to review them. Joining me today, Mr. Paramasivan Srinivasan , Managing Director, Mr. Ramesh Jha, Chief Financial Officer and Mr. Hitesh Singh, Head Corporate Strategy.
At the outset, I would like to express my heartfelt gratitude to all our shareholders for their support in making our IPO a success. We have consistently set ourselves apart through the
quality of our projects and dedication to timely completion. In the post -IPO phase, we aim to demonstrate the same distinction. Our mission of total satisfaction and enhanced value creation for all stake holders now would extend to public markets.
Talking about performance, I am pleased to share that Afcons has achieved robust financial and operational results for Q2 and H1 of FY25, showcasing highest -ever EBITDA, PAT and order book. Our EBITDA margin for Q2 FY25 has reached a record high of 13.8%. For H1 FY25, EBITDA margin improved by 200 basis points to 12.7% compared to the previous year. Our
past three years, we have made substantial progress in enhancing our EBITDA margins, mov ing from sub -10% level to over 11% in FY24.
PAT for Q2 FY25 grew by 30% year -on-year, reaching 4.4%, while H1 FY25 PAT rose by 16.3% year -on-year to 3.6%. Our total income for Q2 FY25 stood at INR 3,090 crores, while H1 FY25 figure was INR6,303 crores. There is a marginal drop in revenue on a year -on-year basis. This is on the anticipated lines because 1) Our Order Book was muted for the last two years, which was consistently calibrated because of bank guarantee constraints. Also the general elections because of which we faced delays in bill certification and payments from select customers and also there was an impact of a severe monsoon in some of the projects.

Due to these reasons, the debt also increased and these aspects will be explained in detail by our CFO, Mr. Ramesh Jha. As of September, our order book stood at INR34,152 crores, of which we have received an order inflow of INR .8,925 crores in the first half of the year, along with L1 bids amounting to INR 10,154 crores. With a robust pipeline, proven ability to complete the project within timelines and consistency in delivering high- quality construction, our company enjoys competitive advantage and solid re venue visibility in the next few financi

al years.
Now, let me speak about the sector growth prospects. India is poised to be the fastest growing construction market globally, expected to reach INR 38.5 trillion by FY28. With the Indian government's focus on enhanced infrastructure spending, it is anticipated the industry will grow at the CAGR of 10% between FY23 and FY28. Furthermore, in the construction markets in the overseas regions where we operate, we are expected to outpace most major global markets from 2024 to 2033. With our strong domestic and international presence, we are poised to tap into these abundant growth opportunities.
As we move forward, our stakeholders will not only benefit from strong financial returns, but also the impact that it would create on the nation and its people through the projects that we

would be executing. We remain committed to our mantra of sustainabl e, profitable growth by maintaining a n order book matching execution capability , rationalizing costs, improving execution efficiencies and consistently developing capabilities and capacity for project delivery.
I take this opportunity to hand over the call to our Managing Director, Mr. Paramasivan Srinivasan to introduce Afcons Infrastructure to all participants and offer a deeper understanding about us and our future path. Thank you.
Paramasivan Srinivasan: Thank you, Mr. Subramanian. It has been, I would say, a great journey, Afcons and first welcome all of you for the session today. Being the first earnings call by Afcons , I would consider it a privilege to take you through briefly on what Afcons is all about so that there is a clarity as to which company we are looking at.
Afcons is a 65 -year-old construction company having been formed in the year 1959 with the Rodio of Switzerland and the Hazarat & Company of India joining together as Rodio Hazarat & Company . And sometime in 1973, when the Foreign Exchange Regulation Act was introduced in India, Rodio wanted to exit India. That was the point when employee -led consortium paid off Rodio, took over the company and it became an employee -owned company with the Hazarat & Company stake.
So, Rodio Hazarat & Company became Asia Foundation and Construction Limited in 1975-1976. And then Afcons continued to do well. They used to have huge bank deposits at any point of time and it went on. Sometime in early 90s, for the funding needs of the company, when Afcons in the 80s entered into the road segment, there was huge funding needs for equipment and all. So, in the early 90s, they placed shares with SCICI , Shipping Credit Investment Corporation of India.

And subsequently, in the second half of the 90s, Afcons again placed shares with ICICI. When SCICI merged with ICICI , ICICI was holding 47.3% stake in Afcons . When 2000, ICICI was going for an ADR issue, they had to necessarily consolidate or exit. That was the time. Shapoorji Pallonji paid off ICICI, took over 47.3% and later issued open offer and other things for the employees. Subsequently, as needed, they pumped in funds. Before this IPO and offer for sale, Shapoorji Pallonji was holding 99.5% in Afcons with 0.5% with employees and ex-employees.
During the course of placing the shares, sometime in 1996, the name of the company from that of Asia Foundation and Construction was changed as Asia Afcons Infrastructure Limited. That is the genesis of the name also. And in 2000, when Afcons was taken over, Mr. Cyrus was responsible for this organization and he played an important role in structuring the whole thing as a professionally run company with ownership and management are kept separately.
So he followed a model that there will be a management which will run the show and there will be an owner and that model has worked very well in the case of Afcons as Afcons , if you look at it over the last two decades, we

have grown over 18% CAGR over a 20 year time frame, if
you look at it, and which is unprecedented on a consistent 18% CAGR in an Indian context is something which is very, very unique.
And if you take even last 5 years, we have a CAGR of around 16% on an enhanced base. So with that kind of growth, we are poised to maintain the growth at 15 %-16% CAGR over a medium to longer term. And Afcons also decided a few other things along the way. One, we did re-entry into overseas market, Afcons used to work in the overseas market in the past, in 1970s it worked in Iraq, then Eritrea, which is currently in Eritrea , part of Ethiopia, then Oman, Sri Lanka, quite a few countries. But post 1993, Afcons had stopped working in overseas market. 2005, Afcons re-entered into overseas market and last about close to two decades, we have done close to about 70 projects abroad.
And quite, I would say, most of the projects have been delivered on or ahead of schedule to the satisfaction of the clients, resulting in recurring orders from many customers. And Afcons is present in practically all infrastructure segments. And our business is split into five verticals, urban infrastructure, which consists of elevated metro, underground metro, and bridges. There is a surface transport, which is roads and rails. And there is a hydro and underground, which consists of tunnels, NATM tunnels, dams, water projects, barrages , all that. And we have marine and industrial, which does substantially wars, jetties, ports, and other LNG tanks, similar. And oil and gas, these are our various segments.
In terms of looking at the time of Afcons starting the work, when Shapoorji took over, Afcons had an average order size of about INR 27 crores. Today, our average order value is in excess of INR1,500 crores. That is the situation. In our case, on order book, we will always have an annual guidance, not a quarter -on-quarter guidance. For the simple reason, a few orders could change the composition of the order book. Therefore, we are looking at an annual order book guidance in general , and not quarter -on-quar ter order book this thing, because orders could spill over to

different quarters, and a single order value could be very different.

Today, our biggest value of the order is about INR 5,700 crores. So, if you take that kind of an order book, it can heavily skew. Therefore, order book guidance will be on an annual basis. And we have always been maintaining Afcons , for the sake of your information, we are a five -star export house, as characterized as per the new policy guidelines of the Government of India. We have already got a five-star export house status, and that recognizes our consistent export performance. O ver a period of last seve ral years, we have been having about a 70 :30 ratio in terms of turnover.
While our current pending order book is skewed towards domestic order book, in due course of time, we are sure we will move to 70 :30 ratio between domestic and overseas market.
Significantly, Afcons has been rated by engineering news record on a consistent basis. As per engineering news record statistics of 2023, we are the 10th largest marine player in the world, 12th largest bridge player in the world. In both these categories, there is no other Indian construction company within the top 25. And in aqueducts , we are the 18th largest. In overall transportation, we are the 42nd largest.
So, these are significant achievements, and ENR categorizes the turnover outside of the home country. So, whatever these numbers reflect, these are reflecting the turnovers outside the home country for all the companies. A nd wherever we have worked, another significant aspect is due to our engagement with the local populace in the respective countries by multiple manners. One, by engaging them as our employees, by workmen, by

engaging them as subcontractors, by involving into large -scale CSR activities. Af cons had, wherever it had gone, had created a niche,
and in the process, enhanced the image of India in such countries. That is a very significant thing.
Wherever we have worked, more and more works are offered, or at least there is an intention to give more works to the Indian companies in such kind of countries. We could create a difference in that manner. And we also follow good HR practices. That is something which we will cover in the later part. In terms of competitive advantages, if you look at it, Afcons have got a strong risk management practice. In fact, we have a practice of go, no -go in any project. We have a standard formula while we look at it . If the project is all, the cash flow, number one, we look at the client risk. If the client is risky, we don't participate.
And if, in terms of, the second we look at it, the project should be cash flow positive also. If substantial payments is going to come towards another project, the project is going to be cash flow negative , we generally try to avoid participating in such projects. Then third, we look at the capex expenditure. Fourth, possible competition. So with all these, if you look at it, over a longer tenure of 20 years, if you look at it, we have a hit ratio of around 18%. If you look at the last four years ratio, we have a hit ratio of in excess of 22%. So, which clearly conveys that practically every 4 to 5 jobs, we bag one job. That is something which is significant.
And we have a robust contract management system. Therefore, we are construction companies have to handle disputes as a part of its body politic. Therefore, we have a well -developed contract management team towards that. And in terms of knowledge management practices, globally, we are recognized as the best. In terms of knowledge management, we are rated as the most admired

or innovative knowledge enterprise for 8 years in succession at India level, Asia Pacific level, and global level. It will not be out of place to mention, that no other Indian construction company have won this award, even for one year.
So that recognizes the value of knowledge management. And this thing typically, companies in the IT sector, or companies like NASA, Google, in India, if you take TCS, Tech Mahindra, Infosys, Wipro, these are the companies, they win this kind of awards. So knowledge management practices is something which is very unique to Afcons , and probably the only construction company to have a chief knowledge officer in our roles. And we have an excellent strategic equipment base. And in certain sectors, we have fantas tic base of strategy equipment, marine equipment, if you look at it, we have a largest marine equipment base.
And if you look at tunnel boring missions, 16 tunnel boring missions, four are on the way. With this kind of thing, we believe we are strategically well positioned for a sustainable medium to long term growth. And we follow the strictest government standards. Sometime in 2006- 07, Afcons wanted to list initially that DRHB was filed, approved everything. Later on, we withdrew

that. And from that time onwards, we have been operating with good independent director, and properly both governed. And one of the probably few companies to be completely professionally managed.
And therefore, we have a strong governance structure, and long standing senior management team, our average senior management team experience is about 23 years. And going forward, also, we are looking at continuing to focus on complex, large value jobs, and continue to have overseas presence. And w e will continue to focus on knowledge management, risk management practices at all levels. Before I hand over the thing to my colleague, Mr. Ramesh Jha, for taking through the financials, I'll just give

an overvi ew of where we stand on the order book.
As of 30th September, our order book stands at INR 34,152 crores, excluding L1 projects. INR10,154 crores is L1 project, we have since received a couple of jobs. So now it's around INR7,700 crores is L1 as of now. This order book is well diversified across various infrastructure verticals, clients and geography. Currently, 80% of our order book is from government clients, is approximately split between 50 -50 between centre and state. And we have currently a stable government at the centre, and with recent el ection results of Maharashtra, we are poised to have a stable government in the state as well.
And so we look forward to in the stable government in Maharashtra, Madhya Pradesh, Uttarakhand, Uttar Pradesh, Rajasthan, all have stable governments. So we believe we have a good period ahead in this thing. We are also looking at in the overall order book, the government's focus on in the infrastructure vertical, we are well positioned to capture the market appropriately, typically, comfortable to have between 2.5x to 3.5x book to bill ratio, primarily because we believe below 2x creates order booking pressure, above 4x creates execution pressure. That is how we want to operate going forward as well.
We will continue to be selective in picking our orders. And we will continue to say no also in some of the good orders, which people consider as good order, or the thing if the commercial

terms are not appropriate to us. So these are things which we follow. And to provide a full insight on the financial performance, I now request our Chief Financial Officer, Ramesh Jha to take over.
Ramesh Jha: Good afternoon, everyone. Just to take you through the financial s in detail. So in the second quarter, we have done INR 3,090 crores of top line as compared to INR 3,433 crores in the previous Q2 FY24. And as far as half yearly numbers are concerned, we have done INR 6,303 crores as against INR 6,655 crores. So there is a marginal drop in top line of around 5%. And this decline is on the anticipated line, because our order book was muted in last 2 years, which was consciously calibrated by us, becau se we were having bank limits constraint.
Also, this year, because of general elections, we faced delays in our bill certifications and payment from select customers. And there were impact of a severe monsoon in some projects. Having said this, generally, we do 40% to 45% turnover in the first half. And we are very much there as far as our annual plan is concerned. In the total revenue, when I have talked about, we have considered other income also.
And our other income needs to be understood in the perspective of business, wherein we have explained that major contributors of our other income are arbitration award, foreign currency exchange gain and miscellaneous incomes. And they are recurring in nature and they are a very much integral part of our business. So that we consider as part of they are our other operating income.
Now moving on to the margins. For the quarter, we have done INR 427 crores of EBITDA in absolute terms. And in terms of percentage, we have done 13.8%, which is one of the highest in the company. With this, as compared to previous year in the same quarter, we had done INR 394 crores. So this year, the number was for the quarter was 8.5% higher. For the half year ended, we have done INR 799 crores of EBITDA, which is 12.9% higher than the previous year of INR708 crores. The EBITDA for the half year is around 12.7%. And this has improved by more than 200 basis points if we compare the same number of the previous half year.
As far as profit after tax is concerned, for the quarter, we have done INR 135 crores, which is 30% higher than the similar quarter for the last financial year. Whereas for the half year, we have done INR 227 crores of

PAT, which is 3.6%. And this is 16.4% higher than the same for the last financial year, half year. Now, when we talk about this, t hese profitability numbers have contributed in enhancing our net worth. Our net worth has reached close to INR3,800 crores, to be very precise, INR 3,794 crores. And in this period, in line with generally the trend we face, the first half of the year, bearing bill certification and payments are not up to date.

We saw the similar trend this year as well. We saw an elevated working capital requirement this year. This year also our working capital in September was at an elevated level. But this year, it was further amplified because of the general elections related less traction in some of the sections. And some customers, the bills were not getting certified and payments were not forthcoming. But we are seeing the situation slowly improving. Hopefully, year -end, we see much improved situation.

This enhanced working capital requirement has contributed to our debt, which has increased during H1 of FY25. Our debt increased as we saw limited traction with some of the customers, and there were delays in certifications of bills, leading to jump in working capital requirement, as I explained.
We had to fund those projects to run the operations. Generally, this trend remains every year, wherein bill certification and payments are not up to date. So, we see an elevated working capital requirement and borrowing in Q2 generally, I am saying. But this year, it was further amplified. So, the net debt, we have closed September with INR 2,640 crores. And on the net debt basis, our debt to equity was around 0.7. And because of 40 % to 45 % of turnover only, which happens in the half year. And this elevated working capital requirement, the capital employed in the business has gone up.
And that has impacted the return what we achieve annually. So, the return on capital employed was around 16.5 %, which generally is in line with the number we do it for the half year. But as things improve in the second half, we see that these numbers will go back to the levels we had achieved for FY24 as well. And also I would like to highlight that these returns on say capital employed or return on equity needs to be looked at on an annual basis only. As far as capital equipment addition is concerned for the half year, since our order booking got shifted during the year. So, the capital addition also has got shifted in line with the project we will be looking at.
With this, I think the order book MD has already explained. So, I conclude my remarks on the financials. And I thank all the esteemed stakeholders, including our employees, business partners, vendors, auditors, bankers for their wholehearted support in the long-term growth journey of Afcons . On behalf of Afcons , I thank everyone for attending this call. Now, I request the moderator to open the floor for Q&A. Thank you.
Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Ankur Sharma from HDFC Life Insurance. Please go ahead.
Ankur Sharma: Good afternoon. Thanks for your time. I had a couple of questions. Firstly, on the top line, which did degrow about 10% -11% in Q2, if you could help us understand the split between domestic and export growth. And secondly, within domestic, while we understand because of elections, monsoons, all the factors that you highlighted leading to this kind of a slowdown on execution, how are you seeing things kind of shape up in the second half? Are you starting to see a pickup now that monsoons are over? Are we starting to see things kind of getting back in shape and therefore second half being significantly better?
Paramasivan Srinivasan: I will answer the second part of the question. The first part of the question breakup will be g

iven
by my CFO . I am Paramasivan here. In terms of the second half of the year, we would expect for the year top line flat to normal. That is what we had indicated this thing. And considering the previous two years of calibrated order growth, we had this thing, we will have a flat growth in the top line in the current year.

While we look forward to in 20 26, while if we consider including L1, we are fully booked for our 100% of our order book is in place for 20 26. And for 2026, we expect 20 % to 25% growth comfortably from the current position. As I conveyed earlier, our medium to long term CAGR, we would maintain at 15 % to 16%. That is the general guidance. Ramesh, you would like to give him clarification on export and domestic turnover?
Ramesh Jha: So as far as the turnover for the half year is concerned, 29% was from overseas market and 71% was from the domestic market.
Ankur Sharma: So I was looking for growth rates. I understand the split between the two. I was trying to understand what was the growth rate between domestic and exports.
Ramesh Jha: So see, as far as the growth is concerned, since the pending order, whatever we were having, we expect the same trend to continue in the range of say, around 30% from the overseas market and 70% from the domestic market. It is a balance year.

Ankur Sharma: Okay, sir. Secondly, sir, on the order inflows, as you highlighted, we bought about INR 9,000 odd crores in the first half plus the L1. So, how much are you targeting for the full year? And also, if you could help us understand, which are the key end segments, where you're getting these orders from? Are these more domestic? Are these more exports? Some more color there? And also, what is your order pipeline? If you could give us a number, how is that looking like? If you have that with you?
Paramasivan Srinivasan: In terms of order book, including L1, you would have observed, we have in excess of INR 20,000 crores . Already, we had at the beginning of the year, we had set ourselves a target of INR 20,000 crores, which we have practically crossed for the year, if all the L1 jobs come into our kit. We have already submitted quite a few bids, and we are submitting further bids. And therefore, we expect a further order booking of not less than INR 5,000 crores. Okay. And taking that into consideration , it will be safe to assume that we may be booking an order for the whole year of INR25,000 crores, which will be the highest in the history of Afcons .
Before that, one of the years, two, three years before, Afcons had booked INR 17,400 crores, which was the highest ever order book Afcons ever had. So, with this order book, not only 26 revenue visibility is in place, there is substantial revenue visibility for 27 as well with that. And in terms of this year, of the orders booked, substantial orders are from the domestic market. And therefore, the current pending order mix is shifted slightly about 85- 15 between domestic and overseas.
While this is a temporary phenomenon , going forward, we would like to sustain a 30- 15, the short term one or two years, it could be 75- 25 because of more domestic orders. This is in terms of order booking pipeline, I request Mr. Hitesh Singh, our Head Of Strategy , to take you there.
Hitesh Singh: Hi, Ankur. In terms of order pipeline, generally we keep a track of around next 2 years of visibility. So, in terms of our total addressable market based on the kind of project we focus on, that's a large value complex project, we have an addressable market of around INR 3.2 lakh crores. And as visible in our current pending order book, similarly the available market is the

highest in the urban infrastructure space. When I talk about urban, I am talking about underground metro, elevat

ed metro and bridges put together. It is close to a INR1 lakh crore, that is the visibility we have, followed by surface transport, which is for us the rail and road business, which is around INR 60,000 crores.
And marine and hydro, both we have around INR 50,000-INR 50,000 crores each of visible order pipeline. And if we look at the overseas versus domestic, it's close to the same ratio which we generally target, around 70% of our pen order pipeline or the visible order pipeline is around 70% from the domestic part an d 30% is from the overseas market. So, that's been the pipeline for us.
Ankur Sharma: And just one last one, before I get back in the queue is on the operating cash flow. And then clearly, that is about INR 400 odd crores negative for the first half. And I think again, you did touch upon the reasons behind it. How do you see that for the full year? Can we expect cash flow to be positive and we generate a reasonable amount of operating cash flow for the full year? Would that be a reasonable assumption?
Ramesh Jha: We will be generating operating cash flow positive for the full year, because as I explained that during first half year, generally the payments are not up to date and that gets updated by the year end. And also, for the half year ended, we have not received any sizable advance, which we generally receive. And there were recoveries happening for the earlier projects. So, that's where the numbers are negative. But I think, since we have got a number of projects, we will be getting those advances and that will help and we'll be getting the payments which were stuck. October onwards, we are seeing improvement in payments from the customers. So, we'll see a good cash flow for the full year.
Ankur Sharma: Great, sir. All the best and thanks again.
Moderator: Thank you. The next question is from the line of Sagar Tanna from Alchem y Ventures . Please go ahead.
Sagar Tanna: Sir, despite a negative top line growth, we had a nearly 200 bps improvement in operating margins, EBITDA margins. Can you explain the reason for that? And what can be the sustainable margins for the full year and going forward?
Ramesh Jha: You see as far as the margin for full year is concerned for FY24, we had clocked 11.6%. And I think what we can talk about in terms of margin is we'll - our endeavour will be to maintain 11% plus margin and coming back to your first question of the reason contributing the higher margin for the year. So, the company is focusing on operational excellence and we are trying to contain our cost wherever possible.
And so we are we are trying to rationalise our cost wherever possible and that has helped us to

improve the margin. Also, during this period we had award wherein we got a sizable interest and
that has also helped us to improve the margin.

Sagar Tanna: So, if we exclude the interest on the arbitration award, which is mentioned in the notes of results then can we assume a normalised margin of 11%, 11.5% which we had clocked last year, is it a fair assumption?
Ramesh Jha: Yes, it's already there. I mean it's there for anybody to calculate. So, it's 11% plus.
Sagar Tanna: And that is what is the sustainable margins going forward. Is that correct?
Ramesh Jha: Yes. So, see what I'll say is we are into the business of construction and the margin in a quarter varies based on the nature, type and quantum of work executed. So, quarterly results may vary in different quarter and may not be indicative of the annual re sult and construction is full of contingencies. There could be some contingency which we may not be able to save. So, our guidance will remain that we will be clocking around 11% margin.
Sagar Tanna: Got it. Thank you.
Moderator: Thank you. The next question is from the line of Ashish Agarwal from Sundaram AMC. Please go ahead.
Ashish Agarwal:

Thanks. Sir just some clarification. When you've given this 11% plus this includes other income, am I right?
Ramesh Jha: Yes.
Ashish Agarwal: Secondly, this other income this 74 crores of interest income which we got, this the cash has come in or this is on the approval basis?
Ramesh Jha: So, the cash has had not come before September, but subsequent period it has come.
Ashish Agarwal: Got it. And what was the forex gain, so to speak translation gain in the first half which is part of other income?
Ramesh Jha: So, forex gain in this half year was not a sizable portion. It was a very minuscule amount.
Ashish Agarwal: Okay, but because in the cash flows it looks like it's around INR75 crores. That's why I was trying to understand because there's a net foreign exchange difference?
Ramesh Jha: In other income, there is no foreign exchange gain.
Ashish Agarwal: Okay, got it. So, this INR190 crores of other income in the first half includes this INR75 crores of arbitration income and the rest will be miscellaneous income, am I right?
Ramesh Jha: So, the breakup of that other income is for the half year we have got arbitration interest of around INR93 crores. And we have got some projected loss which we account in any project that has been written back because we have already incurred those actual expenditures. So, that is another aspect and then there is a balance in miscellaneous income.
Ashish Agarwal: Got it. And lastly, what is the capex plan for the second half of 2025 and if possible for F26?

Ramesh Jha: So, see for a specific number for the capex since we had for this financial year, we had planned a sizable capex related to we were buying three TBMs. Now, those three TBMs, we were expecting one of the TBMs to come before the half year which has got shift ed. So the number we were looking at for the full financial year, we are looking at a reduced number for the total capex for the year.
Ashish Agarwal: But if you can quantify that?
Ramesh Jha: It will be difficult to put a number at the moment because we will have to see because some of the projects which we were expecting say by March or in the first quarter of June. So, all those orders got shifted. So, we will try to optimize the utilization of those equipment and as per the requirement, we will try to plan it.
Ashish Agarwal: But if I have to put a number for next six quarters let us say for rest of F27 and F26, what kind of capex? Is it fair to assume it will be roughly 3% to 4% of your revenues?
Ramesh Jha: Generally, we try to maintain in that range only. The capex generally is in that range only of the top line.
Ashish Agarwal: Got it. Thanks a lot.
Moderator: Thank you. The next question is from the line of Ashish Shah from HDFC AMC. Please go ahead.
Ashish Shah: Yes, good afternoon and thank you for the opportunity. So, first question is on the Q2 being solved, you did give some broader perspective, but a little more detail if you can share which segments and which particular type of projects were more impacted and more importantly, as we now are here almost in the end of November, how has the improvement happened or if at all it has happened?

Ramesh Jha: So, specifically if I can talk about then water related projects was one segment where we have seen less of traction. Generally, there was a bill certification and payment related issues. So, we
had three projects or so in that and our project like we are doing one project in Rajasthan, then
couple of projects in Bihar and some other projects where we - because of monsoon related
issues we saw the turnover going down.
Ashish Shah: Apart from water anything significant sir which could have attributed to this slightly lower than
expected performance?
Ramesh Jha: So, see, as we said that generally we in first half of the year, we generally do 40% and 45%. And

we are largely there in terms of top line. So, these were the projects where we had seen difficulties, water projects and some of the projects, bridges project where due to severe
monsoon, we could not work.
Ashish Shah: Sure. So, sorry also there was a little bit disturbance. So, I missed the number for FY25. You
said for the revenue, you said flattish or something I maybe missed?

Ramesh Jha: So, what we have talked about, what MD has talked about that we are looking at flat to a nominal
growth.
Ashish Shah: Okay.
Paramasivan Srinivasan: In terms of FY25, we are looking at a flat to nominal growth and in terms of FY26, we will have 20% to 25% growth.
Ashish Shah: Yes I got that.
Paramasivan Srinivasan: And on a medium to longer term, we are looking at a CAGR of 15% to 16% which we have explained in the last 5 years. And as far as EBITDA is concerned, we are looking at 11% plus.
Ashish Shah: Correct, sir. Also, for the L1 positions we did say that the INR10,000 odd crores number is now
come down to 7,000 because maybe the LOAs have been received. So, a broad color if you can
share on which are major orders in this L1 positions and by when do you think that these could
be converted into firm orders?
Paramasivan Srinivasan: The first part, Hitesh, can you take them through?
Management: Sure. Ashish Hitesh here. So, in terms of L1 order which are pending currently with us is two projects. One is Nagpur -Gondia Package Number 1 and Nagpur -Gondia Package 2. Both are
around INR2,500 crores and INR2,800 crores. And one project we have got in Vishakhapatnam for DRDO, that is around INR954 crores. So, that is where the L1 as on date is INR6,402 crores.
Paramasivan Srinivasan: There is one more. Bhopal metro is also there.
Management: Bhopal metro is additional.
Paramasivan Srinivasan: This Bhopal metro and Vishakhapatnam, we expect in another couple of weeks by mid -
December we should have it in hand before that because it has gone for institutional approval
Bhopal metro. It is ADB funded job. Therefore, it has gone for ADB for approval . Here it has
gone to Navy for approval. So, both of these we expect by middle of December. In terms of
Nagpur -Gondia Expressway, I think once the government formation is completed, they will go
ahead with the process. The timing, I am not in a position to say because there is a land
acquisition related payment is to be made. After making the payment, they will release this order.
Ashish Shah: Right. And maybe just one last thing what is the kind of order book which comes from Bangladesh at this point of time and how is the execution on the ground on those projects?
Paramasivan Srinivasan: On Bangladesh, we are doing four projects, three road projects and one railway projects. Out of which one road project, we had right from the beginning we have maintained the position
because the order itself was given after 19 months of the submission of date. Therefore, without rate revision, we will not commence the work.
So, now the government is in the process of accepting it. And therefore, most likely the order will be formally agreed to be foreclosed for that. That is a small job around INR600 crores. And

the other two jobs one job there are two road jobs. Of these two road jobs put together, will be
roughly around INR600 crores, INR700 crores balance work and that is something which we
will just about start.
We are waiting for some payments to come from government of Bangladesh and government of
India. It's all government of India funded jobs. The other one a railway project is a joint venture
between Afcons and KPTL and there 50-50 is the age and there nearly about 60% is completed,
I think. Hitesh, correct me. And the balance part of it is under execution. They are also giving
land in b

its and pieces. Therefore, it's going slow. And in terms of payment as it is an Indian
funded job, we don't foresee any payme nt related risk.
Ashish Shah: And sir what's the outstanding value of this order, the railway one for our share?
Paramasivan Srinivasan: Railway and road put together, Ramesh or Hitesh, can you give the exact number? I don't have the number with me.
Ramesh Jha: So railway job for our portion of balance will be anywhere between around INR300 crores or so.
Ashish Shah: Okay.
Ramesh Jha: And also to add in those contracts, since in between the work got stopped because of this unrest, contractually we are in a very strong position to get any compensation which needs to be raised.
Ashish Jha: And sir in terms of outstanding receivable, is there anything sizable which is pending?
Ramesh Jha: Not sizable. The receivables are very many minuscule.
Ashish Shah: All right. Thank you.
Moderator: Thank you. The next question is from the line of Aditya from Investec India. Please go ahead.
Aditya: Hi, good afternoon, sir. So in the order and flows that we've had this year and in the last couple of years also, we've hardly got any hydrocarbons order. Even in the pipeline that we are speaking about, we're not looking at any oil and gas orders. So if you could just spell out wha t is really the strategy over there? Is that a focus area for us or we are likely to be staying away from that segment?
Paramasivan Srinivasan: On hydrocarbon sector, Hitesh you would like to respond or shall I respond. On hydrocarbon sector we have kept this thing. We have been making presentations to the government and also to ONGC. We have requested for certain change in contracting methodology and also change in contract administration and while we learned that it is in principle accepted, it is not put into action. So we have taken a position with respect to ONGC that till such time these corrections are made, we will n ot be submitting the bids.
That is one of the reasons you find that some of the recent bids of ONGC offshore projects are all going on a single bid basis and with respect to onshore, we will selectively participate as we

find in general, whomever had worked in oil and gas sector in India, most of them have lost money. Therefore, we want to be very cautious in terms of our movement. Therefore, we are not looking at any big jobs in oil and gas.
We are looking at smaller jobs in the onshore oil and gas. And offshore, we will get into once the contracting methodology and contract administration pattern undergoes change.
Subramanian K: In other words when the environment of oil and gas undergoes a change, we are there because we already have done a couple of very high -tech projects. We are qualified to do so. But we want the environment to be in proper shape before we participate.
Aditya: Perfect. That’s very clear. So my second question is Middle East an area wherein we want to be penetrating over a period of time because as of now, our international presence is mainly in Africa?
Subramanian K: Saudi Arabia would be a focus point, but I am sure I will answer that. Middle East, the main focus would be on Saudi Arabia which is undergoing a good growth momentum at this point in time, but other areas would be very, very selective coating and very spe cifically select projects only we will look at.
Paramasivan Srinivasan: Middle East, in our experience what we have found, Middle East is not giving an opportunity for a profitable growth. Number one, Middle East projects are by and large cash flow negative because there is a 10% cash retention. And the cash retention is paid after all the clearances are obtained, which one has to take 19 different agencies' approval. So for that, it takes 18 months to 24 months for getting those NOCs towards getting the final payment retention and all

out.
Second, once there is a 10% advance, there's a 10% retention. And the payment time cycle is 28 days for the contractors for the PMC to certify and another 56 days for the payment. Effectively, it takes 4 months with holidays in between. Therefore, there is a cash flow negative all through the project and taking all that, we have taken a call that we will be very selective.
We will look at some select big projects where we will have some local partner who will manage the local environment and we will do only execution. Those are the kind of approaches we are following. This is other than Saudi. Saudi’s selected markets we wil l be definitely looking at and some select big projects we will be looking at Middle East. That's what we are looking at.
Subramanian K: Middle East, we may add another point, there is no proper dispute resolution mechanisms present. So overall, it's not very high on the priority list, but however if some projects, we may look at it depending on its importance and criticality and the custom er's willingness to modify the terms.
Aditya: Understood. So even Saudi you are saying is not very high on priority list, you will be fairly selective, even while approaching Saudi?

Subramanian K: Saudi we are very seriously looking at because they are more open to the contractor's points.

Paramasivan Srinivasan: And there also we will look at select clients. We have identified our select clients who are known to perform a contract on time. So such kind of plans will be only we will be looking at.
Aditya: Understood. And even for something like this, would we need a joint venture with a local partner and would it be project specific alliances or are we looking at a more kind of a permanent solution to this?
Paramasivan Srinivasan: We will generally look at project specific joint ventures. In Saudi, we could look at a larger joint venture also. Typically, otherwise we look at project specific joint ventures where we need.
Ramesh Jha: Sir just to add here in Saudi we have already incorporated an organization wherein we have taken a local partner to manage the local environment. So that company incorporation is already in place. And Afcons will be 90% ownership in that entity and 10% is the local partner.
Aditya: Perfect. That's very helpful. Thank you so much.
Paramasivan Srinivasan: Thanks, Aditya.
Moderator: Thank you. The next question is from the line of Saket Kapoor from Kapoor and Company. Please go ahead.
Saket Kapoor: Thank you for the opportunity. Sir, post the IPO proceeds, what are our current debt levels, debt numbers both the long term and the short term debt?
Ramesh Jha: You see as far as debt is concerned, I think at the moment, if I can give you some color we will be on a net debt basis will be sub INR2,000 crores. And maybe bifurcation will be 50% will be long term debt and 50% will be short term debt in that.
Saket Kapoor: And sir what should we exit the years in terms of this debt number going in which direction?
Ramesh Jha: So as we have talked about that in the second half, we'll be looking at a substantial improvement in our cash flow. So we'll look at a very significant improvement from the existing position.
Saket Kapoor: Okay. Sir can you give some color on the current maturities which we have that we will be repaying by the end of this fiscal?
Ramesh Jha: So see the term loans we have talked about in the range of say INR1,000 crores odd, those are all long term loans repayable over a period of anywhere between those are all 5years, 8 years kind of a loan. So the repayments will not be that significant in this financial year. I don't have the exact numbers at the moment. And the working capital loan remaining INR1,000 crores are all continuing facility which we avail and pay off as and when the surpluses arises. And those limits are always av

ailable. So we have got a very sizable bank limit which is available to us.
Saket Kapoor: Sir when we look at our employee cost as a percentage of sales and also the finance cost, taking into account the vagaries of monsoon for this quarter, as a year as a whole what should be the percentage number which we should pencilling in as employee cost, and as finance cost as a percentage of sales?

Ramesh Jha: So the employee cost anywhere it will be on the overall year, it will be somewhere around 10.5% or so and finance cost, it will be somewhere around 3.5% to 3.6%.
Saket Kapoor: Okay and for the long term going ahead in order to bring the efficiency and improve the margins are these two variables monitorable and do we look at a lower number going ahead or do we find this as the historical and the industry averages only that we ne ed to maintain for the continuity of business?
Ramesh Jha: So as far as the employee cost is concerned, the way management is looking at we are looking at per employee turnover should go up. And that's where we are working on. So as things stands, we are expecting that the in terms of percentage, it should come do wn. That is one that's a medium term guidance and as far as finance cost is concerned, I think in terms of percentage it should further improve.
Subramanian K: Our argument is rather than directly attacking these cost components which come out of a project duration, improved project performance by way of earlier completion by our technology, knowledge management and innovation practices would remain the driver. A nd naturally all the components of cost would be impacted negatively means with a reduction by this strategy.
Saket Kapoor: Okay, sir small point on the water segment. I missed your commentary on the same. Can you elaborate? What was the business environment and what portion of our order booking is towards the water segment and the scope of work for us?
Ramesh Jha: So as far as water segment is concerned, what we saw that ever since the elections were announced sometime in March, April, after that there was a complete lull in terms of activity with those agencies and we had seen the bills were not getting certified and there were no

payment allocation from the ministry to respective state agencies which were executing the
project.
So payments were not forthcoming. And after the election result, there was a change in ministry and a new regime at the helm of the affairs. They were trying to understand the whole set of
things and it took a lot of time to get bills certified and paid. S o that's the difficulty we were
facing. And as far as…
Management: And currently the pending drinking water supply projects will be around INR1,100 crores to
INR1,200 crores in the pending order book.
Saket Kapoor: So we are participating in the Jal Jeevan scheme and the AMRUT 2 scheme with respect to our order book and execution?
Subramanian K: Yes Jal Jeevan we are participating, but our participation is limited as explained by Hitesh.
Saket Kapoor: Sir, I missed your last comment.
Subramanian K: Yes, we are participating, but we are being cautiously we are approaching this segment. It was
a new segment for us.

Management: So it is not a high technology segment, but it has a special value. So we are participating and
helping in the process, but the exposure is limited.
Saket Kapoor: Okay, sir. And last point on this, we are also looking at AMRUT 2 scheme being rejuvenated
with interlinking of rivers being a major thrust from the government side going ahead. So what
kind of opportunity do Afcon as an engineering concern find in this s cheme?
Paramasivan Srinivasan: We look at the opportunities very closely. And interlinking rivers, we are well positioned both in terms of our presence in

marine segment and also in water and irrigation segment. And
therefore, we look forward to a significant job coming through the inte rlinking of rivers going
forward.
Saket Kapoor: Okay, sir. Can you give the size of opportunity which we are looking forward going ahead?
Paramasivan Srinivasan: Today, we are not in a position to convey what is the size of the opportunity for the simple reason. As of now, only Ken- Betwa is taking some shape. Therefore, till such time the
interlinking of rivers take shape, it will be only a wild guess whatever number we give.
Therefore, I don't want to give any number at this point, but this is an opportunity which we will be seriously looking at.
Saket Kapoor: And lastly, sir, on the IPO proceeds, we received INR1,250 crores from the IPO which towards the company and fresh issuance was to the tune of INR4000 crores. How was the proceeds bifurcated?
Ramesh Jha: Yes. So, we have received - the company has received INR1,250 crores and after adjusting for
the issue expenses, the proceeds have been used by company. Of this, we received some after the expenses, we received some INR1,223 crores. We have used a large po rtion of it towards
repayment of debt and towards working capital we have already utilized. The capex plan is earmarked for the capital payment what we are having.
Those are going to be utilized in due course of time because some payments are happening in November, some payment is happening in December and some in January. And we are left with a small portion of general corporate purpose which is earmarked for some of the forthcoming
general corporate purpose expenditure by, say, this month end or maybe first week of December.
As far as the company's proceeds are concerned, the OFS portion has gone to the selling
shareholder which is Goswami Infratech and they have used that towards repayment of the
parent level debt.
Moderator: Thank you. The next question is from the line of Vijay from Avendus Spark. Please go ahead.
Bharani: My name is Bharani from Avendus. So, I have a question on margins. Now, can you give a split
of margins between different segments like how much it is in hydro and underground, how much
it is in elevated metro and how much is it in bridges?

Ramesh Jha: So, as far as margins are concerned we are not giving segment -wise breakup of the margins. So,
we will have to look at on a composite basis, but broadly I can, I can give you a guidance that
generally our margins are better in underground metro in hydro and underground, in marine and also i n overseas projects, we generate a better margin, but notwithstanding that even in other
sectors, since we have talked about our risk management framework and our - the company's
thrust or focus on project selection metrics. So we try to identify projects where we generate a
better margin.
Bharani: Okay, the reason why I am asking is the trend generally we are noticing across your sphere is
that margin compression is happening. It is heartening to see Afcons doing the 10% plus without other income on core

EBITDA margins. However, generally when econ omies mature, clients
get more aware of how to eke out extra money out of the EPC contractors. Generally, the contractors face margin compression. Do you see that risk playing out for generally us too,
because we are one of the largest contractors in the country?
Paramasivan Srinivasan: This is where our risk management framework takes care of that. We are very selective in our jobs. And therefore, you will find in our case over a period of time, if you look at it our financials,
we have consistently been improving on margins. So, while t he margin compression could
happen in general and primarily because of our project selection framework, we have been in a position to improve our margins on a consistent basis.
Therefore, we do not expect any kind o

f margin compression pressures at this point of time and whichever due to our own practices, we will be in a position to manage it much better.
Bharani: Okay, loud and clear. Thank you so much. All the best.
Moderator: Thank you. The next question is from the line of Ronak Agarwal, an Individual Investor. Please go ahead.
Ronak Agarwal: Yes. Sir I just wanted to understand that in your finance cost there is a component of around INR150 crores of bank guarantee commission and other charges. I just wanted to understand
like what is the nature of such a commission and is that something whic h will be – we will be
occurring year -on-year or quarter -on-quarter? And the second question, sir, is on the net profit
margin. So, you have given an EBITDA guidance. So, can you also just give a guidance that
how your net profit margins will be on a long term basis?
Ramesh Jha: So, answering to your first question of bank guarantee commission, bank guarantee commission for the half year ended, we were around INR88 crores we have incurred. And maybe you might be referring the last year's number of when we are referring INR150 cror es odd. So, see, this
bank guarantee commission is very much integral to construction business wherein a company is required to provide performance guarantee and advanced payment guarantee and retention
guarantee to their customers.
And that is a very much, a very obvious requirement for the contractor to provide. So, that
expenditure will be a continuing requirement and that will be a continuing expenditure for the
company. As far as the guidance on the net profit margin is concerned, so at the moment what

we are talking about is EBITDA margin only and basis that since we have talked about that, we
are looking at reduction in our finance cost and all that. So, that should automatically translate
into the net profit margin.
Ronak Agarwal: Got it. Sir basically sir that 3.5% to 4% which we spoke about earlier for the finance charges,
that would include this bank guarantee commission, etc. So, that would be the – let us say a fair
estimate of the bank finance charges for the company?
Ramesh Jha: Yes.
Ronak Agarwal: Got it. Thank you, sir.
Moderator: Thank you. The next question is from the line of Anupam Gupta from IIFL Securities Limited.
Please go ahead.
Anupam Gupta: Yes. Good afternoon, sir. The first question is, you had mentioned in your remarks that your working capital constraints had limited your order inflow sort of which you saw over the last
year or so. Post the IPO, what sort of resolution have you seen and what incremental
improvements do you see in the constraints which were there in the last 1 year?
Ramesh Jha: No. So, what constraints we were talking about in terms of bank limit which was there, but those
issues were already solved prior to the IPO because in FY24 itself we had got our bank limit
enhanced from the banks. So, we had a sizeable enhancement in our bank limit and that bank limit will take care of companies maybe couple of years order booking requirement.
And generally banks as per the prudential norm, they sanction nine times of the net worth, the total bank limit. And today, if you look at from the network perspective before IPO, we were
somewhere around 6 or so. And post this IPO, we will be somewhere ar ound say 4.25 kind of
range. So, we will have enough headroom if there is a requirement for further bank limit to go
back to bank for asking for the limits. So, I hope this answers your question.
Anupam Gupta: So, the things I want to quantify this, what are your fund- based and non -fund -based limits at this point of time and how much is utilized?
Ramesh Jha: So, we have around INR20,700 crores of total bank limit. Of that INR1,800 crores is fund-based
limit and INR18,900 is non-fund -based limit. In terms of utilization towards the fund -based li

mit
maybe we will be somewhere around, say, 50%, 55% kind of utiliz ation we will be having. And
as far as non -fund -based is concerned we have got a sizable limit which is free. We will be
utilizing somewhere around say INR14,500 crores to INR15,000 crores kind of a bank limit.
Anupam Gupta: I understand. Okay. And the second question is you mentioned that the mix of the order book is

more towards domestic at this point of time. And generally, what we understand is and you also
said that overseas has higher margins and I would assume overseas would have lower operating
cycle as well. So, given that the mix is more domestic at this point of time, do you expect some
pressure of margins because of that and similarly, on working capital or that is not the right way
to look at it?

Paramasivan Srinivasan: See, we have - while in general whatever you have stated is right. Currently, we have by and large focused on selecting the jobs in such a manner, in the domestic market also which are
reasonably good margins. And also in terms of operating cycle, we don't expect much of an issue
on account of this.
Therefore, we don't expect on account of some change in the mix of between domestic and overseas jobs at this point which is short term I would call it. There will be change in the margin pattern. We will be in a position to sustain our margins, as informe d by our CFO, North of 11%
at EBITDA level.
Anupam Gupta: Sure. Okay. And just one last question, if you can help. Generally, how much of your work do
you subcontract annually or is it largely done yourself captively?
Paramasivan Srinivasan: We look to have about 30% of our work subcontracted. Today, we are somewhere between 22% to 25% of our work getting subcontracted. We intend to move to 30% subcontracting. We don't
give back -to-back subcontract totally. Any activity -specific subcontracting , we give it which
typically, less value -added jobs is the kind of work where voluminous work, where
subcontractor also will be very comfortable. Those are the kind of work we try to give on
subcontract basis.
Anupam Gupta: Sure. Okay. That's all from my side, sir. Thank you.
Moderator: Thank you. Thank you. Ladies and gentlemen, we will take this as the last question. I now hand the conference over to Ms. Bhoomika Nair for closing comments.
Bhoomika Nair: Yes. I would like to thank the management for giving us an opportunity to host the call and
answering all the queries very patiently. Wishing you all the very best and thank you to all the
participants for the participation. Thank you very much, sir. Any closing remarks from your
end?
Subramanian K: Thanks a lot for this excellent investor conference, earnings conference rather. It has been very enjoyable and nice for us as we are participating in it for the first time. We would like to engage more and more with all of you. Thank you for this opportunity.
Paramasivan Srinivasan: We also look forward all of you to stay with us in the longer term and you will find the value grow.
Moderator: Thank you. On behalf of DAM Capital Advisors Limited, that concludes this conference. Thank
you for joining us and you may now disconnect your lines. Thank you.
Paramasivan Srinivasan: Thank you.

Call: Feb 2025

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Date: February 18, 202 5
To
BSE Limited
Corporate Relationship Dept.,
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai 400001. To
National Stock Exchange of India Ltd
Exchange Plaza, Plot No. C/1, G Block,
Bandra -Kurla Complex,
Bandra (East), Mumbai 400 051.
Scrip Code: 544280 Symbol: AFCONS
Subject: Transcript of Q3 FY25 Earnings Conference Call
Pursuant to Regulation 30 and 46 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the Transcript of the Q3 FY25 Earnings Conference Call held on Friday , February 14, 2025 .
The aforesaid Transcript is also available on the website of the Company at:
https://www.afcons.com/en/investors-meet
Your are requested to take the aforesaid information on records .
Thanking you,
Yours faithfull y,
For Afcons Infrastructure Limited
____
Gaurang Maheshchandra Parekh
Company Secretary and Compliance Officer
Membership No.: F8764
Encl : as stated above

“Afcons Infrastructure Limited
Q3 FY ‘25 Earnings Conference Call ”
February 14, 202 5

MANAGEMENT : MR. SUBRAMANIAN KRISHNAMURTHY – EXECUTIVE
VICE CHAIRMAN – AFCONS INFRASTRUCTURE
LIMITED
MR. PARAMASIVAN SRINIVASAN – MANAGING
DIRECTOR – AFCONS INFRASTRUCTURE LIMITED
MR. RAMESH KUMAR JHA – CHIEF FINANCIAL
OFFICER -- AFCONS INFRASTRUCTURE LIMITED
MR. HITESH SINGH – HEAD CORPORATE STRATEGY –
AFCONS INFRASTRUCTURE LIMITED

MODERATOR : MR. VINEET PRASAD – INVESTEC CAPITAL SERVICES
INDIA PRIVATE LIMITED

Moderator: Ladies and gentlemen, good day and welcome to Afcons Infrastructure Q3 FY25 Earnings Conference Call hosted by Investec Capital Services India Private Limited. As a reminder, all participant lines will be listed in only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on a touch -tone phone. Please note that this conference is being recorded .
I now hand the conference over to Mr. Vineet Prasad from Investec Capital Services, Private Limited. Thank you and over to you, sir.

Vineet Prasad: Thank you, Muskan. Good afternoon, everyone. A warm welcome on behalf of Investec India to Q3F Y25 earnings call of Afcons Infrastructure Limited.
Today, we have with us the senior management team represented by Mr. Subramanian Krishnamurthy , Executive Vice -Chairman, Mr. Paramasivan Srinivasan , Managing Director, Mr. Ramesh Kumar Jha, Chief Financial Officer and Mr. Hitesh Singh, Head Corporate Strategy.
Now I would like to hand over the call to Mr. Subramanian sir, Executive Vice Chairman for his opening remarks. Thank you and over to you, sir.
Subramanian K: Good afternoon, ladies and gentlemen. I am pleased to welcome all of you to the Q3 FY25 earnings conference call of Afcons Infrastructure Limited. Our financial results and investor presentations have been uploaded on the exchanges and I hope you had a chance to review them.
Joining me today, Mr. Paramasivan Srinivasan , Managing Director, Ramesh Jha, Chief Financial Officer and Hitesh Singh, Head Corporate Strategy.
Let me start by giving you all of you some business updates. Afcons total income was INR3,332 crores in Q3 FY25 as compared to INR3,182 crores in Q3 FY24. For nine months of FY25, the corresponding figures stood at INR9,635 crores compared to INR9837 crores in nine months of FY24.
Let me turn to our profitability metrics. In Q3 FY25, our EBITDA stood at INR448 crores, making a 14.1% year -on-year increase compared to INR393 crores in Q3 FY24. EBITDA margins expanded by 111 basis points to 13.5% during the quarter. For the nine -month period, EBITDA reached INR1,247 crores, growing 13.3% year -on-year while maintaining a healthy margin of 12.9%.
Moving to PAT, we delivered a 35.7% surge in Q3 FY25 with profits rising to INR149 crores from INR110 crores in the same period last year. This translates to a PAT margin of 4.5%, up from 3.4% in Q3 FY24, reflecting improved cost management and higher profitability. Similarly, for nine months of FY25, PAT grew 23.3% to INR376 crores, reinforcing our ability to sustain momentum even in a competitive environment.
I am happy to share with you that CRISIL Ratings have aligned AA- with a stable outlook for long-term and A1+, with a stable outlook for short -term ratings to the Bank Loan Facilities and Commercial Paper Programme of Afcons Infrastructure Limited . This is an upgrade from the

earlier rating of A + for long -term and A 1 for short -term. The rating reflects the strong business profile of Afcons , demonstrated by its established track record and ability to execute complex infrastructure engineering projects in India and overseas.
Additionally, Afcons has been included in the MSCI India Domestic Small Cap Index, which will be effective from 28th February 2025. Speaking about infrastructure sector updates and growth prospects, we see strong continued growth in the infrastructure construction space, evident from Government's clear vision of becoming a developed nation by 2047.
As highlighted in the recent economic survey, India must sustain an annual growth rate of 8% for at least a decade to attain developed nation status by 2047. Also, as

aptly mentioned,
infrastructure is a key enabler of this goal, with significant scope available for improving multi -modal connectivity, public transport and disaster resilience in urban areas.
Infrastructure development, particularly in the segments we operate, are key to achieving this growth. Various policy initiatives by the Government will ensure efficiency in the Government's infrastructure investments. Strategically, we continue to leverag e our expertise in delivering large -scale, complex infrastructure projects across India and globally.
Our unique ability to execute projects across diverse infrastructure segments, be it marine, industrial, metro, underground or elevated, bridges, highways, tunneling or hydro, sets us apart in the industry. Over the decades, Afcons has demonstrated the ability to successfully deliver across all major infrastructure verticals. This makes us a formidable and differentiated player in the Indian infrastructure space.
We are also continuing to build on our core strengths which we have developed over time, such as knowledge management, risk management and operational excellence through innovation. Our commitment to these areas has been recognized through multiple prestig ious awards, most recent being the Most Innovative Knowledge Enterprise MIC Award of 2024, recognized for a seventh consecutive year at both global and India level, reinforcing our leadership and knowledge management. IEI Industry Excellence Platinum Awar d 2024, this is our fourth consecutive year of recognition for innovation and operational excellence in construction.
We remain committed to investing in technological advancements, digitization, cutting -edge engineering capabilities to improve efficiency, execution timelines and overall project delivery.
In conclusion, Afcons infrastructure remains dedicated to creating value for our stakeholders, customers and all our shareholders.

Thank you for your support and trust. I will now hand over the call to our Managing Director, Mr. Paramasivan Srinivasan , to offer a deeper understanding on the developments and our future path. Thanks a lot. Thank you.

Paramasivan Srinivasan : Good afternoon, everybody . It is my pleasure to welcome you all to Af cons Q3 '25 earnings call. We appreciate your continued interest and support in our journey. I will just give a broader business landscape, business procurement and important updates.

In the recent budget, despite significant measures to boost consumption and the associated pressures on fiscal consolidation, which is an excellent step taken on the fiscal consolidation, the government has allocated INR11.2 lakh crore per capital expenditure, a 10.1% increase over the revised estimate of the last year.

This underscores the continued commitment of the government to infrastructure development, which is once again reiterated by FM's statement yesterday. It will be a middle class focused and an infrastructure focused approach towards reaching Viksit Bharat by 2047. The government's alignment with this perspective is evident in the healthy allocation for roads, railways and metro projects and special push through state governments.

This will be very significant in many states , a INR 1.5 lakh crore s 50 year interest free loan that I think many states can use to raise resources using this fund, further using the resources that will go a long way in terms of infrastructure development. And national monetization plan, the phase one has been hugely succe ssful, hardly INR20,000 crore s is the shortfall in the phase one. And in the phase two now, whatever is announced, I am pretty sure with the three year pipeline what is made will go -- the national monetization pipeline will go a long way in terms of improving the finances. And there is a revised PPP model being attempted and there is a three year, alo

ng with a three year project pipeline and all, that I think will be a work in progress as you look at it in this thing. Because PPP in India, PPP has moved to HAM and again moving back to PPP, how it is going to work, we nee d to see.

And the government has announced the establishment of export promotion mission, which is very positive. This is something which I must say government has acted based on feedback by many exporters as some of the areas of improvement required. And also government's own push to see that top Indian companies become top global players as well.

So from that angle, they have created an export promotion mission, mission to address non -tariff barriers, facilitate credit access and provide other forms of support to enhance exports. This initiative is also expected to focus on project exports, includi ng those funded by the government. And as I conveyed earlier, the government is developing a strategy to elevate select Indian project exporters to compete with global peers.

Afcons along with other leading project exporters are engaged with key ministries and also with NITI Aayog to advocate for supportive policies in this regard and the initiatives required in this regard. If implemented, these recommendations could drive a substantial expansion in India's project export footprint.

Overall, the government's continued focus on infrastructure development will provide a strong impetus to this sector. This positions large diversified EPC contractors such as Afcons to capitalize on emerging opportunities and contribute meaningfully to the nation's infrastructure development. And internationally with the export mission and also our continued focus with some strong private clientele like ArcelorMittal gives us better revenue visibility.

The LOC projects by the government of India has seen a slowdown from its impact. And however, there are select geographies, as we have been mentioning, wherein there is a good

visibility in terms of wherein the competition is restricted to some European players, Turkish, Indian players like that. And Eastern Europe and some of these countries. And also as we indicated as a part of our strategy, bigger projects in Middle East with local partner s that is also taking shape from the futuristic angle.

In terms of business development, Afcons continue to strengthen its position. And as of 31st December, we have a INR38,000 crores of pending order and which excludes about INR10,662 crores of L1 and INR14,603 crores is the amount of order we have booked in the first nine months.

And in the first month of the current financial year, now before the first 45 days, we have already received INR1,283 crores from DP World. And with that, our order book is almost at INR16,000

crores as of now. With INR10,662 crores further L1, I think we are slated to achieve about 30,000 plus in the current year , with some more tenders expected to be opened shortly.
With this, we would say we would have reached the highest ever order book in terms of for the year. And at the end of the year, we will be somewhere between INR45,000 crores to 50,000 crores order book giving us more than 3 x visibility for the future period. And this will clearly give revenue visibility for the next couple of years.
And as we conveyed earlier, while the current year we expect ourselves to be the flat or marginally higher growth, next year we expect 20 % to 25% growth from that of current year, more towards 25%. That is what we are looking at. And Afcons continues to set the benchmark in the infrastructure sector with notable achievements and the industry at close.
As per latest engineering news record 2024 rankings of USA, we are ranked 139th in the Top 250 international contractor list, reaffirming our global presence. In terms of marine, we are rated as the 14th largest. In bridges, we

are the 12th largest. In transportation, 45th largest. In
aquatics , 12th largest. And in water supply, 38th largest.
In marine, we are the highest ranked Indian contractor. In bridges, we are the only Indian contractor within the top 25. In transportation, we are the only Indian contractor within the top 50. And these are very, very happy tidings in our international presence.
And our Delhi -Meerut rapid rail project is inaugurated by our Honorable PM. Of course, it's not entirely our stretch. Partly our stretch is also included over there. And we have won several awards, IT infrastructure leadership awards for our Calcutta Metro and Maharashtra Samruddhi Package 14 Excellence in Transportation Infrastructure. National Safety Council has awarded five-star rating and a shield for our Liberian projects.
So, unwavering commitment to innovation, execution, excellence and safety is continued to be given, accredited by various agencies. This reinforces A fcons position as a leader in delivering world -class infrastructure. In conclusion, Afcons remains strongly positioned to capitalize on emerging opportunities in the infrastructure sector with a robust order book.

We are confident with a robust order book, a strategic approach to business development and a strong track record. We are confident on delivering sustained growth and value for our stakeholders.
Thank you all once again. While I conclude my remarks, I'll hand over to our CFO for providing review of the financial results.
Ramesh Jha: Good afternoon, everyone. Before I get into the numbers, first I'll just talk about the rating upgrade we have got done. We are very happy to inform you that we have got our credit rating upgraded to AA - for long term and A1+, which is the highest rating f or short term from CRISIL .
Moving into AA category, we'll open up the money market instruments like CP, NCDs to us.
This will give us a lot of interest saving arbitrage opportunity. This should also help us bring down the interest rate going fo rward.
Now, on the numbers, we have talked about last time also. I would just like to recreate. The company is into the business of construction. The margin in a quarter varies based on the nature, type and quantum of what we execute. So quarterly results may vary in different quarters and may not be indicative of annual results or trend.
Now, moving to specific numbers, during Q3, we have done a top line of INR3,332 crores as compared to Q3 in the previous year, INR3,182 crores. And the previous quarter, Q2 ‘25, we had done INR3,090 crores. And if you look at the top line number for 9 months, we have done INR9,635 crores , as compared to previous year 9 months, INR9,837 crores.
Now, during this quarter, we had a growth of around 5% year on year and around 8% quarter on quarter. Because of the acceleration in the turnover during Q3, this has narrowed the Y oY gap to 2% in 9 months from the previous 9 month period because in Q2, we were 5% down from the previous year number. Since there is an increased pace of execution now we are seeing in recent months, so as things stand, we should close the year on a similar top line or a nominal growth for this financial year.
As far as revenue guidance is concerned, this year we are looking at a flat growth or maybe a nominal growth. This is because of our muted order booking in last 2 years which we had talked about earlier. But since this year, we have already backed close to INR26,000 crores -INR27,000 crores of order including the projects where we are L1 which we are quite hopeful that we should be getting very shortly.
All these projects will mature for construction in next financial year where we are looking at a growth of 20 %-25% more towards the upper trajectory. On a medium to long term horizon, we would like to sustain our CAGR which we have achie

ved over a longer period of time, say last
10 years. So we should be around those numbers which is around 15%.
Now moving to EBITDA, during this quarter we have done INR448 crores of EBITDA. As against Q3 -24, we had done INR393 crores. So in terms of percentage, this quarter we have done 13.5% and this is up by 111 basis points from the previous year. In the 9 -month period, we have done INR1,247 crores of total EBITDA which is 12.9% and this again is up 175 basis points from the previous year wherein we had clocked 11.2%.

Now in EBITDA, I would just like to clarify that in our EBITDA calculation, we have considered BG Commission as part of our operating expenditure. So EBITDA that we are talking about is after removal of BG Commission as an operating expenditure. Whereas we understand that the street considers BG Commission as part of interest or finance cost. Hence if you consider it that way, then the EBITDA will increase to the extent of INR125 crores which we have excluded.
Also in our EBITDA calculation, we have included other income as part of revenue. Here we have explained earlier also that our other income needs to be understood in the perspective of our business. Arbitration interest, foreign currency exchange gain and miscellaneous incomes are recurring and very integral to our business. Hence this needs to be considered as other operating income.
So for the 9 -month period, the INR311 crores of other income we have considered as operating income while calculating the EBITDA. So this EBITDA percentage what we have achieved for the 9 -month 12.9% for this financial year up till the 9 -month. This year as things stand, we expect the numb er to be higher than what we have been given a guidance.
We have always talked about that we are going to maintain our EBITDA 11% plus. Reason being we are maintaining this that construction is full of contingencies. Our endeavor will be to save on those contingencies or optimize it. But many a times we may not be able to save those contingencies. Hence our guidance will remain at around 11%.
Now moving to profit after tax. But you know I again reiterate that this financial year we will be having an elevated EBITDA margin since we have already achieved 12.9%. Moving to profit after tax. We have done for this quarter INR149 crores as against INR110 crores we have done Q3 last year. This again is 102 basis points up in terms of percentage point.
For the 9 -month period we have done INR376 crores of profit after tax. This is 3.9% of the top line of the total income. This again is 80 basis points up than the last year number. In finance cost we have seen the kind of optimization we were expecting. So there is a saving in interest cost because of the IPO proceeds we used towards debt repayment. But this got negated because of change in mix of interest free versus interest bearing advances.
Usually in the total portfolio of advances we were having 75% used to be interest free. And 20 - 25% used to be interest bearing advances. But this time around the projects we have bagged we are seeing 70 %-75% projects are interest bearing. So that's where we have saved on the bank interest but interest from client advances have increased. So that's where we are not seeing any benefit on the interest cost front. But the projects have been tendered in such a way that these aspects have been factored in the pro jects. So our margins are going to remain intact.
We have also continued to account for accelerated depreciation on our TBMs. Of the total INR367 crores of depreciation around one third is on account of accelerated depreciation in that. So the trend continues.
Now moving on the return ratios. For the 9 month period we have clocked ROCE of around 16.6% and ROE of around 12%. So here again I would like to clarify that the capital infusion has increased the cap

ital base. But operations are yet to elevate. Hence returns in short term are

showing some dips. Right indicator for the return ratios are annual numbers. Even though we have clocked in excess of 16% ROC and around 12% ROE. If we factor in the accelerated depreciation our ROE will be at a very high level. Also these returns need not be looked into isolation. This needs to be looked in the perspective that it is over and above the impact our projects are creating on the societ y.
Moving to the debt. We have closed the 9 month period. Debt has come down to the level of INR2,692 crores. On gross basis and on the net basis it is around INR1,788 crores. On the net basis the debt equity is working out around 0.35 times of the net worth. Order book we have already talked about.
So on behalf of Afcons Infrastructure Limited I thank everyone for attending this call. Now I

request moderator to open the floor for Q&A.
Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line on Jainam Jain from ICICI Securities. Please go ahead.
Jainam Jain: Thank you for the opportunity. So sir my first question was what is the order flow guidance for FY26?
Paramasivan Srinivasan: FY26 order flow guidance is INR25,000 crores.
Jainam Jain: And how are we seeing the order pipeline currently like what is the order pipeline?
Hitesh Singh So the prospective as you understand our projects are long gestation projects. So our order pipeline we generally monitor on a rolling basis of around 2 years. So currently we have a visibility of around INR3.46 lakh crores of orders. And they are spread across the segments where we are visible.
As rightly so the largest visibility we have in Afcons infrastructure which is close to a lakh crores. Surface transport which is our road and rail business. There also we expect good number of orders to come. Around INR90,000 crores is the visibility in that area. Hydro underground which includes dams, pump storage schemes, tunnels that is around INR80,000 crores. And marine is around INR60,000 crores. So that is the visibility we have for the next 2 years.
Jainam Jain: Okay. And sir what is the project value for which we have bidded currently? Like for the tenders which are yet to be opened and we have bidded for?
Hitesh Singh On a rolling basis around INR40,000 crores to INR45,000 crores of tenders are being bid by the company across verticals. And that it keeps on I mean some projects we won, some projects we lose. But around INR40,000 crores to INR45,000 crores is on a continuous basis.
Jainam Jain: Okay. Are there any major projects which we are expecting the tenders to be floated in the coming months in terms of metro or urban infra projects?
Hitesh Singh Sorry your voice was not clear. Can you please repeat the question?

Jainam Jain: Are there any major projects which we are expecting the tenders to be floated in the coming months in which we are planning to bid?
Paramasivan Srinivasan: There are quite a number of projects. Two specific projects which we can mention is one is Dubai municipality where there is a big sewage tunnels are coming up by tunnel boring machines where we are already pre -qualified. That is in this thing in consortiu m with couple of others. It is about $3.5 to $5 billion each. That is coming up by the next 3 to 4 months. And in domestic in Maharashtra we have the Bhayandar -Virar connectivity which is coming up which is about INR75,000 crores of jobs split into 6 packages JICA funded job. So that is something which is again a marine project, a marine bridge which will be a specialist project. So there also this is another big project.
The third big project which is coming up is a tunnel under Brahmaputra

in north east where in
Assam. That is also in the pipeline. There are number of other projects. Vadhvan port is coming up with two projects breakwater and desalting tank. Andaman port is coming up with projects. And there are number of other bridge projects are in the pipeline. I am just giving the flavor of big projects where limited pre -qualification possibilities and other.
Jainam Jain: Okay. And anything in metro segment?
Paramasivan Srinivasan: In metro segment? Metro segment already we have bid for indoor underground metro. We have bid for Patna underground metro. And it is on a continuous basis. Recently government has announced expansion of NCRTC where we have done one elevated and one underground. So they are going to be a big investment coming up. They were already sanctioned long back. But now it is put into action. So that is coming up.
And everywhere the expansion s are taking place in the metro projects. In Bombay has announced expansion of metro. And Delhi has announced. And Chennai has announced expansion in Chennai and also extension to Coimbatore and Madurai. So number of places metro expansions have been announced.
Jainam Jain: So we expect all the segments to book order?
Paramasivan Srinivasan: And in terms of urban infrastructure we expect continued growth. And that is something where the government is also pushing quite a lot. And in marine we find a good opportunity currently in the domestic market which was not there for the last few years. Because of Vadhvan port, Andaman port and similar.
And this thing in terms of surface transport I think it will be left more to the specific states. As NHA I projects as you mentioned that it has become very crowded. Therefore it depends on more state specific projects which number of states have come up with proposals. And with the government also giving in 50 year interest free loan which they can use as equity towards raising funds.
So that will go a long way for state level related development. Therefore in terms of project

pipeline we don't find much issues. That's on the domestic market. International market as I told

you Dubai is there. Saudi we have a focus currently. And Africa is slowly coming back, reviving back after post COVID. That gives an opportunity to us. And some of the European markets which you mentioned earlier as well. We have been focusing on, we are submitting our bids. So that will open up opportunities for us. All these are funded projects by multilateral institutions.
Jainam Jain: Okay. And sir I wanted to know, so the numbers on inventory, trade receivables , unbilled revenue, trade payables and mobilisation advance ?
Ramesh Jha: So if you are looking for number for December. So you are looking at any specific number?
Jainam Jain: So I think inventory, trade receivables , unbilled revenue, trade payables and mobilisation advance . These numbers will help us to analyze the working capital.
Ramesh Jha: Yes, so trade receivables, see I will tell you. As far as the net working capital is concerned, net working capital is still at an elevated level. Because we still see delays in certification of the work done and release of payments in some projects. This has led to the increased uncertified work done receivables , leading to jump in working capital requirements.
Generally this trend remains during the year wherein bill certification and payments are not up to date. So we see the elevated working capital requirements and borrowings in Q2, Q3. And this gets sorted out by Q4 and that's what we are expecting this time around also. Now to give you the specific numbers, the trade receivables are INR3,140 crores. The inventories are INR1,576 crores , unbilled revenue is INR6,134 crores and advances from customers is INR2,383 crores.
Jainam Jain: And trade payables?
Ramesh Jha: Trade

payables are INR4,024 crores.
Jainam Jain: 4,024 crores, okay. That answers my questions. Thank you so much for the opportunity and all the best.
Moderator: Thank you. The next question is from the line of Mahesh Bendre from LIC Mutual Fund. Please go ahead.
Mahesh Bendre: Hi sir, thank you so much for the opportunity. Sir, I heard that the guidance for next year is around 20 %-25% revenue growth. Is it right what I heard?
Ramesh Jha: Yes, that is right.
Mahesh Bendre: Okay, okay. And sir, some of our peers were indicating that there is some kind of payment delay happening from the state governments and many agencies in terms of construction projects. So have we witnessed anything like a similar situation?
Ramesh Jha: See, it again depends from company to company with which counterparty they are working. So as we have in past said that we are very focused when we approach any project and the risk management practices the company has put in place, not only helps us in se lecting the project but at times it helps to remove some of the bad projects.

So we have not had a similar experience but to mention, we also had Jal Jeevan Mission and there the bill certification and payment issues are there.
Mahesh Bendre: Sure. Thank you so much, sir. Thank you.
Moderator: Thank you. The next question is from the line of Bhavin Chheda from Enam Holding s. Please go ahead.
Bhavin Chheda: Good afternoon, sir. Overall good set of numbers and a very strong order intake and a very strong guidance for next year. So just a few questions. I think you mentioned in first 45 days of this quarter, you have received fresh orders of around INR1,100 crores. That's the number you mentioned. I missed that number.
Paramasivan Srinivasan: INR1,283 crores is a marine project from DP World in Gujarat.
Bhavin Chheda: Okay. So you mentioned there is INR10,600 crores L1 plus this INR1,200 and already our order intake for line 1 was INR14,600 crores . So for the entire fiscal, we would be crossing an order intake of over INR25,000 crores, right sir?
Paramasivan Srinivasan: Yes. With L1 already considered, we are already at about INR27,000 crores. We do expect another one or two orders to flow into the company. With that, we will be closer to INR30,000 crores.
Bhavin Chheda: Closer to INR30,000 crores. And for FY26 order intake you mentioned is INR25,000 crores fresh. That is as of now you are estimating?
Paramasivan Srinivasan: Yes.

Bhavin Chheda: Okay. The other question was on the higher interest cost. The reason you mentioned was the client advances now almost 75% of the advances we have to pay interest versus earlier where 75% of the advances were interest free. So has this happened on a specific segment or specific orders received now or now this has been the general phenomena across all orders?
Ramesh Jha: No, sir. This is not a general phenomen a across. It actually depends that in which segment we have booked the order. So if you see the order booking we have done, generally in metro, in high speed, overseas projects are interest free. So these projects recent past we have not backed but as MD was explaining and Hitesh also explained that the projects we are targeting or in the pipeline are in the segments where interest free advances are available. So the percentage I have talked about is for th e projects we have backed this financial year.
Now as things stand on an overall portfolio the composition may undergo a bit change which earlier used to be 75% interest free and 25% interest bearing. Maybe that number might be around say 50 -50 at the moment. But with a fresh influx of orders we are qu ite hopeful that we will get back to a similar situation.
Bhavin Chheda: Okay, so interest cost may slightly subsidize going forward as the order mix changes.
Ramesh Jha: Yes.

Bhavin Chheda: And the last question on the accelerated depreciation, we appreciate your accelerated depreciation policy to write it off as versus the other companies in the sector. The number you mentioned was one third of the depreciation amount is still on the accelerated part on the TBM .
Ramesh Jha: So what I said is in 9 month period we have INR367 crores of total depreciation cost. Of that around one third is towards the accelerated depreciation we have accounted.
Bhavin Chheda: Okay, thank you sir and best of luck.
Moderator: The next question is from the line of Ayush Sabo from Choice Equity Broking Pvt. Ltd. Please go ahead.
Ayush Sabo: Sir, can you give some guidance regarding the debt picture for the next two years? How much is the amount which is the debt coming down ?
Ramesh Jha: Ayush, your voice was not very clear but what I could hear about was , you wanted to understand the debt profile moving forward for the two years. Is that correct?
Ayush Sabo: Yes, yes, exactly.
Ramesh Jha: So see, what we have talked about, the company is on a year on year basis generating a very positive cash flow from the operations. And the orders we have banked are quite good orders, very quality orders. So going forward we are looking at the business ge nerating sufficient amount of cash flow. We will be generating positive cash flow and the debt on a continuous basis in terms of say debt equity, in terms of debt to EBITDA will keep coming down.
In terms of absolute number, maybe it could be in the range what we have indicated for the year end, say around INR2,000 crores. But I think we should look at improvement from there going forward for the future period.
Ayush Sabo: Thank you.
Moderator: Thank you. The next question is from the line of Nidhi Shah from ICICI Securities. Please go ahead.
Nidhi Shah: Thank you so much for taking my question. So I wanted to ask about the advance that we have accrued over the years. So last quarter also you mentioned the L1s that were in a similar range. I wanted to know how much of the L1s that you have mentioned this quarter are carry forward from the beginning of the year and how much are new. And the ones that have carried forward from the beginning of the year, when do we expect these to convert into LOIs?
Paramasivan Srinivasan: At the beginning of the year we had zero carry forward of L1. Whatever is the carry forward is during the year only. And we do expect all these orders to fructify before the end of the financial year. A couple of things could come up earlier. Maybe the Rajasthan Water Project and the Pune Ring Road Project. Quite likely it could come in the month of Feb ruary itself. And the Nagpur - Gondia could come towards March. That's what is our expectation as things stand now.

Nidhi Shah: Alright. And my second question would be on, you mentioned that you would be also moving to some developed countries for bidding for projects. I wanted to understand what the margin profile would be like in those countries. Typically what we have seen for other EPC companies is that margins are lower abroad, especially in developed countries. With the projects that you are bidding for as well or is it the opposite?

Ramesh Jha: Our experience in the overseas market is quite positive. And in fact we generate a very high margin s in the overseas market. So overseas continues to be a good margin generating segment for us. And we are quite focused on working in the overseas market.
Nidhi Shah: Even in the developed countries where the margins tend to be lower, you are positive about those countries as well?
Ramesh Jha: So see in the overseas market, it's difficult to put developed and all, but we are not working in say a place like America, Northern America or Southern America, those p

laces we are not working. And the places we are working is neighboring countries. We are wo rking in Africa. And we are targeting markets like Eastern European markets, Saudi Arabia and some projects in Dubai.
Nidhi Shah: Alright. Thank you so much.
Moderator: Thank you. The next question is from the line of Parvez Qazi from N uvama Group. Please go ahead.
Parvez Qazi : Hi, good afternoon everyone and thanks for taking my question. So the first question is that of our INR38,000 crore order book, what is the quantum of project s where we are yet to receive the appointed date?
Paramasivan Srinivasan: INR38,000 crore s is the order book which is already there in the books. Apart from that, we have another INR1,300 crores, INR1,283 to be precise. With that, it's about INR40,000 crores pending order book, plus INR10,000 and odd crores we have L1 status.
Parvez Qazi : Sir, I was asking about the appointed date and for the INR38,000 crore s order book, have we got the notice to proceed from our client or are the projects already in?
Paramasivan Srinivasan: All the cases, including that INR1,283 crores , we have received in all the cases notice to proceed.
Parvez Qazi : Yes. The second question is, did I get it right that we expect our debt level to reduce to about INR2,000 crores by the end of FY25?
Ramesh Jha: Yes, that's what the target is.
Parvez Qazi : Sure. And lastly, what was the capex that we have incurred in nine months?
Ramesh Jha: The capex we have incurred in the nine months is around INR250 crores.
Parvez Qazi : And of that portion, what would have come in Q3?

Ramesh Jha: Come again? I'm not clear on the question.
Parvez Qazi : Sir, what was the capex in Q3?
Ramesh Jha: In Q3, it was around INR125 crores odd.
Parvez Qazi : Sure, sir. Thanks and all the best. Thank you.
Moderator: Thank you. The next question is from the line of Prateek Bhandari from Art Ventures. Please go ahead.
Prateek Bhandari: Hi, sir. Thanks for the opportunity. If you can give a sense of what typically is our bid success ratio and what is the current bid pipeline?
Hitesh Signh : So our bid success ratio is typically in the range of 18 % to 20%. And the pipeline, as I have just mentioned, we have a very healthy pipeline. For around 2-year visibility, we have close to INR3.4 lakh crores of pipeline spread across segments. So on the availability of projects, we don't see any challenge. And that's why the guidance is given for FY26 that we are targeting INR25,000 crores of fresh order booking.
Prateek Bhandari: Okay. And of the total quantum of debtors you mentioned, which are INR3,140 odd crores, how much of them would be 6 months older?
Ramesh Jha: You see, last time also I had explained that generally in our debtors, the number we are giving you is distributed in three parts, roughly one -third, one -third, one -third. One is normal receivables, which will be, say, around 30 to 40 days kind of normal r eceivables. One -third is towards retention money, which we receive as per the terms of the contract. And around one - third is towards arbitration debtors.
Those arbitration debtors of that around INR1,200 crores, we have already received around INR668 crores by giving bank guarantee under the NITI Aayog guideline. But since the accounting standard requires that the gross amount of arbitration receivable needs to be shown in the books as gross receivable and the amount we have received as liability, so that's how it gets reported in the books. So to answer you, this arbitration receivables could be more than six months.
Prateek Bhandari: More than six months?
Ramesh Jha: Yes, older.
Prateek Bhandari: That one -third you mentioned about the arbitration debtors, right?
Ramesh Jha: Yes, because it takes time. Unless those matters are settled in the court, even though we have re

ceived more than 50% amount, but it needs to be classified as gross amount as receivable. And
unless those are settled, it remains in the books. Those are generally older cases.
Prateek Bhandari: Okay. And what would be the quantum of contingent liability on the balance sheet as on
December ‘24 ?

Ramesh Jha: So contingent liability as on December ‘24 will be around INR1,400 crores.
Prateek Bhandari: 1,400?
Ramesh Jha: Yes.
Prateek Bhandari: And of this, what would be the quantum of claims?
Ramesh Jha: So are you asking about the claims or the variations we have to receive from our customers?
Prateek Bhandari: Yes. I'm talking about the claims. If you can give a split of this INR1,400 crores.
Ramesh Jha: So this INR1,400 crores we have talked about is contingent liability which is in our books. Of
this, around INR480 odd crores, so say close to INR500 crores, is towards one of the royalty
claim which has been put on us. So this has been set aside by Nagpur High Court and then the
same matter, the party had gone to Bombay High Court wherein they have actually put the case
against the government of Ma harashtra.
So that is one item. Ideally, this should have gone up but since they have again gone into
litigation, so the amount is outstanding. Closer to INR500 crores is various disputes or the claims
put by our subcontractors against us. So those are around INR500 crores. And close to INR400
crores will be pertaining to some of the tax -related litigations we are fighting.
Prateek Bhandari: Okay. So INR500 crores of the royalty claim and INR500 crores is for the subcontractor dispute
and the remaining INR400 crores in the form of taxes and others?
Ramesh Jha: Yes.
Prateek Bhandari: Okay, sir. Thanks for answering my questions.
Moderator: Thank you. The next question is from the line of Vineet Prasad from Investec. Please go ahead.
Vineet Prasad: Yes, thank you. So just I had a couple of questions. The first one being on the oil and gas sector.
In the previous conference call, we spoke about us having or the industry having presented to
government and ONGCs changing the project terms, etc. So how is it? Any progress on that
front which is made?
Paramasivan Srinivasan: As of now, no, not much progress in this. Efforts are still on to get the contracting methodology
and the implementation of contract administration improved. And so we have been resisting
from quoting to ONGC till such time they make it.
Vineet Prasad: Understood. And if you can share some update on Bangladesh orders, where are we? Has the
execution commenced again or we'll be dropping those orders? Where are we on that?
Paramasivan Srinivasan: On Bangladesh, both the governments are insisting that we do the work, both Indian government
and Bangladesh government. One particular project is in the process where we have not
commenced as yet. We have conveyed earlier also Package 3 of a road project, WP3, where they
awarded the contract 19 months later than we submitted the bid.

And where we said unless rate revision is done, we will not commence the work. That project is
probably going towards cancellation and that is something which will be about INR600 crores.
About INR600 crores value. So that is likely to go out. The other two projects we are just waiting
for the variations and others to be approved for doing the work. We have put a skeletal team
there. We have not started the work. The government of India has started paying the money now.
Either two they were not paying.
Now they have started paying the money. Government of Bangladesh wants us to work and we
are just working around to see that in both the cases, both the railway project and one of the road
projects, both the cases the variations have been approved and reco mmended

by the government
of Bangladesh to the government of India which is yet to be approved. We are just waiting for
the approval to go full hog on that.
And in railway projects there are three parts. Part 1 has been already handed over. Part 2 they
have given the land now. Part 3 they are yet to give the land. And in package 1 of the road
project, last 600 meters is something which they are yet to hand over to us. And there is a
likelihood of discussion and settlement that 600 meters will be removed from the scope because
already two years since the project deadline is completed. They have given extension though but
this will prolong. They are not able to acquire that part of the land because it is a more crowded
place.
So we are working with both the governments, both the government of Bangladesh and the

government of India to see things are settled to the mutual satisfaction.
Vineet Prasad: And sir, last question from my side. We spoke about maintaining 11% EBITDA margins. Now I understand 11% is after including other income layers of BG expenses. But we have done a lot higher, probably closer to 13% for the three consecutive quarters now in the nine months, this quarter as well. So do you think this 11% EBITDA guidance is slightly conservative and we can still do much better? Not saying that we may still continue to deliver 13% or so, but is it slightly on the conservative side ?
Paramasivan Srinivasan: Our construction industry, as we keep always telling, has a lot of contingencies happening continuously. While our guidance will continue to be 11+. For the current year, it could be well crossing 12. And for the subsequent years or otherwise, we would say 11+. Could happen higher, but we would not like it to fall below 11.
Vineet Prasad: Understood. Thank you so much, sir. Thank you.
Moderator: Thank you. The next question is from the line of Bhoomika Nair from DAM Capital. Please go ahead.
Bhoomika Nair: Yes, sir. Sir, you spoke about the margin profile and the interest -bearing advances which has actually increased. As we move ahead, given that interest costs will kind of stay elevated because of this interest -bearing advances, would the margin profile in what we've seen in the nine months actually continue to remain on the higher side with PBT margins being more stable and the correct way to look at things?

Ramesh Jha: What we have talked about that even going forward, we should see improvement in our PBT margin. Gradually, even our PBT margin should improve.
Bhoomika Nair: Okay. Any which way, the PBT margin has also improved in the nine -month period. And would that be a more correct way to look at it as what we've seen in the nine months to kind of sustain as we go ahead?
Ramesh Jha: Yes. See, the EBITDA margin, if you see, year on year has improved and so is PBT margin. Now, I mean, it's up to the investors or individuals how they want to look at it. But generally, people look at the operating margin and people also look at, say, PBT margin or a PAT margin.
Bhoomika Nair: Sure. So the other thing is in terms of capex , if you can just tell what is the status of the TBM machines? And while we've done some INR200 crores - INR250 crore s of capex , what are we looking at for this year? And is that number, how does it look like for the next year as well?
Paramasivan Srinivasan: With respect to TBM machine, at the highest level, Railway Minister convened a meeting calling the machine manufacturers as well. We had a very good meeting. Alternatives are being attempted to bring in the machine. And while there has been a delay of a few months on account of border -related skirmishes between India and China. And the things are, I think, more or less getting resolved. Subsequent to the meeting, Foreign Secretary also visited China, all that. And I had also met Fore ign Secretary

in this connection. With that, I think things should find a resolution with respect to TBM. Regarding capex funding details, Ramesh will brief.
Ramesh Jha: For this financial year, we expect to close the full capex somewhere around say INR450 crores to INR500 crores. And this is much lesser than what we had budgeted for the year. Now, last time also, we had discussed that some of the project awards got shifted. So we have aligned our capex procurement in line with the project awards. And also the tunnel boring machines also got shifted to subsequent period .
As this has reduced in this financial year, n ext financial year, we are looking at from the number what we had budgeted, we'll have to revise the number. So for next couple of years, we'll be having a higher number what we had budgeted earlier. But since many projects, recently we have completed a couple of projects and maybe say next six, eight months we are also looking at completion of some of the projects, so many equipments are going to get free.
So we will recalibrate the requirement and as things stand we are looking at there could be a slight reduction . If we see three years period, say 25, 26, 27, the total quantum of capex what we had planned, there is a possibility that there could be some reduction in the overall capex requirement. So 26 and 27, there will be an elevated number but if we consider three years, the number will come down. The overall, gross number.
Bhoomika Nair: Understood, sir. So just one follow -up on the TBM, given the delay in receiving it, will there be any challenges on execution of any project for which the TBM was planned and there could be some elongated one -off project which could get impacted?
Paramasivan Srinivasan: In general, the government had taken things seriously and had talked to the people and all the projects where TBMs are involved, there have been some delays. There is also fresh initiative

from Government of India jointly with the Government of Germany to have a manufacturing base set up in India.
The existing Chennai facility of Ericnet is being expanded. The first such TBM assembly entirely had happened in India very last week only. So therefore, there is more attempt towards indigenization of overall scheme of things. So temporarily, whatever projects which have been awarded in the last about one year plus, wherever TBMs are to come in, there have been some amount of delays and the delays could impact the project to an extent. But once the TBM starts arriving and the project commences, there will be no issues.
Future projects, I think people will plan accordingly. They would not like to get even some parts from China or anything to avoid such kind of delay s, they will accordingly price it . That is what our belief is .
Bhoomika Nair: Understood, sir. Thank you very much.
Moderator: Thank you. The next question is from the line of Garvit Goyal from Nvest Analytics . Please go ahead
Garvit Goyal: Good afternoon, sir. Congrats for decent execution in this quarter. While most of my questions are answered, I just want to get your view on like we all know like everywhere there are talks regarding the slowdown happening in the economy level in terms of execution. But your numbers are saying a different story, right? So how are you seeing right now in Q4 the execution, the kind of execution of the kind of government demand that you are seeing in the project to the government initiative towards execution of these pro jects?
Paramasivan Srinivasan: Towards as you would have seen, highest ever order book in the history of Afcons is being achieved in the current financial year. So while everyone has talked about slowdown and so our own requirement being on a comparative scale much less, we don't find any problem. In terms of government itself, government is ve

ry focused on infrast ructure development.
The priorities could shift as we told earlier also that while probably for some time roads had been focused for nearly 25 years and now the focus gets shifted to railways, to hydro segment and some of these areas and road kind of activities being shifted t o state level development instead of centrally developing the roads. They are probably looking at developing roads through the states by the state level initiatives by special funding mechanism to the states for the equity portion or whatever.
And similarly border related connectivity there have been a lot of focus and some under developed states it does appear that there is going to be a lot of focus. And also it appears there is a significant focus on agriculture, irrigation related infrastructure. So that would be a very significant river linking project or the various levels of irrigation projects those are taking a proper shape.
And the very fact that even with all these the government has found a way with the tight fiscal controls also , a 10.1% increase over the revised estimate of the previous year should convey government's continuous focus on infrastructure. And for us it is not only India , we are looking

at overseas market as well. Therefore that gives an opportunity in some of the markets which is opening up. And that gives an additional opportunity.
Therefore we don't believe any perpetrated slowdown is not going to impact us in the near future.
And in terms of slowdown also there is no real slowdown. There has been shift in segments which in the process which are one segment two segment focused contractors may get impacted.
But not a diversified contractor I would put it.
Garvit Goyal: Got it sir. That is it from my side sir. All the best for the future.
Moderator: Thank you. The next question is from Disha Shah from RR Investments advisors. Please go ahead.
Disha Shah: Thank you for this opportunity. So I have two questions. One is we are saying that bidding pipeline we have of INR3.5 lakh crores. So could you please highlight that will it be just domestic or will it include domestic and international both. Could we have a split of it in terms of percentage?
Hitesh Singh : It includes both domestic and overseas. And close to 30% of this is overseas and 70% is domestic. Out of the INR3.46 lakh crores I have mentioned.
Disha Shah: Okay. Thank you. So my second question would be out of the current order book of INR38,000 crores, how much percentage is under completion stage which we can recognize as revenue in the near future for the next 2-3 fiscal year s?
Ramesh Jha: As far as revenue recognition is concerned , the revenue recognition happens on a percentage completion basis . And as per the accounting standard prescribed under IND AS 116 we

recognize this revenue. So of this INR38,000 crores if you are looking at what percentage should get completed over a period of time. So our average execution period should be 2.5 years. So that should give you an idea what we are talking about.
Disha Shah: Okay. Thank you so much. That's it from my side.
Moderator: Thank you. Ladies and gentlemen, that was the last question for the day. I now hand the conference over to Mr. Vineet Prasad for closing comments. Over to you, sir.
Vineet Prasad: Thank you. I would like to thank the management team of Afcons for giving us a chance to host the call. Thank you so much. Thank you everyone for joining us. Sir, would you have any closing remarks?
Paramasivan Srinivasan: We would only like to say that Afcons continues to hold its value. We continue to do a strong technologically complex and innovation -led project. And it would not be out of place to say that in terms of construction technology, we could well be the leader. And Afcons will continue to focus the way we are focusing on

the risk management framework and knowledge management which helps the company to grow significantly.
And we believe that we are poised for a continued growth for the next few years as advised earlier, 15 % to 16 % CAGR over the next few years as we had achieved a similar number over

the last 10 years . And in terms of EBITDA, you would have seen we have been consistently improving. While our general guidance is 11 plus percent, we look forward to continued improvement in the areas to come. And we would continue to operate as a transnational operator and we look forward to investors staying invested with us over a longer period of time to gain full value. Thank you.
Moderator: On behalf of Investec Capital Services India Private Limited , that concludes this conference . Thank you for joining us and you may now disconnect your lines.

Call: Jun 2025

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Date: June 02, 2025

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BSE Limited
Corporate Relationship Dept.,
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai 400001.
To
National Stock Exchange of India Ltd
Exchange Plaza, Plot No. C/1, G Block,
Bandra -Kurla Complex,
Bandra (East), Mumbai 400 051.
Scrip Code: 544280 Symbol: AFCONS

Subject: Transcript of Q4 & FY25 Earnings Conference Call

Pursuant to Regulation 30 and 46 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the Transcript of the Q4 & FY25 Earnings Conference Call held on Tuesday, May 27, 2025 .

The aforesaid Transcript is also being uploaded on the website of the Company:
https://www.afcons.com/en/investors -meet

Thanking you,

Yours faithfully,
For Afcons Infrastructure Limited

____
Gaurang Parekh
Company Secretary and Compliance Officer
Membership No.: F8764

"Afcons Infrastructure Limited
Q4 & FY '25 Earnings Conference Call "
May 27, 202 5

MANAGEMENT : MR. SUBRAMANIAN KRISHNAMURTHY – EXECUTIVE
VICE CHAIRMAN – AFCONS INFRASTRUCTURE
LIMITED
MR. PARAMASIVAN SRINIVASAN – MANAGING
DIRECTOR – AFCONS INFRASTRUCTURE LIMITED
MR. RAMESH KUMAR JHA – CHIEF FINANCIAL
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MR. HITESH SINGH – HEAD CORPORATE STRATEGY –
AFCONS INFRASTRUCTURE LIMITED

MODERATOR : MR. ANUPAM GUPTA – IIFL CAPITAL

Mod erator: Ladies and gentlemen, good day and welcome to the Afcon s Infrastructure Limited Q4 and F Y '25 Earnings Conference Call , hosted by IIFL Capital. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch -tone phone.
Please note that this conference is being recorded. I now hand the conference over to Mr. Anupam Gupta from IIFL Capital. Thank you and over to you, sir.
Anupam Gupta: Thanks, Manav, and welcome everyone to the discussion with the management of Afcons Infrastructure Limited . From the management, we have Mr. Subramanian Krishnamurthy, Executive Vice Chairman for Afcon s, Mr. Paramasivan Srinivasan, Managing Director, Mr. Ramesh Kumar Jha, Chief Financial Officer, and Mr. Hitesh Singh, Head Corporate Strategy. To start off, I will hand over to the management for the opening comments post which we will have a Q&A. Over to you, sir.
Subramanian K: Good afternoon, ladies and gentlemen. I am pleased to wel come all of you to the Q4 and FY 25 earnings conference call of Afcon Infrastructure Ltd. Our financial results and investor presentation have been uploaded on the exchanges, and I hope you had a chance to review them.
As told, joining me today are Mr. Par amasivan Srinivasan, Managing Director, Ramesh Jha, Chief Financial Officer, and Hitesh Singh, Corporate Strategy Head. Let me begin with a brief overview of our performance. Afcons reported a Q4 F Y25 total income of INR 3,387 crores compared to INR 3,809 crores in Q4 F Y24. For the full year, the total income was INR 13,023 crores, slightly below the INR13,647 crores recorded in the F Y24.
This marks only the second time in a decade that we have missed our budgeted turnover with the COVID year being the prior exception. Our top line faced headwinds from challenges such as cash flow constraints in Jal Jeevan mission projects, political instability in Bangladesh and
delays in project awards, and L1 to LOA conversions.
While we took proactive steps to address these challenges, their scale impacted our performance.
Our CFO will elaborate on these factors. Despite these obstacles, our disciplined financial management and robust cost controls enabled us to deliver strong pr ofitability metrics.
Turning to our profitability metrics now, EBITDA for Q4 stood at INR415 crores compared to INR482 crores in Q4 F Y24. For the full year, EBITDA margin improved by 120 basis points, reaching 12.8% compared to 11.6% last year. FY EBITDA stood at INR1,662 crores, register ing a 5% year -on-year increase.
Profit after tax for Q4 FY was INR 111 crores compared to INR 145 crores in the same quarter last year. For the full year, PAT stood at INR 487 crores, reflecting an 8% growth over FY24.
On the debt side, total debt at the end of FY25 stood at INR 2,285 crores, down from INR 2,455 crores. In FY24, our debt -to-equity ratio correspondingly moderated from 0.68 to 0.42. There were several notable developments during the year.

Crisil rated companies banked loans and assigned AA - with a stable outlook for long term and A1-plus with a stable outlook for the short term. Upgrades from the earlier rating of A1- plus in the long term and A1 in the short term.
This reflects our strong execution capabilities, healthy business profile and consistent performance to complete in complex infrastructure projects across geographies. We were also included in the MSCI India Domestic Small Cap Index as well as Nifty 500 an d Nifty Small Cap 250 indices, further validating our growing relevance in the capital market. Our project execution trend, we completed m

any projects for which you received a completion certificate.
97 km Ghana Railway project, the longest in Ghana, the East -West Kolkata Metro India's first under -river metro tunnel, the Tirupati Smart City project, a water supply project in Zanzibar, Pitch 2 of Nagpur Metro Rail project featuring India's first four -level viaduct. In addition to project execution, we continued to build institutional strength and industry leadership. Af cons was recognized among India's top 500 most valuable companies in the 2024 Burgundy Private Hurun India 500 list.
We also received several prestigious awards, reaffirming our position as a company committed to knowledge, innovation and engineering excellence. Our seventh consecutive MIKE Award for knowledge management, the IEA Industry Excellence Award in the Platinum category received fourth consecutive year and recognition as India's 75 most innovative companies by CII. Safety is a non -negotiable priority at Af cons and we continue to elevate our safety standards to meet global benchmarks.

One of our projects in Liberia received a procedure five -star golden award and a safety shield
from the National Safety Council of India. Additionally, the British Safety Council conferred
international safety awards for two of our projects in Bihar and for package ships in Delhi -
Meerut RRTS project. Eleven other projects were recognized for safety excellence by the World
Safety Organization and the Indian Chamber of Commerce.
In line with our focus on improving efficiency, we are making investments in adoption of
emerging technologies and digital transformation. We expect to reap the benefits of these
investments in the near future. We reaffirm our commitment of creating value for our
stakeholders, customers and shareholders and we wish to thank you for all your support and
trust.
I now hand over the call to our Managing Director Mr. Param asivan Srinivasan who will share
deeper insights into our strategic developments and future roadmaps. Thank you.
Paramasivan Srinivasan: Thank you Mr. Subramanian. Good morning everybody. It is my pleasure to welcome you all at
the Q4 and F Y25 Earnings Conference call of Af cons. We truly appreciate your continued
interest and support in our journey. Financially, 25 has been a mixed year for the company.
While we have seen a post -election slowdown that continues to linger, the government's
commitment to infrastructure development r emains strong as is evident from the union budget.
Geopolitical uncertainties have posed challenges impacting supply chains and in certain cases
project timelines also. The ongoing tariff tensions are altering global business landscape though

the long-term implications are still unfolding. That said, we have seen some positive momentum
on the ground and remain optimistic about the medium -term outlook.
Despite these headwinds, we are confident about our growth trajectory. For FY26, we are
targeting a top-line growth of 20 %-25% with new order booking in the range of IN R20,000 -
INR25,000 crores , excluding more than IN R10,500 crores of L1 orders. Regarding the
conversion of these L1 projects, we expect letters of acceptance from two Pune ring road projects
aggregating INR4,788 crores, Rajasthan water supply project of IN R427 crores, two Nagpur -
Gondia projects and all these in the first quarter of the current year.
In addition to the robust top -line growth, we also aim to maintain healthy EBITDA margins and
while we had guide d at 11 plus last year and delivered about 12.8, we continue to guid e 11 plus
for the current year as well. Despite a temporary slowdown, we remain optimistic about robust infrastructure demand in India
and globally.
Domestically, alongside the government's ongoing infrastructure priorities, we anticipate
increased investments in border infrastructure, connectivity projects

such as roads and tunnels as well as accelerated focus on the hydro sector. Afcons with its diversified expertise and proven
execution track record is well positioned to drive these initiatives and support India's
infrastructure and strategic goals.
Internationally, we see emerging opportunities in our focus region including Africa and some of
our neighboring countries as well. Apart from that, there are definitely some positivities in the
Middle East and Saudi. We have explained on multiple occasions how and why we have reduced
our exports in the Middle East. We are now working on select opportunities in Saudi and Dubai,
partnering with s trong local players to capitaliz e on evolving market dynamics.
As of March 31, 2025, our pending order book stands at INR 36,869 crores, highest in Af cons'
history. And it's roughly about 2.9x of our turnover. We recorded strong order flows. We have
always maintained that this thing we will maintain between 2.5 to 3.5x while outer limit could
be 4x. We recorded strong ordering flows of INR15,960 crores and we are confident.
We have already explained the L1 status. We also made strategic entries into n ew segments and
geographies, Afcons entered into water supply tunnel segments through two projects awarded
by CIDCO and MCGM. We have also bagged our first marine project with prestigious client
DP World, further diversifying our client base.
Notably, we completed the incorporation of our joint venture company in Saudi Arabia with a
local partner and plan to commence project bidding activities soon. In conclusion, I would like
to reiterate that Af cons is strongly positioned to capitaliz e on emerging opportunities in the
infrastructure sector.
With a healthy order book, robust business development process and a solid execution track
record, we are confident of delivering sustained growth and long -term value for all our
stakeholders. With this, I conclude my remarks and now hand over the call to Mr. Ramesh Jha, our Chief Financial Officer,
who will take you through the financial pe rformance in detail .
Thank you all.

Ramesh Jha: Thank you, sir. G ood morning everyone. Before getting specific into the numbers, I would just like to clarify that company is into business of construction, the margin in a quarter varies based on the nature, type and quantum of work executed. So, quarterly results may vary in differ ent quarters and may not be indicative of annual results or trends.
Now, to the specific numbers in Q4 FY25, we have done a total income of INR 3,387 crores as against in Q4 2024, INR 3,809. So, the Q4 number on year -on-year basis has come down 11.1% and as compared to Q3 FY25, the number is 1.7%, it has gone up. And, in terms of full year number, the total income is INR 13,023 crores as against FY24, INR 13,647 crores.
So, on a full year basis, the number has come down 4.6%. Now, if we talk specifically on the revenue, Q4 we have seen generally there was a delayed payment. Payments were not very smooth from many customers. We witnessed funding requirement from many proje cts at the same period of time in Q4.
This was not possible because of at a time requirement to fund. Under the circumstances, we decided to balance between funding growth and maintaining liquidity. So, we funded projects up to a limit, but we had not gone beyond a point to avoid overexposure in any project. Usually, we have seen that in Q4, we do at least 15 % to 20% turnover more than what we do in Q2, Q3 backed by smooth payment from customers.
This gives us benefit of economies of scale and improves the profitability in Q4 and then the impetus is on the full year as well. However, for the full year, we achieved a turnover of 13,000 crores which came down from the previous year top line. This year, we could not achieve the planned turnover on an overall year basis because we cou

ld not do the planned turnover in our project in Bangladesh because of the reasons you all are aware.
Jal Jeevan Mission, we had seen bill certification and payment related issues. So, this has impacted the Q4 turnover and this has also impacted on the overall profitability usually in a year when I said that in Q4, we do 15 % to 20% more tha n not only in the quarter, on overall year, it gives the benefit.
So, these were the main reasons for top line. Now, as far as revenue guidance, MD has already talked about. So, in FY 2025, we have booked around rupees INR 16,000 crores of order and we are L1 in project worth INR 10,600 crores. We are targeting to better the order booking in FY26 as compared to 2025.
Therefore, in FY26, backed by the strong order book we have and the kind of order booking we are looking at, we are looking at a top line growth in the range of 20% to 25%. On a medium to long term horizon, we would like to sustain our long term CAGR achieved of around 15%.
Now, moving to EBITDA, during the quarter, we have done INR 415 crores of EBITDA which is 12.2% and this if we correspond with the previous year Q4 where we had done INR 482 crores, 12.7%. So, the number has come down from the previous year and if you look at the same number from the Q3 of this financial year where we had done INR 448 crores, from that also the number for the Q4 has come down.

On an overall yearly basis, if we see, we have done INR 1,662 crores of EBITDA as against INR1,583 crores in the previous financial year. So, the overall year EBITDA has gone up by 5%. And in terms of percentage, FY25, we have done 12.8% as against FY24, 11.6%. Now, EBITDA, in our EBITDA calculation, we consider BG commission as part of our operating expenditure.
So, EBITDA that we are talking about is after removal of BG commission as expenditure whereas we understand that the market considers BG commission as part of interest or finance cost. Hence, if you consider that way, then the EBITDA will increase to the extent of INR168 crores which works out to be 1.3% of the total income. So, what we are talking about 12.8%, it will go to 14.1% whereas at the same time, the market removes the other income.
So, that is another nuance which one needs to factor. As far as other income is concerned, our EBITDA calculation, what we have talked about 12.8% includes other income as part of revenue. Here, we have explained earlier also that our other income needs to be understood in the perspective of our business. Arbitration interest, foreign currency exchange and miscellaneous incomes are recurring and very integral to our business.
Hence, these needs to be considered as other operating income. So, for the full year, the total operating income is INR 474 crores. Now, when we have talked about EBITDA, I would also like to clarify that construction is full of contingencies. Our endeavor will be to save on those contingencies or optimize those costs , but many a times, we may not be able to save those contingencies.

Hence, our guidance will remain around 11%. Now, moving on from EBITDA, if we look at the profit before tax, for the Q4-25, we have done INR 184 crores as against we had done INR 207 crores in the previous Q4- 24. And in the previous quarter, Q3 of 25, we had done INR 200 crores. For the full year, we have done INR 710 crores as against INR 673 crores done previous year. So, on a full year basis, the profit before tax has gone up by 5.6%. And in terms of percentage, for the full year, it is 5.5%, whereas last year we had done 4.9%. Now, from EBITDA to profit before tax, we would like to clarify that finance cost during the year, we have seen that the payments were not forthcoming as smoothly as one would have expected. Payments in Jal Jeevan Mission projects were not coming.
We hardly received anything in UP projects full year. And in MP pr

ojects, it was coming with lot of raffling . We witnessed overall stretch across the spectrum in payment. This resulted in higher average borrowing during the year. Because of this, interest cost has gone up. This year, our international order booking is low where the advances are higher and all the advances are interest -free.
Coupled with this, new interest-bearing advances we received has elevated the interest cost on client advances, taking the overall interest cost high. Usually, 20% to 25% of our total advances are interest -bearing , but of the new jobs we have received during the year, 75% of the projects were having advances with interest -bearing cost. So, because of this, our interest cost on an overall basis has gone up. And that is why the PBT number is at INR 710 crores.

Now the PBT is also , after considering the accelerated depreciation, because we continue to account for accelerated depreciation on our TBMs . Of the total INR 491 crores of depreciation, around one -third is on account of accelerated depreciation. So that also needs to be factored when we look at the PBT num ber or any return we calculate.
Now, moving on, profit after tax. For the full year, we have done INR487 crores and as against INR450 crores done in the last year, it has grown 8.2%. And if we look at the specific for the quarter, INR111 crores we have done in Q4 '25 as against INR 145 crores we have done in the last year Q4 '24 and INR 149 crores done in Q3 '25.
Now, another important aspect one may look at that, if you look at the tax rate as a percentage, it is working out around 30% or so. So, the tax rate on Afcons profit, if we look at Afcon s plus its joint ventures, the tax rate on Afcons profit is around 27.5% only. This is on account of our JVs. And of course, this 27.5% is also higher than the normal, one would expect 25.17% normal tax rate. So, this 27.5% is higher because our JVs pay tax in the range of 35% to 36%.
Second, in some overseas locations like Bangladesh, some African countries, the turnover is charged at the turnover. So, in such a situation, if you don’t make profit above the threshold, your tax deduction needs to be charged as an expenditure. So, that also takes the tax rate higher.
Now, when I talk about Afcons plus JV, the rate is 27.5%, whereas on a consolidated basis it is 30%. So, in some overseas subsidiaries, we had to make some provisioning on a conservative basis and that is how the profitability has come down. And if you look at on a consolidated basis , the tax rate is appearing higher. Otherwise, Afcons plus JV, the tax rate is only 27.5%.
Now, moving on, if you look at some of the return ratios, so return on capital employed, we have done 17%, as against we have done around 20% last year and return on equity as against done 13% last year, we have done 11%. So, capital infusion has increased the capital base, but operations are yet to elevate.
Hence, returns in FY '25 is 17.28% on ROCE basis as compared to previous year 20.18% and we have clocked in around 11% ROE. So, and at the same time, I would like to clarify that these returns are return on equities after the accelerated depreciation. So, once the business elevates, these returns will go back to the normal lev els what we were doing earlier.
Now, on the debt basis, at the year end FY '25, our debt has come down to the levels of INR 2,230 crores on a gross basis and INR 1,486 crores on net basis. On net basis, debt equity is working out around 0.28 x of the net worth. On gross basis, the debt to equity is around 0.42 x. So, this is, I think very excellent debt matr ix if one would have looked at.
In terms of net working capital days, so net working capital is at an elevated level of 113 days. We are witnessing delays in certification of the work done and release of payment in some projects. This has led to the i

ncrease in uncertified work done, leading to jump in working capital requirement.

Most of the projects got all the billed amount cleared by the year end, but Jal Jeevan Mission remained to be an exception, wherein overall around INR 500 crores worth remained outstanding. This itself is close to 14 days of working capital.

Another important point to note is the recent advances we have received. All of it is classified as non-current advances. So, roughly 25 days equivalent funds, which is otherwise available to us, is not getting factored in the net working calculation cycle.

Just that the recovery of those advances will start only after 20 % to 30% of the project completion. All these advances are getting classified as non -current. Effectively, we need to see the net working capital adjusting for those 25 days as non-current advances, not the full amount, but the incremental from last year. So, this is on the net working capital front.

Now, on behalf of Afcons , I thank everyone for attending this call. Now, I request the moderator to open the floor for Q&A.

Moderator: Sir, should we begin the question and answer session?

Ramesh Jha: Yes.

Moderator: Thank you very much. We will now begin the question and answer session. We have our first question from the line of Aditya Bha rtia from Investec. Please go ahead.

Aditya Bhartia : So, my first question is on the provisioning that we have done in this year. We can see from the cash flow statement that there appears to be elevated provisioning this year. So, which project does it pertain to?

And the related question is on the unbilled WIP part, that given that it has increased a lot this particular year, you mentioned about Jal Jeevan Mission . Are there other projects also that are not getting certified? And within Jal Jeevan Mission , what is your expectation? How exactly does this issue get resolved? I'll come back to the second question.

Ramesh Jha: Yes. So, see, as far as provisioning is concerned, there is an accounting standard on the ECL and recently there was a guidance also on the ECL. Basis that, we have formed a committee and the committee looks at the overall whatever contract assets we have and the receivables we have. Basis that, we have taken feedback from the committee and accordingly we have gone ahead with it. So, it is not specific to one project. It is across projects, wherever we have deemed fit, we have provided for that ECL provisioning. So, that is in line with the accoun ting standard. So, this is one.

On the contract assets or unb illed revenue, so, as I said that we have not gone overboard in funding the Jal Jeevan Mission project. We have funded to an extent and beyond that we have not gone ahead. In Madhya Pradesh project, we have received maybe around 50% of the payment before March and sizable payment was released in the month of April. In UP, we have not seen the payment portion. What discussion our people had with the senior officials at the UP project, they are saying that in June, they are going to release a sizable amount of payment.

Aditya Bhartia : Sure, sir. So, my second question is on the Middle East market, wherein off late you have started speaking a fair bit and it seems that we are looking at certain select opportunities. Just want to understand how the qualification status over there, which a re the areas wherein we are qualified, which are the areas wherein we are focusing on it, how exactly are we tying up with the local contractors and what kind of opportunities are we really looking at? How large can that market be for us?

Paramasivan Srinivasan: Practically, we are looking at tying up with a big player locally, where we will have the maximum share of work, he will have comparatively lesser share of work, b

ut in terms of local environment management and other areas, he will be handling . Practically, for every area, we are qualified and some big projects we are already pre-qualified a nd the proposal has to be made.

We are also looking at a model where some government agency from Dubai or Middle East country, works through a concessionaire and we work as EPC partner for the concessionaire so that some of the contract conditions we have talked about in the past, we can work with the concessionaires to make it advantageous to us. That also we are doing.

In terms of Saudi, we are very much focused on select work to start with and principally the work which are being administered by either the Aramco, SABIC or PIF or some of the Navy related work. These are the kind of work we are focused on in Saudi.

Aditya Bhartia : Understood, sir. And within Aramco, we will be a subcontractor to the main contractor and what about UAE?

Paramasivan Srinivasan: In Saudi, we could be a main contractor also. See, Aramco is not only doing oil and gas now, they are given a lot of infrastructure projects also to be administered. So, we could be t he main contractor with Aramco. So, that is something going on. And in terms of Dubai also, we will be the main contractor. If there is a concessionaire, we will be the contractor as a part of the concessionaire.

In 2 years in succession in UAE, we were rated as the best contractor and in Kuwait, we were
rated as the best contractor for a year. Therefore, in fact, they have been in continuous discussion
with us, why don't you participate? So, we have put certain benchmarks to participate so that our
risk is reasonably mitigated.
Aditya Bhart ia: Understood, sir. That is helpful. Thank you so much.
Paramasivan Srinivasan: Thanks, A ditya .
Moderator: Thank you. We have our next question from the line of Jainam Jain from ICICI Securities. Please
go ahead.
Jainam Jain: So, my first question is, how are we seeing the bid pipeline in India and Middle East in this year?
Hitesh Singh: Yes, bid pipeline looks very healthy. We maintain our bid pipeline for the next 2 years. If you
see the next years, we have visibility of focus projects. I mean, if you see the universe is very
large, but the kind of projects we focus on is close to INR 3.2 lakh crores. Out of that, it's a, I

mean, in the same, two -third is domestic, one -third is overseas opportunity. If we look into
specifics as in what is the nature of the opportunity we are targeting, around 1.3 lakh crores of
the opportunity which we are pursuing are from the urban space, w hich includes underground
metro, elevated metro, bridges, and elevated corridors.
Close to INR 80,000 crores of opportunities are from the hydro sector, which includes road
tunnels, dams, hydro power projects, and water -related projects. Around INR60,000 crores of
the opportunities we see in the next two years are from the surface transport, which is largely
into road business, and also in some couple of rail bridges also we are pursuing, and some rail
projects outside India we are pursuing. And aro und INR47,000 crores of the opportunities are
from the marine and industrial sector.
And as we have earlier mentioned also, especially in marine, we work with very marquee clients
like Reliance, ArcelorMittal, so there are opportunities with these clients as well, both in India
and outside. So that's been the pipeline how it is.
Jainam Jain: Okay, sir. And sir, what sort of arbitration income are we looking to get in FY20 26, FY20 27? I
mean, do you have any breakup for that?
Ramesh Jha: Can you come again, Jainam? I'm not clear on the question.
Jainam Jain: Yes. Sir, what sort of arbitration income are we looking to get in FY202 6 and FY20 27?
Ramesh Jha: Arbitration income, it's difficult to put any number . But usually what happens that every

year,
we are, we keep track of all the arbitration cases which are ongoing and with some reasonable
certainty, we are aware that which all awards are going to get fructified during the year. So those
awards are factored accordingly, in the projection.
Jainam Jain: Okay, sir. And what sort of debt levels are we looking by the end of FY 26? As currently we are
at the net debt of INR800 crores, as far as I understand.
Ramesh Jha: So, see, it's difficult to put any number at the moment for FY202 6. But what we have talked
about always is on a gross debt to equity basis, as you know, we have moved below (inaudible),
you know, we will be comfortable maintaining those levels. And on the debt to EBITDA level, we have, we would not like to,
make this cross maybe say around 1.5 x or so.
So considering those aspects, we are looking at debt, but we are in a very comfortable situation as far as debt is concerned.
And wherever there will be a requirement to, put in some capex and
all that, we are fully prepared. So to accelerate growth, if so me equipment, some other stuffs are
required, we are in a very comfortable position to ramp up such, such part.
Jainam Jain: Okay, sir. And sir, my last question is, are there any slow -moving orders in our current order
book?
Ramesh Jha: Slow moving orders, it's not that, it's not there. In Bangladesh, we have got a couple of projects
and the projects are going slow. And besides that, we have got one project in Jammu and

Kashmir that also is going a bit slow. But, if you look at from the overall order book perspective,
those are not that sizable.
Jainam Jain: Okay, sir. Thank you so much and all the best.
Moderator: Thank you. We have our next question from the line of Amol Rao from One Up Financial
Consultants . Please go ahead.
Amol Rao: Good morning, Mr. Krishnamu rthy, Mr. Jha. Thanks for the detailed presentation. Sir a couple
of questions. Sir this Bangladesh project, if I remember correctly, at the IPO time, you all had
said that this usually gets classified as a government project because it's funded by the Indian

government. Is that understanding correct, sir? I mean.
Paramasivan Srinivasan: Yes. Understanding is correct. It is a government funded project.
Amol Rao: And sir you also explained that usually, I mean, to the extent of the work that is done, which crosses the milestone, we get paid. So ultimately, I mean, if the work stalls or is going slow, I mean, the exposure is less. So, I know you all said that it's an insignificant amount, but could you all put some number to it? Is it possible, sir?
Paramasivan Srinivasan: I will explain that. I will explain Bangladesh situation. We were doing at a point of time four projects, three road projects and one railway project in joint venture with KPTL. And recently, about a month, on 6th of May or so, not even a month, Government of India has approved adjustment within the BOQ for railway project and one road project and the other road project, Government of India has approved variations to the tune of 16.5 million dollars. With that, Government of India stands committed towards completion of these projects.
However, the ground level situation being what it is, one out of three road projects, one project we have, where as the Government of Bangladesh is not in a position to have a rate revision done, which we had requested, we had earlier also conveyed that, t hat there is, where we have
done only survey without rate revision, we refused to do the other work. There, there is an agreement to foreclose the contract, which is in terms of value is not very significant. It's about INR500 crores or so. So, that will get foreclosed in -- it's already approved by the Government of Bangladesh. Indian Government has to approve it. Package 1 and 2 of road, Package 1, variations have been approved. Package 2,

within the BOQ, changes in terms of scope deletion, scope addition or
revision in rates, all these are permitted. But even with all these, so we were initially, Indian Government conveyed to go slow, till such time, things are settled at the Gov ernment to
Government level.
After that, now Indian Government has given the go ahead. That's the reason when our CFO explained, he did explain about a shortfall in turnover with respect to Bangladesh. And now we have started, but we will be going selectively because of internal tussle going on within Bangladesh, which could impact. And at some stage, we could get stuck with something.
Therefore, we are very cautious. And we have kept the limited equipments and other equipments,

we have already moved back to India. Therefore, we are, our risk exposure is comparative less, if in case of there is an internal political issue. That is the thing which we want to explain.
Ramesh Jha: Amol, just to add here, see these projects are funded by Government of India through line of credit. Now, if you are looking at specific exposure from the Bangladesh project, close to 50 crores we have to receive. All that is retention money. Generally, you know, those are released after the completion of the project. So, we don't foresee any difficulty in getting payment because regular bills, whatever we are, slow progress work we are doing, we are getting it paid.
And just to add, in line of credit projects in Bangladesh, Nepal and Sri Lanka, there has never been any instance where an exporter has done some work and payment has not been given. So, be rest assured that whatever payment is outstanding, we are going to get paid and those payments are going to be released from Ex im Bank of India, here in India. So, there are no risk as such from the receivable perspective.
Amol Rao: So, thank you, sir. That was a very elaborate clarification. So, Mr. Krishnamurthy just mentioned that there was approximately a INR 500 crore closure that will move out of the order book at some point in time whenever the project is closed, right?
Ramesh Jha: Which INR500 crores, sir?
Amol Rao: Sir, you said that there was a road project for INR 500 crore s project foreclosure, which has been approved by the Bangladesh Government, which is to be approved by the Indian Government.
So, once that happens, that moves out of the order book? Is my understanding correct?
Management: That will be removed, sir. That is already removed from the order book.
Amol Rao: Okay, it's already removed. All right, sir. Sir, thank you so much, sir. Wish you all the best, sir.
Moderator: Thank you. We have our next question from line of Am is Thang from Fullerton Fund Management . Please go ahead.
Amis Thang : Hi, my name is Am is from Fullerton Fund Management , Singapore. I wanted to ask two questions. Just to follow on from the question on Bangladesh, what is your total risk exposure?
Is this INR 500 crores which you talked about and has been removed from your order already?
Ramesh Jha: So, see, that INR 500 crore s worth project we have already talked about that we have removed from our order book. And at the moment, we have got couple of projects, one road project and another rail project. These two projects, we have to do the execution. So, to execute these projects and to limit our risk, what we have done, we have limited our resources to the extent possible.
We have moved our resources and we will do, you know, we will not try to over expose ourselves as far as exposure is concerned. In terms of receivable, just now I have talked about that we have

got total INR 50 crores, which is close to say INR 6 million dollars we have to receive. All this is retention money which is not due, which gets released only on the completion of the project. But at the same time, what I am saying is in case of Bangladesh p

roject, there are no instances where

there has been any default in the payment. Because these payments have to be released by Exim Bank of India here in India.

So, those works have already been certified by Bangladesh authority and they have already sent these to the Indian authorities. So, all documented and payment is that it will fall due on the completion. So, we will get that payment. So, there is no exposure, there is no risk of any receivables not getting paid in Bangladesh. And that is where going forward we are taking a very cautious approach.

Amis Thang : Okay. Second question is, could you outline your, I take your point on the 20% top line growth KPI for 2026, FY26. Can you outline EBITDA margin or just margin broadly, what was your expectations over there and the various cost items like, raw material, labor costs, if you could comment on the extent of concentration that we are seeing at the moment. Thank you.

Ramesh Jha: See, next year, of course, when we are looking at 20% top line growth, you know, that will reflect in all the numbers, your EBITDA margin and your return ratios, all will be at a, from the elevated level what we have clocked from this year. But in terms of guidance, we will not be able to talk about all those numbers. What we can talk about is the EBITDA margin we will maintain 11 plus percent.

Amis Thang : I see. And could you comment on the scale of cost inflation that you are seeing at the moment, be it from employee, employees or raw material? How should we think about the scope of cost inflation that you are seeing at the moment?

Ramesh Jha: See, cost inflation, majority of our projects have got a pass -through mechanism because we have that escalation, through escalation formula, we get compensated from the customers. And at the moment, majority of the projects are with the government customer where there is an escalation provision. So, it is not going to impact our profitability.

Amis Thang : I understand. So, it seems pretty difficult, I mean, to get, you guys have 12.8 % EBITDA margin, you are carrying for 11 plus. I am just wondering how margins fall for the year. Perhaps you are being conservative. Yes. If you could help us understand this, the scale of EBITDA margins being, you know, 100 basis points lower than year on year.

Ramesh Jha: See, this is where we have talked about in past that our project selection plays a very crucial role. And then some of the risk framework we have put in place, the knowledge management in the organization. So, all that helps right since beginning when we ba g the project and when the project goes through this risk management framework and the knowledge in the organization. So, all that helps to clock the margin we are doing. And that is where if you see, not only this year, every year, say, ' 22 we had done close to 9.5% , '23 we had done 10.7% , '24 we had done 11.6% , this year we had done 12.8 %. So, on a consistent basis, the margins, one we are clocking and year on year basis we are trying to improvise.

Amis Thang : Okay. So, for this year, at least 11 %?

Ramesh Jha: Yes. But at the same time, let me just reiterate what I said, that construction is full of contingencies. Our endeavor will be same on, some of the aspects, but not all the times we will be successful. If we are successful, the kind of result we have shown last 3 -4 years, if we are not, then, what we are saying is at least, you know, we will be able to do 11 %.

Amis Thang : Thank you. Thank you, sir.

Moderator: Thank you. We have our next question from the line of Anupam Gupta from IIFL Capital. Please go ahead.

Anupam Gupta: Yes. So, the first question is on the reason you highlighted for the slower revenue growth in this quarter as well as the lower margins which emanat

ed from that. Does Bangladesh and JJM project fully explain that or are you seeing a slightly broader slowdown in terms of payment and execution? And related to that, have you seen any improvement so far in April, May, in that sense or this continues to remain slow even in the first quarter?

Ramesh Jha: See, usually in April, you will have hardly any payments but we need to understand this from the broader economic perspective. See, everybody was talking about in Q4 that there was a liquidity squeeze in the Indian economy, even the Asian economy people were talking about.

But then RBI did lot of open market operations and they were through different means they were
trying to infuse liquidity. And we have seen that in the month of May, payments, whatever we
had to receive, those payments have co me.
So, again, in the economy as a whole, we are hearing that the liquidity is there because even in Q4, banks were telling that, they were facing the liquidity pressure which now they are saying that they are fluxed with the liquidity. So, I am hopeful that, things should significantly improve.
Anupam Gupta: Okay, so basically execution should normalize from first quarter is what you are trying to highlight.
Ramesh Jha: Yes, yes, hopefully.
Anupam Gupta: Okay, okay, understand. And so the second question is on the planned capex and depreciation.
So, let us say, what would be the capex number you are targeting for this year? And in terms of
depreciation, because there is one third of accelerated depreciation, what sort of increase broadly
one can expect in FY26 in depreciation?
Ramesh Jha: See, this year we are looking at, since in FY25, we had planned close to INR 1,300 crores of
capex , whereas as against that we have done, say, close to INR 370 crores, largely because the
TBMs for C2 project had not come and also some of the project awards got deferred and
accordingly in line with the project award, we have also deferred our capex plan. So, in FY26,
we are looking at a capex of around INR 1,100 crores. And depreciation, what we had done
during this year, maybe we can look at, say, around 10 %-12% growth in terms of depreciation.
Anupam Gupta: Understand, sir. And just one last question. So, let us say, of the total INR 37,000 crore s order
book plus 10,000 crore s of L1, what proportion is right now under construction and how do you
see that changing in the next couple of quarters?

Ramesh Jha: No, sir. This INR 37,000 crores of order is fully under execution. This INR 10,600 crores, once
we get the LOI, we are fully prepared and we will quickly mobilize. So, that will also come
under the fold of execution.
Anupam Gupta: Fine. That is all from my side, sir. Thank you.
Moderator: Thank you. We have our next question from the line of Garvit Goyal from Nvest Analytics
Advisory. Please go ahead.
Garvit Goyal: Good morning, sir. Congrats for good numbers. Sir, in your opening remarks, you were talking
about some temporary slowdown. So, can you elaborate upon that? Because in last concall , we
were talking about closing order books of around INR 45,000 to INR5 0,000 crores by March.
Citing those ongoing tenders, especially in the L1 project. But we did not end up with that figure.
So, I want to understand the key reasons for the gap versus the guided range. Were there any
delays in the order conversions and how now that situation is getting improved? Because we are
still maintaining our guidance for FY26 as we have given in the last concall . That is my first
question.
Paramasivan Srinivasan: I'll just explain that. In terms of our pending order book of between INR 45,000 to INR5 0,000
crores , we are there with L1, but we are not there without L1. That is the reality. And the L1
jobs, some jobs we became L1 as early as in September and some jobs in the last quarter.
So, in the normal cir

cumstances, from L1 to award, it doesn't take more than two months,
typically. But in this case, what we have later found out is that a proper survey had not been done with respect to Nagpur -Gondia in terms of land acquisition, which they submitted only on
31st March to the government, which is under approval.
Once that approval is done, that job will get awarded. With respect to Pune Ring Road, the cost has gone beyond the estimate and which has been negotiated and closed with us. And they need to get a cabinet approval. And it has gone to the cabinet approval. Land acquisition process, with
respect to out of two Pune Ring Road projects, one project has already been completed. And the other project, they have crossed 80%.
Full money is in the bank already for the land acquisition-related expenditure. So, those two projects, once cabinet clears, it will get awarded and straightaway it will start. Nagpur -Gondia,
that land acquisition, has to be approved by the cabinet and then it will get awarded. Rajasthan
Water Project has been awarded now., It’s not awarded sorry , Last week Finance Committee has
cleared that. So, any time this week, it could come up.
And Pune Ring Road will come very quickly. And Nagpur Gondia, once the process is approved,
they will give an LOI or LOA before they commence. That is what it looks like. Because of that, there have been delays which is not a normal phenomena. Normal phen omena is about two
months from the time the L1 is declared. That is the reason, in fact, it is a surprise to us also. So,
that is one of the reasons why we had factored in some amount of cost being spent there, which
will count as turnover, which has not been done also.

Garvit Goyal: Understood, sir. Secondly, sir, you mentioned like 20% -25% growth for FY26. And medium term, we are targeting about 15% growth. So, is it like we are expecting a slowdown over the upcoming years from the government spending, which is essentially leading to a CA GR which is lower than the growth that we are expecting for next year? Is that understanding correct?
Paramasivan Srinivasan: We have always guided CAGR at 15%. Okay. That is what we have always guided And here, we have been consistently maintaining because of jump in order book in the last year, which ultimately some of these are shifting to current year. And because of that, there will be a jump from 20 %-25% from that of the earlier year. The same thing we are maintaining. Even though there has been delay, this thing which also will have an impact, but the base being low for the last year, we still believe that 20% plus could happen.
Garvit Goyal: Understood, sir. That is it from my side, sir. Thank you and all the best.
Moderator: Thank you. We have our next question from the line of Kunal Bhatia from Dalal & Broacha. Please go ahead.
Kunal Bhatia: Yes, sir. Thank you so much for the opportunity. And both of my questions are answered. Thank you for a detailed explanation. Sir, just one thing in terms of the guidance which you have given for the next year, 20 %-25%. Sorry for just repeating on that. But what is the risk which you carry of achieving the lower end or slightly below the lower end, 20%? A, if you could also include the geopolitical risk into the same.
Paramasivan Srinivasan: We have considered the jobs coming in very quickly. In the next about four weeks or so, some of these jobs, whatever we are L1, if some of these jobs get further delayed, which is unlikely, then there could be an impact. Because we have originally planned in our original plan from the beginning of the year itself. Now if the order comes, there is a monsoon period for three months, effectively the work will start in October only. That is how you will get some of these jobs ' turnover getting reflected in the second half of the year.
And also typically in a con

struction industry, any big job, first six months, the turnover always goes in establishment, installations and other things. And here we are making efforts to see that we get the turnover done. Therefore, if there is some delay in award of some of these jobs further, again, which is unlikely, then it could impact the turnover below 20% also, growth.
Kunal Bhatia : Okay, but you are at least confident that this time th at awards should go through because they are already delayed.
Paramasivan Srinivasan: Whatever inputs what we have from the client side, we do believe that it could happen very quickly. Okay.
Kunal Bhatia : And sir, internationally, in terms of the project order book, any risk you see there, like what happened in case of say a Bangladesh project, any other risk do you carry for any other geography wherein you see that there could be further more delays in ter ms of either a project execution period or a payment period?

Paramasivan Srinivasan: Currently, wherever there are geopolitical issues, there have been attempts to get into a peace situation by internationally. Therefore, we do expect, except I do not know how far it will take the Indian situation between India and Pakistan. Other than tha t, I believe that global level, wherever there are issues, this could get settled in due course of time.
And also we have started looking at newer geographies and well in the current year we could be bagging few jobs in newer geographies in some of the Southeast Asian nations and European nations and all. Therefore, geopolitical issues are there, but I think it is getting addressed.
Therefore, we believe that the situation will be under control.
In fact, last year our international order booking was low and while our turnover has crossed 30% of international turnover, but in terms of order booking, if you look at it, the pending order book is about 13% -14% only international. Therefore, we should look at increasing it to have a sustainable 30% from the international turnover. Therefore, we are expecting more international presence in the current year.
Kunal Bhatia: And so, my final question is for the Nagpur, Pune ring road and the Rajasthan projects put together would be how much in terms of size?
Paramasivan Srinivasan: INR10,500 crores . INR10,600 (crores) .
Kunal Bhatia: All three put together. Fine sir. Thank you so much.
Moderator: Thank you. We have our next question from the line of Parvez Q azi from Nuvama Group .
Parvez Qazi: Hi, good afternoon and thanks for taking my question. So my first question is I am sorry if I missed it, but what proportion of our revenues would have come from the international geography in FY25?
Ramesh Jha: Yes, so Parvez, good afternoon. From international markets, we have done 31% of the total

turnover.
Parvez Qazi: Sure. And secondly, a bookkeeping question. What would be our mobilization advance at the end of FY25?
Ramesh Jha: So all advances put together, it is close to INR 4,500 crores , both current and non -current.
Parvez Qazi: Thanks and all the best.
Moderator: Thank you. We have our next question from the line of Karan Bhatelia from MAIQ Capital.
Please go ahead.
Karan Bhatelia: Hi sir, good afternoon. So my first question is are there any projects proposed in the J&K region which we are looking at regarding the recent water treaty going on?
Paramasivan Srinivasan: I think as the matter is of confidential nature, we will not be able to disclose this. I am sorry.
Karan Bhatelia: Would we be capable enough to take the projects? If you can just guide on that.

Paramasivan Srinivasan: Of the contractors in the country, maximum work done by J&K is by Afcons .
Management: And just to extend the nature of work generally which is being talked abo

ut in public is related
to dam, hydro, tunnel and road works. And we have done these kinds of numerous projects of these kinds and currently also we have close to five dam projects wi th us. So capability-wise,
there is no challenge.
Karan Bhatelia: Got it. The second question is how do we plan to finance the upcoming projects considering we are reducing the debt -to-equity ratio and also there has been payment delays?
Ramesh Jha: To fund the projects or to run the project, we have got a consortium of bank facilities and we have got a very sizable limit with us with enough headroom. There are sizeable available limit
with us. So, we should be taking care of the growth we are talking about from the existing limit.
Karan Bhatelia: Got it. Thank you.
Moderator: Thank you. We have our next question from the line of Parikshit Gupta from Fair Value Capital.
Please go ahead.
Parikshit Gupta: Thank you very much for taking my question and for such a detailed presentation and answers. I would like to again talk about the payment realization challenges. I underst and that we have had several points from your end in terms of JJM, UP, MP, but it will be really helpful if you could please talk about from a short and a medium -term perspective about the different authorities, how have they been performing in terms of payments. We do have context of liquidity improving, but from a one t o three -year perspective, it also helps us define the focus.
So, if you could please spend a minute or two on this.
Ramesh Jha: So Parikshit, we have always talked about that what project we take central government agencies or some of the state when we talk about the project, we look at whether the project has achieved financial closure. In international market, we try to see projects those are having funding from some multilateral agencies and some of the private parties with whom we work, we see that how their capability is and we just don't jump for any project if some private party is offering, so we have got establi shed relationships.
So as far as the company's risk framework from the payment realization perspective is concerned, in a detailed manner we evaluate all that. Despite that, this Jal Jeevan mission we
have talked about. These were the projects where it was a largely central government funded project and with some small amount coming from the state government and central government was giving budgetary support every year, from there the funds were allocated.
So if you look it from the risk evaluation perspective, it was fully covered, but we are also a bit surprised that even allocation in the budget and despite that there was no allocation, this was some exception. And in some of the overseas project, this geopolitical situation also, it was out of the box, suddenly this erupted and that has impacted the collection cycle. And then in overall economy there was liquidity-related issue and the payments were not as smooth as one would have expected. But I think these are a combination which has happened in a year which was having impact because of election as well.

So I don't think this is going to continue because even in my recent, if I remember recent history I have never come across all the things coming in a single year kind of a situation. So I don't think that this is going to continue and things are improving as far as the overall economy's liquidity is concerned. And we are seeing that the payments are coming even in the Bangladesh project, whatever work we are doing, we are getting paid on a regular basis.
Jal Jeevan Mission, we have got sizable amount released in the month of April from Madhya Pradesh project, UP we need to see. So we are quite hopeful that the situation should improve.

Parikshit Gupta: This is helpful. Just a follow -up. In terms of NHAI, we have for many quarters or many years
e

ven seen pressure. Especially with the rise in debt levels and them also deleveraging probably
over making payment realizations to the contractors. On an industry wide level, how do you see
the situation with NHAI please?
Paramasivan Srinivasan: No, NHAI, anyway the award of jobs have come down. And also further on , many jobs have
been moved to PPP basis on BOT basis . And the last several months it has slowed down a bit
and therefore and yesterday there was a statement conveying that they have significantly
deleveraged the thing, they have repaid some debts and other things.
So as still the debt is at an elevated level, we expect slowdown in terms of award of jobs in
NHAI on the EPC basis and payment related delay may not be there, they have been very regular.
In any case we don't participate in NHAI related road jobs as of no w, till such time the
qualification becomes stringent.
Parikshit Gupta: Understood sir, thank you very much for answering the questions and good luck for the current
year.
Moderator: Thank you. We have our next question from the line of Balasubramanian from Arihant Capital,
please go ahead.
Balasubramanian: Hello sir, good afternoon. Sir, what is the fund based and non-fund based limit as of now?
Ramesh Jha: So we have got total limit of INR 20,400 crores and INR 1,800 crores in that is fund based limit.
Balasubramanian: Got it sir. So I think right now labor issues were there and cost also rising up especially in India for and is
there any impact on existing projects on the margin side and how you are mitigating
in upcoming projects?
Paramasivan Srinivasan: Skill shortage is there for everyone. We also face skill shortages. We have tied up with a startup
for skill development at various levels including at workman level and the skill development is
on a continuous basis we have been churning out people and se nding to project sites. In spite of
that wherever labor intensive works are there we have issues on this thing. We mitigate as needed
by sourcing local manpower and also trained manpower but this problem remains for the
industry as as of now
Balasubramanian: Got it sir. Sir on that water related project side how much receivables are there? Because I heard
in the industry itself lot of payment issues were there.

Ramesh Jha: Water related projects we have already talked about that we have got INR 500 crores of total
receivable as on 31st March but sizeable close to INR 100 crores or so we have received in
Madhya Pradesh project. So that leaves us with the outstanding with UP project only at the
moment.
Balasubramanian: So how are things shaping up in the coming quarter for water projects?
Ramesh Jha: In Madhya Pradesh , we don't have any sizable outstanding. So Madhya Pradesh is going to go
as usual. In UP whatever discussion we have had we are expecting a large part of the payment
getting released in the month of June and then thereafter we will see.
Once the payments are smooth then we don't foresee any difficulty. Anyways in the current
budget the government has allocated close to INR70,000 crores for the water related projects.
Balasubramanian: Got it sir. Thank you.
Moderator: As there are no further questions I would now like to hand the conference over to the
management for closing comments.
Paramasivan Srinivasan: Thank you very much for all and we request your continued support and Afcons completed 65
years entering its 66 years and we are hopeful of a long term CAGR of 15 % on a consistent
basis. Thank you all. Thank you. Thank you everybody. Thank you.
Moderator: Thank you. On behalf of IIFL Capital that concludes this conference. Thank you for joining us
and you may now disconnect your line.

Call: Aug 2025

Afcons Infrastructure Limited
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Date: August 13, 2025

To
BSE Limited
Corporate Relationship Dept.,
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai 400001.
To
National Stock Exchange of India Ltd
Exchange Plaza, Plot No. C/1, G Block,
Bandra-Kurla Complex,
Bandra (East), Mumbai 400 051.
Scrip Code: 544280 Symbol: AFCONS

Subject: Transcript of Q1 FY26 Earnings Conference Call

Pursuant to Regulation 30 and 46 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the Transcript of the Q1 FY26 Earnings Conference Call held on Friday, August 08, 2025.

The aforesaid Transcript is also being uploaded on the website of the Company:
https://www.afcons.com/en/investors-meet

Thanking you,

Yours faithfully,
For Afcons Infrastructure Limited

____
Gaurang Parekh
Company Secretary and Compliance Officer
Membership No.: F8764

"Afcons Infrastructure Limited
Q1 FY26 Earnings Conference Call"
August 08, 202 5

MANAGEMENT : MR. SUBRAMANIAN KRISHNAMURTHY – EXECUTIVE
VICE CHAIRMAN – AFCONS INFRASTRUCTURE
LIMITED
MR. PARAMASIVAN SRINIVASAN – MANAGING
DIRECTOR – AFCONS INFRASTRUCTURE LIMITED
MR. RAMESH JHA – CHIEF FINANCIAL OFFICER --
AFCONS INFRASTRUCTURE LIMITED
MR. HITESH SINGH – HEAD CORPORATE STRATEGY –
AFCONS INFRASTRUCTURE LIMITED

MODERATOR : MS. BHOOMIKA NAIR – DAM CAPITAL ADVISORS
LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Afcons Infrastructure Q1 FY'26 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentatio n concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch- tone phone.
Please note that this conference is being recorded. I now hand the conference over to Bhoomika Nair from DAM Capital. Thank you and over to you.
Bhoomika Nair: Yeah, good evening, everyone. A warm welcome to the Q1 FY'26 Earnings Call of Afcons Infrastructure Limited. We have the management today being represented by Mr. Subramanian Krishnamurthy, Executive Vice -Chairman, Mr. Srinivasan Paramasivan, Managing Dire ctor, Mr. Ramesh Jha, Chief Financial Officer, and Mr. Hitesh Singh, Head Corporate Strategy. At this point, I'll hand over the floor to the management for their initial remarks, post which we'll open up the floor for Q&A. Thank you and over to you, sir.
S. Krishnamurthy: Good evening, ladies and gentlemen, and thank you for joining us on Q1 FY'26 Earnings Conference Call of Afcons Infrastructure Limited. I am Subramanian. It's always a pleasure to connect with our investors, analysts and stakeholders as we begin the new fi nancial year.
Our financial results and investor presentation have been uploaded on the stock exchanges and I trust you had the opportunity to review them. Joining me today are Paramasivan Srinivasan, Managing Director, Ramesh Jha, Chief Financial Officer, and Hitesh S ingh, Head Corporate Strategy. Let me begin by providing a brief overview of our financial performance for the quarter.
Afcons reported a total income of INR3,419 crores in Q1 FY'26 compared to INR3,213 crores in Q1 FY'25, representing a growth of 6.4%. Turning to our profitability, EBITDA for Q1 stood at INR445 crores compared to INR372 crores in Q1 FY'25. The EBITDA margin for the quarter improved by 140 basis points, reaching 13% compared to 11.6% last year. Profit after tax for Q1 FY'26 was INR137 crores compared to INR92 crores in the same quarter last year.
This translated to a PAT margin of 4% up from 2.9% in Q1 FY'25, reflecting improved cost management and higher profitability. This is an encouraging sign and reinforces our confidence in meeting the guidance set for the year. Coming to the industry outlook, the geopolitical developments ongoing, as you are aware, are likely to impact global economic growth prospects and infrastructure investments while also contributing to broader geopolitical realignments.
However, our target markets are not significantly affected by these developments and we expect the pipeline of infrastructure projects in these geographies to remain robust. India continues to be one of the few resilient and promising markets with the central government ’s sustained thrust on infrastructure development. Capital expenditure by state governments is also anticipated to remain healthy.
Together, these trends provide strong revenue visibility for the company in its core markets over the coming years.

On t he operational front: As you are aware, we entered the water supply segment last year through a 3.35 km long tunnel in Raigad district in Maharashtra.
I am pleased to share that Afcons is at a national record for achieving 740 meters of monthly tunneling progress in this project using a 3.2 m diameter tunnel boring machine and this is the highest ever recorded progress in the TBM category in India. This achievement is a testament to Afcons' engineering depth and execution capabilities.
It is also worth highlighting that final stretch of Udhampur–Srinagar–Baramulla Rail Link was inaugurat

ed this quarter by the Honorable Prime Minister. Afcons has made a significant contribution to the transformative project through the construction of th e Chenab Railway Bridge, the world's highest single -arch railway bridge, which has been widely talked about.
17 critical railway bridges in addition to Chenab bridge in the same stretch, 13 complex tunnels in the Katra –Laole section with a total length of 36.3 kilometer constructed in extremely challenging geological conditions. This includes India's longest tra nsportation tunnel at 12.75 kilometer, of which Afcons has built 8.2 kilometeres.
It is a matter of immense pride for all Afconians that these projects delivered amongst significant technological and logistic challenges are now serving their purpose of advancing connectivity and catalyzing national growth.
Similarly, the Nagpur -Mumbai -Samruddhi Mahamarg Package 14 which is done by Afcons, another project of strategic importance for the state of Maharashtra was inaugurated this quarter.
This project includes India's widest and Maharashtra's longest road tunnels. Our current portfolio includes several such projects of national importance , both in India and abroad, and we expect

a few more to reach completion within this financial year.
In terms of workplace recognition, Afcons was honoured as a top-rated construction company in the Mid -Sized company's category by the AmbitionBox Employee Choice Award 2025. This distinction based entirely on voluntary employee ratings and reviews, is a m eaningful reflection on the trust, engagement and satisfaction of our engineers and workforce.
On the safety front, two of the ongoing projects Mumbai -Ahmedabad High Speed Rail and Delhi -Meerut RRTS have received prestigious British Safety Council award this quarter. Several other projects are currently under evaluation by the British Safety Counci l and National Safety Council of India. We view these recognitions not as end points but as ongoing responsibility to maintain and elevate health, safety and environment standards across all our projects.
These achievements across execution, safety, engineering and people practices reflect the strength of our institutional foundation and resilience of our team. They also reaffirm our long-
term belief that operational excellence backed by technical capabili ty and human capital is the most reliable path to sustainable value creation.
In conclusion, Afcons' infrastructure remains firmly committed to engineering excellence and long-term stakeholder value creation. We will continue to deliver on our promises while building

infrastructure that meaningfully contributes to India's growth story. Thank you once again for your continued support and confidence in Afcons.
I hand over the call to our Managing Director Mr. Paramasivan Srinivasan for further insights into our performance and outlook. Thank you very much.
Paramasivan Srinivasan: Thank you, Mr. Subramanian. Good evening, everyone. I would like to extend a warm welcome to all participants on this Q1 FY26 earnings conference call of Afcons. We value your continued interest in our journey and appreciate your engagement with us.
Let me share some key updates on our performance, market outlook and project pipeline. Q1 FY26 has commenced on a positive note. We recorded a year-on- year revenue growth of 6.4% while maintaining healthy profitable margins. Based on the current trajectory and execution momentum, we are confident of achieving our annual turnover growth of 20% to 25% in this financial year.
As Mr. Subramanian already explained, the global geopolitical landscape continues to remain uncertain, with evolving conflicts in various regions and the impact of recent U.S. tariff measures on select economies. While we remain cautious and mindful of these developments, we take comfort from the fact that ou

r target markets are largely unaffected. As such, we remain confident of meeting our order procurement guidance for the year. As on 30th June, our unexecuted order book stands at INR35,311 crores.
During the quarter, we secured new orders worth about INR1,100 crores. In addition, we hold L1 position as on date to the extent of about INR21,556 crores, which includes the existing L1 position of four Maharashtra jobs and three new Croatia jobs. We are pleased to inform that we
are entering European territory after being declared L1 for three projects in road and railway segment in Croatia.
We expect firm orders for these projects to be awarded in the next few months. The conversion of these orders, along with procurement of a few more orders, will take the overseas share of our pending order book to 30% by the end of this financial year, in line with our stated objective of internationalization.
Looking ahead, our addressable project pipeline for the next two years is valued at approximately INR3.35 lakh crores, spanning various infrastructure segments, including marine, surface transport, urban infrastructure, hydro, underground and water. Around two-thirds of this pipeline pertains to domestic opportunities. While the pace of project awards in India has been slower than anticipated, we expect this to improve in the coming months, driven by sustained capital expenditure from both central and state governments. In parallel, we continue to evaluate opportunities in international markets, including select new geographies.
These efforts are guided by our established risk management framework, ensuring that all expansion decisions are aligned with our operational capabilities and financial discipline. To conclude, Afcons is well positioned to capitalize on emerging infrastructure opportunities, both
in India and abroad. With a healthy order book, a focused business development approach, and

a strong execution record, we are confident of delivering consistent growth and long -term value for all our stakeholders.

With this, I conclude my remarks and invite our CFO, Mr. Ramesh Jha, to take you through the financial performance in greater detail. Thank you all.

Ramesh Jha: Thank you, sir. Good evening everyone. Before I get into the specifics of the Q1 results, I would like to just clarify that compan y is into the business of construction, the margin in a quarter varies based on the nature, type and quantum of work we execute. So, quarterly results may vary in different quarters and may not be indicative of the annual results or the trend. Now, coming to the specific number for the quarter, during Q1 FY'26, total income we have achieved INR3,419 crores.

This is 6.4% higher than the previous year first quarter number of INR3,213 crores. So, now we are very happy that we have got back to the positive trajectory of growth. G eneral ly, Q1 remains a little bit slow in terms of collection because most of the customers, being government entities, disburse the annual budget by March and then they devote Q1 in planning and budgeting for the next financial year.

If we talk from the specific experience of FY26 Q1, then we feel the liquidity across the market needs improvement. Payment related issues in UP Jal Jeevan Mission is continuing. However, it stands sorted in MP projects. Also, projects in Bangladesh have started moving into a positive direction.

Now, if we talk about specific to the margins, EBITDA margin, we have done INR445 crores which translates into 13% of the top line we have achieved. This is 140 basis points higher than what we had achieved last year where we had achieved INR372 crores abs olute number and 11.6% EBITDA margin. On a YOY basis, the number has improved 19.6%.

In EBITDA margin, in EBITDA calculation, we consider BG commission as part of our operating expenditure. So EBITDA that we are

talking about is after removal of BG commission as expenditure. This also includes other income which is part of our revenue. We have in past also explained that our other income needs to be understood in the perspective of the business we are doing. Arbitration interest, foreign currency exchange gain and miscellaneous incomes are recurring in nature and very integral to the busine ss. Hence, this needs to be considered as part of other operating income.

So for the Q1 period also, around INR49 crores is forming part of the operating income. In that, around INR23 crores is arbitration interest and other interest we have accrued and miscellaneous income is around INR10 crores. The significant portion of the other income, I am just pointing it out.

Our guidance for EBITDA will remain around 11%. Construction, as we have told, is full of contingencies. Our endeavour will be to save on those contingencies and optimise the margin. But many a times, we may not be able to save on those contingencies. Hen ce, our guidance for EBITDA will remain around 11%.

Other margins, the profit before tax, we have done INR183 crores which is 5.4% of the top line. This we have improved around 35% from the previous year wherein we had done INR135 crores and the margin was 4.2%. PAT margin, we have done INR137 crores in abs olute number which is 4% of the top line and this has improved by 50% from the previous year wherein we had done INR92 crores absolute number and it was 2.9%.

On profitability, we have improved on all the metrics like EBITDA, P BT, profit after tax because we had some upside in Calcutta metro project where we have got an arbitration award and also because margin improvement in few projects. We could save on some of the projects on the material cost and some of the other operationa l aspects and because of that the margin has improved.

Specific, some of the other aspects, finance cost, in Q1 we have seen higher average borrowing during the quarter as compared to last year. We have seen around INR366 crores of average borrowing has gone up in the Q1, because of this, interest cost has gone up marginally. Currently, our international order booking is low where the advances are higher and all the advances are interest free in overseas market, coupled with this, new interest bearing advances we have received has also elevated the interest cos t on client advances, taking the overall interest cost high.

Generally, we have seen over last so many years, the composition of the total material advance we have, 75% is interest free and 25% is around interest bearing. That composition has changed because some of the recent advances we have received are all inte rest bearing, and the composition has become 63% is interest free, whereas, 37% is interest bearing.

Now, on the depreciation front, we are continuing with the accounting for accelerated our depreciation on our TBMs, of the total INR139 crores of depreciation, which is 4.06% of the

turnover, around 1.52% is on account of accelerated depreciation.
In terms of tax, you might see that the tax rate has come back to around 25% and we could achieve this normal applicable range and we expect this to maintain at the similar range going
forward as well.
As far as ROCE is concerned, in Q1 we have done 15.62% and as explained, the capital infusion
has increased the capital base, but operations are yet to reach to a level where we are desiring
this year. So, this should reflect the proper standing on an annu al basis only, of course, the ROE
what we have reported is after accounting for the accelerated depreciation.
During the quarter, net working capital has gone up. We are witnessing delay in certification of
the work done and release of payments in some projects. This has led to an increase in uncertified
work done, leading to a jump in working capital requirement. Ge

nerally, this remains the trend
in Q1, but improvement what we were expecting in UP, Jal Jeevan Mission specifically has not
happened.
On the debt front, in Q1, payments remained relatively lower and operations had to be funded
and this generally is a trend. So, whatever borrowing number has gone up for the Q1, we have

closed the gross borrowing was INR3,221 crores and the net borrowing was sub INR2,500. So,
on gross borrowing, the debt -to-equity was around 0.6 and on net debt it was around 0.46. The
incremental borrowing increase in the Q1 is in line with what we had done in last three years as well. So, it is not that this year it is significantly different.
On behalf of Afcons, I thank everyone for attending this call. Now, I request moderator to open
the floor for Q&A.
Moderator: Thank you very much. We will now begin the question-and- answer session. The first question
is from the line of Umesh Raut from Nomura. Please go ahead.
Umesh Raut: Hi, sir. Good evening. I hope I am audible.
Srinivasan Paramasivan: Yeah, you are audible.
Umesh Raut: Yeah. Hi, sir. So, my first question is on the ordering side. So, if I look at now order inflow for
us during first quarter including L1, that is currently at about closer to INR21,000 crores plus,
while what we have guided in the last call was order inflow of closer to INR20,000 crores to
INR25,000 crores for FY26.
And I think if I look at prospect pipeline as well, that is closer to now INR1.35 trillion for us.
So, essentially, is there any upside in terms of order inflow guidance revision from INR25,000
crores in FY25? And second, if there is no upside, are we assuming that there is still no visibility in terms of conversion of Maharashtra state -related projects in actual signing?
Srinivasan Paramasivan: No. We had guided that we will have about INR20,000 crores of order book from the current year plus L1 order that effectively translates into about INR30,000 crores for our guidance. And
as things stand now, we are at, if you take all the L1 jobs plus others put together, is in excess
of INR22,000 crores. So, we have no doubts as of now in our mind on any of thes e orders. We
believe we will continue to be guarded in our guidance and we are confident of our guided numbers and beyond.
Umesh Raut: Got it. And similarly, if I look at execution for the quarter, it was slower to start for FY26. And what we are guiding for 20%-25% of growth, assuming lower end of the band, it implies closer
to about 25% of growth in the rest of nine months.
So, are we kind of saying ramp up in existing backlog for execution? Do you think visibility
around Jal Jeevan Mission collections would be improving so that the execution on water
projects would be also improving? And in a way, there is no concern at all in terms of 20%
growth on the top-line side for FY26?
Srinivasan Paramasivan: We have earlier call itself we had guided that substantial pickup will happen in the third and fourth quarter. And primarily because some of the fast -track orders we are receiving in the
quarter, which we have received, which while the reported numbers as it is , there are significant
increases in these orders are expected. All these are to be executed in short duration. Therefore,

we do expect to maintain our guidance as stated earlier. Therefore, we do not expect any
execution concern as of now.
Umesh Raut: Got it. And on the HSR project, where we are currently in terms of receiving TBM machines and are we assuming major upt ick in execution from HSR in second half?
Srinivasan Paramasivan: No. On TBM, as of now, there is uncertainty prevailing. Matter is handled at every level, at
MEA, PM, railway ministry, at every level. Therefore, considering that, even if TBM

starts coming, after that it has a setting o

f time and other things.
While the project progress is quite decent, we have already done roughly one -fifth of the project already. And our NATM portion of the tunneling on the heading part of it almost 80% is already completed. In fact, closer to 90% is completed. So, in October 2025, NATM portion will get completed. So, the uncertainty in TBM should find its resolution hopefully in a month's time. But we are keeping our fingers crossed.
Ramesh Jha: And just to add here, in the high-speed rail project, TBM -related tunneling is one aspect. Other than that, there are drill and blast tunneling, then we have shaft. So , all other works are going fine. Only this TBM -related tunneling is not happening. And as explained by MD, we are quite hopeful that things should materialize very shortly. And then we will be able to commence that work as well.
Umesh Raut: Okay. So, in our guidance of 20% to 25% of execution growth, are we assuming material uptake from HSR? I mean, if suppose TBM machines get delayed, is there any concern around guidance for execution?
Ramesh Jha: So, that we have already factored in. We are not looking at any concern as such. So, there will be all endeavour from our side, whatever guidance we have given. So, what happens that we have got number of projects. It is quite obvious that in some projects something may not go as planned. But at the same time, we will try to cover it up from some other project.
Umesh Raut: Okay. Got it. Got it. Thank you so much. I will get back to the queue. All the very best. Thank you.
Ramesh Jha: Thank you.
Moderator: Thank you. The next question is from the line of Mohit Kumar from ICICI Securities. Please go ahead.
Mohit Kumar: Hi. Good evening, sir. And thanks for the opportunity. My first question is that, have you worked in Croatia earlier? And what are the challenges in executing the orders and building a team to execute in new geographies?
Srinivasan Paramasivan: We have expressed very clearly in our earlier earnings call and all that we are looking at the markets on a continuous basis. And sooner than later, we could enter into Europe. So, this is the result of our sustained research and ground level work over a p eriod of time. So, whatever risk,

we have evaluated and we have priced it also. Therefore, we do not foresee any major risk. And as you may be aware, we have already worked in more than 25 countries abroad quite successfully.
And probably the only Indian contractor in the infrastructure space to be doing the infrastructure work in various parts of different countries. So, therefore, we do believe that and we are confident that we will be in a position to execute this project s uccessfully.
Mohit Kumar: When do you expect to receive the LOA and N TP for this particular project?
Srinivasan Paramasivan: Normally, from the time they declare L1, within 120 days, they are supposed to give the order.
Mohit Kumar: Understood. My second question is the way that Dubai tunnel prospect, which we are pursuing in the Middle East, is there any update which you can share?
Srinivasan Paramasivan: No, I think the process is going on. It is proceeding in the right direction. Beyond that, at this point of time, I think it is inappropriate to give any update.
Mohit Kumar: Understood sir. My last question is what is the amount pending in UP for the water jal generation? Has it declined compared to March levels?
Srinivasan Paramasivan: No, it has not declined . It is roughly around INR422 crores at the gross level. And we, of course, we hold some amount of advance of them. Therefore -- and we have already completed about 74% of the project. We are evaluating as to what is to be done. Efforts are on to realize t he dues as well.
Mohit Kumar: And how much advance you are holding, sir, broad number?
Srinivasan Paramasivan: INR87 crores we a

re holding advance.
Mohit Kumar: Understood, sir. Thank you. Thank you.
Srinivasan Paramasivan: Thank you.
Moderator: Thank you. The next question is from the line of Balasubramanian from Arihant Capital Markets Limited. Please go ahead.
Balasubramanian: Good evening sir. Sir, we have a L1 pipeline of around INR21,550 crores. I just want to understand, like whether these bids are -- we did it aggressively? Is there any risk of margins?
And could you please break down that segment -wise, because in water projects, we are facing issues, whether is there any changes in the mix?
Srinivasan Paramasivan: No. Our pending order, whatever L1 is there, consists of seven orders. Two jobs, Nagpur, Gondia …
Moderator: Sorry to interrupt you, sir. Mr. Balasubramanian, I will request you to mute yourself when the

management is speaking.

Srinivasan Paramasivan: Hello.
Moderator: Sir, you now speak now.
Srinivasan Paramasivan: Yes. Nagpur, Gondia, two road jobs, which aggregate to INR5,200 crores value. And Pune Ring Road, two tunneling project, which aggregate to around INR4,800 crores. Then there are two road and tunnel mixed projects in Croatia, which aggregate to around INR4,500 crores. And one railway job, which is around INR6,800 crores. Everywhere, it is well bid and therefore, there is no reason for any concern.
Ramesh Jha: And just to add, this Croatia job, we have been working for those projects for quite some time, more than one and a half years or so. So, our people were working on these projects with great details and getting into the methodology, how to procure, how to execute for quite some time. And that's where our bids are rightly priced. And the bids are far higher than the client's estimates. So, these bids are very, very nicely priced and we should see a very positive result in these projects.
Balasubramanian: Okay, sir. Sir, I'm looking at FY25 numbers, like contract liability is around INR2,500 crores and contract assets, INR5,500 crores, more than two times in the FY25. In FY24, it's almost 1.3 times. I just want to understand, it might be the reason of dela yed billing or client payment issues. And what is that status of Q1 numbers for unbilled revenue and advances side? And whe n we can expect to normalize these numbers?
Ramesh Jha: No, so see, these contract assets and contract liabilities, rightly said that these are a reflection of ongoing business activity. So, if you see for a large part of time, the contract liabilities are in the similar range. When we are getting new projects, we get advances and that gets reflected in the contract liabilities. Some of the contract assets, of course, they are stuck and the company is working with various customers. One of them is Jal Jeevan Mission. So many places, we are at a very advanced stage. Even in Jal Jeevan Mission, we have tried to reach out to senior ministers and bureaucrats in the government. And we are working on getting those amounts settled. So at the moment, the arrangements in place are quite comfortable, but nevertheless, we'll r ealize these amounts and we'll have a very comfortable situation, maybe in another three, four months' time.
Balasubramanian : Okay, sir. Sir, it's a common issue in the industry, labor shortages. I think various companies are facing around 20% to 30% kind of range. I just want to understand how much labor shortages we have and is there any impact on the execution of the project, especially on high -speed rail and metro projects and tunnel projects?
Srinivasan Paramasivan: Labor shortage is a continuous issue in the Indian construction industry. We have our own ways and means of addressing it. Some projects still temporarily will have some labor shortage, but we have developed many mechanisms to see how the labor is retained. . Therefore, while there are problems, it is not a problem which is

not insurmountable. It is managed.
Balasubramanian : Okay, sir. Thank you.

Moderator: Thank you. The next question is from the line of Vineet from Kashini. Please go ahead.
Vineet: Good evening, sir. My name is Vineet, and I'm an investor in your company. So, I just wanted to know the company's plans to bring down the debt and the interest burden. I mean, if you could share some insights on that.
Ramesh Jha: So, good evening, Vinee t. If you see the debt of the company, the net debt is sub INR2,500 crores and on net debt to equity basis, it is around 0.46 or so, which is a quite comfortable situation. And the company is a growing company and we are investing a lot in strategic equipm ent.
So, going forward also, the company will keep on investing in strategic equipment. So, immediate term, I am not foreseeing that the debt is significantly going to come down. But at the same time, let me reassure you, the debt is in a very comfortable zone and we will be able to manage with the surpluses going forward from the projects we are generating to manage the working capital requirement of the company and maybe even the capital equipment, the equipments we are going to add.
So, the debt in absolute terms is not going to go significantly up, but at the same time, it is not going to come down as well. But at the same time, as I said, debt is in a very, very comfortable zone.
Vineet So, I mean, as the interest rate environment is expected to turn benign going forward, are you looking at refinancing the existing debt at a lower coupon?

Ramesh Jha: So, we are working on certain aspects of bringing down the interest cost and in that endeavor, we have done a number of commercial papers in recent past. So, those commercial papers, we have repaid some of the existing working capital lines. And of course, with these actions, we are getting the benefit of that interest arbitrage. So, we are working even on refinancing as well.
Vineet Thank you so much, sir. That is helpful.
Ramesh Jha: Thank you.
Moderator: Thank you. The next question is from the line of Shirom Kapur from Jefferies. Please go ahead.
Shirom Kapur: Hi, sir. Thanks for the opportunity. I just wanted to get a bit more colour on your order flow. So, I mean, just to reiterate, your order flow guidance for the full year is INR20,000 crores or is there any change to that so far?
Ramesh Jha: Yes, it is INR20,000 crores. That is what you have stated.
Shirom Kapur: Okay. And these projects that have been, I know you spoke a little bit about it, but I just want to get more colour on the Maharashtra jobs that are in your L1. By when do you expect those orders to be converted? Because they have been sort of stuck in that L1 position since December, so, just wondering when we might get that conversion?

Srinivasan Paramasivan: It is quite a strange situation, which never happens normally. In Nagpur-Gondia, for example, we have been L1 since September. And in Pune -Ring Road, we are L1 since Jan. Typically, these kinds of things, as per Maharashtra government guidelines, once 70% land acquisition is completed, it can be awarded. Pune-Ring Road, it is practically 100% is acquired. And in Nagpur-Gondia, land acquisition has not reached that stage as yet.
So, but today, we have no clues as to why the award of job is getting delayed. So, that is a factual statement. Therefore, when it will come? Anytime it can come, at least with respect to Pune - Ring Road, anytime it can come.
Nagpur-Gondia, it depends on the land acquisition status, it could take some more time. That is our take. But this is something we have stated in the last earning call also. That time, one package was around 90% plus, another package was a little less. Now, it is one is 100%, another is some 99.3 or so acqui

sition in Pune. Therefore, we are not in a position to say, as to why it is getting delayed. We are hopeful that it will come very shortly.
Shirom Kapur : So, in case, I mean, the delays continue, that would be a risk to achieving our order flow guidance for FY26, right? Because this would be, these orders are factored in.
Srinivasan Paramasivan: We are still confident of achieving our order book guidance. There are several other things in the pipeline.
Shirom Kapur : Okay. So, even if -- so these particular projects, they are not necessarily part of that INR20,000, factored into that INR20,000 guidance. Is this upside potential to the 20000?
Srinivasan Paramasivan: Absolutely right.
Shirom Kapur : Okay. Understood. Thank you so much.
Srinivasan Paramasivan: Thank you.
Moderator: Thank you. A reminder to the participants, please press star and 1 to ask a question. The next question is from the line of Vasudev from Nuvama. Please go ahead.
Vasudev: Yeah. Hi. Thank you for the opportunity. So, sir, my question is on the Croatia orders that we have bagged . Can you give some details like, you know, what are the margins that you are expecting the working capital days in those projects and the payment terms and something like that? Okay.
Srinivasan Paramasivan: I suffice to say that in one, in the road projects, we are 20% higher than estimate. And in the rail project, we are 10% higher than the estimate. And it is well funded by the European funding and payment terms are decent. We have a proper interest -free mobilization advance. It is like any other project. So, we do not expect any challenge. It is a well -bid job. It may not be, so it will be too premature to divulge all the details or commercial details of the project.
Vasudev: Okay. Sure, sir. And so just can you give me what the capex that we did in Q1 and what we are targeting for the full year?

Ramesh Jha: So for the full year capex we have planned around INR1, 100 crores. And in Q1, we have done close to INR50 crores of capex.
Vasudev: Okay. Sure, sir. That ’s it from my side. Thank you.
Moderator: Thank you. The next question is from the line of Abhinav from ICICI Securities. Please go ahead.

Abhinav: Yeah. Hi, sir. Thanks for the opportunity. My question is on the order book. So, I want two things. First, what percent of the order book is in early stage of execution, like below 20%, 25%? And secondly, what percent has not yet started?
Ramesh Jha: So, see, good evening. It is difficult to put a number of what percentage because there are number of projects we are executing around 64 projects or so. So putting a specific number because there are various projects which we have just commenced, like I t hink, you know, seven, eight projects we have just commenced, which are less than 10%.
And then there are number of projects which we are on the verge of completing, maybe around out of that 64 projects, maybe around 10, 12 projects will be there, which we are going to complete this year. So that percentage varies in different projects. So putting any specific number may not reflect the right this thing. And all the projects, whatever we have got LOI, all we have commenced the execution.
Abhinav: Understood, sir. Thank you. That was my question.
Moderator: Thank you. The next question is from the line of Shrinarayan Mishra from Baroda BNP Paribas Mutual Fund. Please go ahead.
Shrinarayan Mishra: Thank you for the opportunity. I hope you can hear me?
Ramesh Jha: We can hear you. Go ahead.
Shrinarayan Mishra: Yes, sir. So, my first question was again – again, it is a clarification which you highlighted earlier in your commentary. So you said that interest bearing advances, their proportion has now increased to 34% from earlier 25%. And the new orders which you are receiving on that 100% of the advances are interest bearing.

Is that correct?
Ramesh Jha: So, what I said, generally, if we see last four, five years, the bifurcation between an interest free and interest bearing used to be 75% interest free and 25% interest bearing, whereas today it is 37% is interest bearing and 63% is interest free. So of the recent job what we have bagged last year, where we have got mobilization advance, those were all having interest bearing. That is why this percentage of interest bearing has gone up.
Now, the order what we are looking at, like the projects we are talking about in Croatia, all are interest free. And some of the other projects in pipeline, there also we are looking at a sizable chunk of project s in the interest free zone. So hopefully going forward, we can see a situation where we go back to the normal situation what we were having for last 3-4 years.

Shrinarayan Mishra: Okay. So, these orders are typically domestic orders where we are facing this problem, right? On the international side, things are normal.
Ramesh Jha: Yeah. So, there is no problem in the domestic project also. It depends on what kind of project you are getting in domestic market. Because in domestic market also, large part of the projects are interest free only.
Shrinarayan Mishra: Okay. And sir, what will be our average cost of debt? And on the interest bearing advances, what average interest cost we are paying?
Ramesh Jha: So, on our bank borrowing, the average borrowing is around 9%. And of course, I am not giving you the specific number, but it is around 9%. And some of the interest bearing advances, it varies from 7% to 10%.
Shrinarayan Mishra: Okay. And sir, last quarter, you were very optimistic on the Middle East ordering pipeline. So, has there been any change on the outlook or it is still positive in the Middle East?
Srinivasan Paramasivan: No. We have, except the one big job, we have never stated about an optimistic position with respect to Middle East. Okay. That one particular job, we continue to be optimistic, which is a very big job.
Shrinarayan Mishra: Okay. So, as the type of uncertainty unfolds, how you are seeing the outlook there? Is it turning more negative export market?
Srinivasan Paramasivan: No. In our addressable markets or whichever market we are looking at, there is no impact.
Shrinarayan Mishra: Okay.
Ramesh Jha: As things stand, the situation in Middle East has not changed. And the project we have talked about in UAE, the project is going fine, and we are working towards that project. And our efforts in Saudi Arabia also is on.
Shrinarayan Mishra: Okay. Okay. And just last question from my side, sir. What's the working capital days in Q1?
Ramesh Jha: So, working capital days, as I explained, that it has -- generally in Q1, it goes up all the year. So, this time also from the March number, it has gone up. And -- but that is not significantly different from what we have done in, say, last 3 years. It is in the similar line.
Shrinarayan Mishra: So sir, it's the receivables only, which is a pain point, right, in the working capital. Otherwise, all other components are well within the trend. Is that understanding correct?
Ramesh Jha: Yes. So recent times, as I said that in -- based on our Q1 experience, I would feel that the liquidity in the entire system is not that great, and it needs improvement. And that's where we are seeing that the customers are not very smooth in releasing thei r payment. It is taking time.

Shrinarayan Mishra: Okay. Thank you so much for answering my question. Thank you.

Ramesh Jha: Thank you.
Moderator: Thank you. The next question is from the line of Ankita Shah from Elara Capital. Please go ahead. Hello, Ankita. Your voice is not audible. Hello.
Ankita Shah Thank you. So, firstly, congratulations on a very good

set of numbers. My first question is on the top five projects. So, as we understand nearly your top-five projects contribute almost 40% -- 30%, 40% to your total order book. Within that, a high-speed rail you already mentioned is going slightly slower. Could you help us with an update on the other top projects like Maldives Dam Project in Uttarakhand and MP, and Delhi MRTS Project, or any other projects, which would now comprise of the top- five projects? I just want to track the execution on these top projects.
Ramesh Jha: See, as we have said that we are not facing any, you know, this high-speed rail is going slow, is not the right picking the point. High-speed, we have said that only problem we are facing is that the TBM delivery has got delayed. On all other aspects of high-spee d rail where we are doing this NATM tunneling, the shafts and other stuff of the project is going fine.
So, even in this financial year, the turnover we have planned, largely we will be able to achieve even if, say, hypothetically if TBM doesn't come. But as we say that in all the ministries in India, we have escalated the matter and everybody is working towards getting this sorted out.
So, say, even if it gets sorted out by, say, September, October, we should be able to clock whatever we have planned from the high-speed rail project. Now, other projects, say, Male or Delhi Metro Project or some of the other big projects, we are not facing any challenges as such and the execution is going fine.
Ankita Shah: Got it. Sir, what is the status of pending arbitration claims that are outstanding as on date?
Ramesh Jha: You see these are something we will not be able to give that at this point in time. The information was there in the DRHP, and we are working towards settling all those claims. But different arbitration matters are at different stage. So, outcome also, wha t time, what quantum will be difficult to give.
Ankita Shah: Okay, okay. And one last thing, on your prospect pipeline of almost INR3 lakh crores, could you highlight some of the large projects in domestic and in international that you are looking for that we can track in the near -term?
Srinivasan Paramasivan: I think in the interest of confidentiality, specific projects we would not like to mention. But practically, whichever big projects are in the horizon, in all the projects, we are there. And internationally, we are looking at traditional geographies, we are looking at few other geographies as well.
Ankita Shah: You mean newer geographies?
Srinivasan Paramasivan: Newer geographies. Like the way we had got into…

Ankita Shah: And sir, also…
Srinivasan Paramasivan: We are looking at other geographies as well.
Ankita Shah: Okay. Apart from geographies, are you also looking at newer segments, business segments?
Srinivasan Paramasivan: Newer segments as we have always conveyed as an extension of existing segments, we will keep doing it. Like we entered into from the regular metro tunnel to water tunnel. And as a part of extension of this thing, we could get into green energy. So, those t hings are an ongoing process.
It's not specific that we are compared to a completely unrelated business we move in. It's not.
It's aligned to construction, we'll keep doing it in the infrastructure side.
Ankita Shah: Got it, Sir. Got it. That's helpful. Thank you so much and wish you all the very best.
Paramasivan Srinivasan: Thanks, Ankita.
Ramesh Jha: Thank you.
Moderator: Thank you. The next question is from the line of Shirom Kapur from Jeff eries. Please go ahead.
Shirom Kapur: Hi, Sir. Thanks for the follow -up. Just circling back to the L1 position, as you mentioned, the Maharashtra projects are not factored into the guidance, but is the Croatia job factored into the guidance? So, three Croatia jobs that we expect to book this year itself, right?
Pa

ramasivan Srinivasan: Yes. Within 120 days, we expect the order to be awarded.
Shirom Kapur: Got it. And so, you usually give the breakup of the pipeline, you mentioned INR3.35 trillion and two-thirds domestic, but across segments, would you like to share that breakup?

Hitesh Singh: Sure, I'll give you the breakup. So, out of that segment, as we have mentioned, normally our pipeline is well diversified and we cover projects for almost two years. So, that's the horizon I'll give you. The largest chunk continues to be the urban infrastructure project, around INR1.4 lakh crores is from the urban infrastructure space, which includes metros, bridges, and elevated corridors as well.
The second biggest chunk is from the hydro, underground, and water segment, which is around INR80,000 crores. And surface transport, which is our road and rail business, around INR70,000 crores. And remaining marine is around INR46,000 crores in the pipel ine. That is the breakup.
And as MD mentioned, overseas and domestic, it's around one -third and two-third is the breakup in the pending pipeline.
Shirom Kapur: Understood, Sir. Thank you so much. And just lastly on -- just wondering on Middle East, because we are seeing a lot of capex building up there in oil and gas and infrastructure, but you mentioned that you're focusing on one particular large project. But any reason why we are not further putting in efforts in Middle East? And is it because of the competitive landscape or maybe

the nature of the projects don't align with what Afcons usually works on? Just to get some more color there.
Srinivasan Paramasivan: We have from time to time explained on the various aspects in Middle East, yet suffice to say that, barring some exceptions, a profitable growth in Middle East, in the infrastructure side - oil and gas is different - in the infrastructure side, there are limited opportunities. Wherever there are opportunities for a profitable growth in Middle East, we'll be focused on. In other areas, we will not be focused on.
As this particular project being a large project, it received a lot of attention, I had specifically mentioned. Otherwise, few other projects also we are focused on, but not in a large -scale Middle Eastern landscape.
Shirom Kapur: Okay. Thank you so much, sir.
Srinivasan Paramasivan: Thank you.
Moderator: Thank you. The next question is from the line of Vineet Gupta from Kashini Financial Services. Please go ahead.
Vineet Gupta: Sir, good evening. If you could help us understand a bit on newer initiatives that you are taking apart from the existing sectors that you operate in. And second, what is typically the DSO, the debtor outstanding in terms of number of days? After completi on how much -- after raising a bill, how much time does it typically take to realize the money?
Hitesh Singh: Regarding newer initiatives, as MD also mentioned sometime back, as a growing company, as a well -diversified company, we keep on looking for newer areas of growth. However, these growth always in the related sectors. For example, we were in hydro and unde rground, we moved to water. We were in elevated metro, we moved to underground metro. So those, kind of, newer areas we are continuously looking for, but not in unrelated areas. So, that will continue.
Ramesh Jha: And answering to your debtor days, see debtor days, if you see the trade receivable of the overall company, we are in the similar range. Now, in the receivables, we have got three categories, one normal trade receivable, which is in the range of say around 40 days, which is quite normal. And then we have got retention money, which gets released as per the terms of the contract. That also is in the similar range what we have for quite some time.
And then we have got arbitration receivables, even though that gets reported in the receivable, but in 50

% of the amount we have already received by way of NITI Aayog guideline, by giving bank guarantee, but still that gets classified as receivable. So – and that is also in the similar range what we have for quite some time. It 's not that those amounts are stuck, but something we realize, something we settle and we get it closed, but something new comes up in the category.
Vineet Gupta: Sure, sir. Thanks for answering.
Ramesh Jha: Thank you.

Srinivasan Paramasivan: Thank you.
Moderator: Thank you. Ladies and gentlemen, as there are no further questions, I now hand the conference over to the management for closing comments.
Srinivasan Paramasivan: Thank you very much for all of you for joining and continuing to support us. And we are very confident that our company will create a continued long-term value to all the stakeholders going

forward. And we stand by our commitment in terms of performance. T hank you all.
Moderator: Thank you. Ladies and gentlemen, on behalf of DAM Capital Advisors Limited and Afcons Infrastructure, that concludes this conference. Thank you for joining us and you may now disconnect your line.

Call: Nov 2025

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ubject: Transcript of Q2 & H1 FY26 Earnings Conference Call
Pursuant to Regulation 30 and 46 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the Transcript of the Q2 & H1 FY26 Earnings Conference Call held on Thursday, November 13, 2025 .
The aforesaid Transcript is also being uploaded on the website of the Company:
https://www.afcons.com/en/investors -meet
Tha
nking you,
Yours faithfully,
For Afcons Infrastructure Limited

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Gaurang Parekh
Company Secretary and Compliance Officer
Membership No.: F8764
 “Afcons Infrastructure Limited Q2 & H1 FY-2 6
Earnings Conference Call”
November 13, 2025
MANAGEMENT : M R. SUBRAMANIAN KRISHNAMURTHY – EXECUTIVE CHAIRMAN , AFCONS INFRASTRUCTURE LIMITED
MR. SRINIVASAN PARAMASIVAN – MANAGING DIRECTOR , AFCONS INFRASTRUCTURE LIMITED
MR. RAMESH KUMAR JHA – CHIEF FINANCIAL OFFICER , AFCONS INFRASTRUCTURE LIMITED
MR. HITESH SINGH – HEAD (CORPORATE STRATEGY), AFCONS INFRASTRUCTURE LIMITED
MODERATOR : M S. BHOOMIKA NAIR – DAM CAPITAL

Moderator : Ladies and gentlemen, good day and welcome to the Afcons Infrastructure Limited Q2 and H1 FY '26 earnings conference call, hosted by DAM Capital Advisors Limited.
As a reminder, all participants’ lines will be in the listen -only mode , and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing ‘*’ then ‘0’ on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Ms. Bhoomika Nair from DAM Capital. Thank you and over to you ma'am .
Bhoomika Nair: Thanks. Good afternoon, everyone and a warm welcome to the Q2 FY '26 earnings call of Afcons Infrastructure.
We have the Management today being represented by Mr. Subramanian Krishnamurthy, Executive Chairman, Mr. Srinivasan Paramasivan, Managing Director; Mr. Ramesh Kumar Jha, CFO and Mr. Hitesh Singh, Head Corporate Strategy.
At this point, I will hand over the floor to Mr. Krishnam urthy for his initial remarks , post which

we will open up the floor for Q&A. Thank you and over to you, sir.
S. Krishnamurthy: Thank you, Bhoomika. Good afternoon, ladies and gentlemen. It's always a pleasure to connect with our valued investors, analysts and stakeholders.
I thank you for joining us today and for your continued support in Afcons ' journey. Our financial records and investor presentation have been uploaded on the stock exchanges and I trust you have had the opportunity to review them. Joining me today are Mr. Paramasivan Srinivasan, Managing Director, Mr. Ramesh Kumar Jha, C hief Financial Officer, and Mr. Hitesh Singh, Head Corporate Strategy.
Let me begin with an overview of our financial performance for the quarter ending September 2025:
For the first half of FY '26, our revenue was INR 6,520 crores, representing a growth of 3.4% year-on-year, while EBITDA rose 6% to INR 846 crores. EBITDA margin came in at 13%, reflecting an improvement of 30 basis points. The PAT for H1 stood at INR 242 crores, a 7% increase over the previous year. In Q2 of FY '26, we recorded a revenue of INR 3,101 crores, marginally higher than INR 3,090 crores in Q2 of FY '25. EBITDA for the quarter stood at INR 401 crores compared to INR 427 crores in the same period last year. The EBITDA margin for Q2 FY '26 was 12.9% , broadly in line with last year's level. Profit after tax came in at INR 105 crores compared to INR 135 crores in Q2 of FY '25, reflecting a margin of 3.4%.
Despite near -term pressures on margins due to mix of projects under execution, our overall profitability for the first half improved modestly, with EBITDA margin rising to 13%, now

turning to the industry. The global infrastructure sector continues to face dynamic and evolving landscape. Geopolitical uncertainties and macroeconomic headwinds have led to recalibration of investment priorities in several regions. However, we continue to see healthy project pipelines in select international markets, particularly in Africa, Middle East and Eastern Europe, where governments are prioritising connectivity, urban development and water -related infrastructure.
In India, government's commitment to infrastructure development remains strong. Both central and state governments have a healthy pipeline of projects. So, far, the current fiscal has seen a moderation in the pace of project awards. However, we expect that H2 will see an uptick on capital expenditure towards roads, railways, urban transit, marine, hydro and water infrastructure.
Afcons diversified portfolio, strong execution capabilities and prudent risk management framework positions us well to navigate these near -term challenges , and help us in capitalising emerging opportunities , both in Ind

ia and overseas. We continue to focus on delivering complex,
high-impact projects that contribute meaningfully to national development and global infrastructure transformation.
Now, speaking about certain recent developments on the organi zation front, we are pleased to share that Mr. Pallon Mistry and Firoz Mistry, representing the next generation of Shapoorji Pallonji Group have joined the Board of Afcons Infrastructure. Their induction is a significant milestone , reinforcing promoter groups' long-term commitment to Afcons and ensuring continuity in vision and strategic direction.
We are equally pleased to welcome Mr. Santosh Naya r, an independent director. Na yar brings with him over four decades of experience in project finance, banking and insurance. These new inductions to the Board will provide invaluable strategic insight, strengthen governance and support Afcons ' long -term growth initiatives.
On the operations side, Afcons continue d to deliver on complex engineering challenges and set benchmarks in execution excellence. One, we achieved a major milestone in Mumbai - Ahmedabad high-speed rail C2 P ackage with final breakthrough of NA TM tunnel in the presence of Union Railway Minister , Ashwini Vaishnaw. This completes 4.82 km of excavation through tough geology.
In Kanpur MRTS, we completed 6.53 km of TBM tunnelling . And in Delhi MRTS i.e. DC -7 package, we achieved 11.62 km of TBM tunnelling , reinforcing our leadership in underground works.
Our Pakal Dul hydroelectric power project has been chosen as the best -rated construction project by NH PC for the financial year ' 24-'25 amongst all other ongoing projects. Afcons continues and has continued to win accolades with prestigious institutions such as ET Now Intra, Construction World, Construction Week, recognizing as one of the best companies in the

industry and also bestowing some of our marquee projects with awards for excellence in their

quality and execution.
In closing, I would like to reiterate our commitment to operational excellence, stakeholder value creation and sustainable growth.
With the continued support of our promoters, the trust of our clients and the dedication of our people, we are well -poised to build an Afcons legacy and shape the future of infrastructure.
Thank you for your confidence in us. With this short speech, I request our Managing Director , Paramasivan to share his remarks.
Srinivasan Paramasivan: Thank you Mr. Subramanian , and good afternoon, everyone. I extend a warm welcome to all participants on this earning call. Adding to Mr. Subramanian's update on the changes to our Board composition, it gives me great pleasure to share that Mr. Shapoor Mistry has been elevated to the role of Chairman Emeritus .
And Mr. Subramanian has taken charge as Executive Chairman of Afcons . On behalf of the entire Afcons family, I congratulate him on this new role. And also, he received a Lifetime Achievement Award at the Construction World Global Awards 2025, a fitting recognition of his outstanding leadership and contribution to the Infrastructure Construction sector.
Let me now turn to the business environment and operational performance :
The first half of FY '26 presented its share of challenges , execution of some projects was temporarily impacted by prolonged monsoon and natural calamities , persistent liquidity issues with certain clients added to these headwinds. However, we are actively working with clients and authorities to recover lost ground and regain momentum in the second half. The pace of ordering activity has been slow in the first half of the year, but we expect significant uptick in the second half.
Our order inflow during the first half stood at INR 1,268 crores and our pending order book remains strong at INR 32,681 crores. We do expect some of the L1 orders to fructify in the c

urrent quarter.
We have a strong project pipeline of around INR 3.6 trillion spread across segments and geographies. We have always expressed that in our industry, especially in the case of companies like ours, whose focus is very different, quarter -to-quarter comparison on order book may not be relevant. Suffice to say, on the back of a strong pipeline and ongoing tendering activities, we will achieve the full order book guidance.
On the international front, we expect to receive a letter of award for the Croatia Railway project before the end of the third quarter of this financial year, and LOAs for the road projects to follow.

We are also actively working to identify and pursue suitable opportunities in the Middle East, building on the renewed engagement that began earlier this year and in Africa.
With these projects coming in, the share of overseas projects will be close to 30% in the pending order book. In the domestic market, we are witnessing heightened competition, particularly in metro projects. Afcons continue to remain selective and disciplined, focusing on projects that align with our technical strengths and prudent risk framework.
We are also seeing a gradual evolution in the Government 's infrastructure strategy with a growing share of projects being offered under HAM, Annuity and BOT models. To capitalize on these opportunities as a preferred EPC player, we are having necessary engagements.
Operationally, I am pleased to share that the first consignment of tunnel boring machines for our C2 projects ha ve arrived from China. However, the second consignment is awaiting clearance at the port for the last 2 months, and we are actively pursuing with all the concerned authorities and ministries to secure its release at the earliest. In the Jal Jeevan mission, particularly in Uttar Pradesh, delays in fund flow continue to affect progress. We are in active dialogue with clients to expedite the release of monies.
Despite our best efforts, given the headwinds faced in the first half, including delays in the conversion of L1 orders, our revenue growth for F inancial Year '26 will be below the earlier guidance. We estimate revenue growth to moderate to 10% plus. We had earlier expressed 20% plus, now we are reducing our guidance to 10% plus.
In conclusion, while the first half tested our resilience, our fundamentals remain strong. With a healthy order book, with a robust opportunity pipeline and a deeply committed team, Afcons is well positioned to regain momentum in the second half and continue to deliver long-term value to all stakeholders.
Thank you once again for your confidence and continued support. I will now hand over to Mr. Ramesh Jha, our CFO
Ramesh Jha: Thank You Sir. Good afternoon, everyone. Before talking on the numbers, let me reiterate that our quarterly number varies. The c ompany is into business of construction. The margin in a quarter varies based on the nature, type and quantum of work we execute. So, quarterly results may vary in different quarters and may not be indicative of annual results or any trend it can be derived from that.
Specific to the numbers, for the half year ended, we have done INR 6,520 crores of top line

against l ast year H1 top line of INR 6,303 crores, showing a growth of 3.4% on a half -yearly number.
In Q2, we have achieved top line of INR 3,101 crores vis -a-vis INR 3,090 crores in previous year Q2. This is also a modest 0.4% growth in top line over the previous year Q2. Now this

modest growth is manifestation of stretch payment across projects and few specific projects where certification and payments are getting delayed. Jobs where we were declared L1 for quite some time back are still not awarded.
Moving on to EBITDA, for the half -year ended, we have done EBITDA of INR 846 crore

s,
which translates in terms of percentage 13% , and there is a growth of around 6% from the previous year EBITDA number for the half year.
For the quarter, we have done INR 401 crores. For the quarter also, we have clocked 12.9% of EBITDA percentage and in our EBITDA calculation, we considered BG commission as part of our operating expenditure. So, EBITDA what we are talking about is after removal of BG commission as operating expenditure.
At the same time, in our EBITDA calculation, we include other income as part of revenue. We have explained in past that our other income needs to be understood in the perspective of our
business, arbitration interest, foreign currency exchange gain and mis cellaneous incomes are recurring and very integral to our business. Hence, it needs to be considered as other operating income. So, for the first half, around INR 161 crores is other operating income.
Now having done 13% EBITDA in H1, our full year EBITDA should be better than our general annual guidance of around 11%. Generally, we have been talking about 11% EBITDA margin that we are going to clock every year , because construction is full of contingencies and our endeavour always is to save on those contingencies and optimise the margin. But many a times, it may not be possible to save on those contingencies. That's where we are giving a guidance of 11%. But this half year, we have already done 13%. So, we expect the number to be better than that.
In terms of profitability, the profit before tax for the half year is INR 333 crores which is 5.1% of the top line , and it shows a 2% growth Y -o-Y. And for the quarter, it is INR 149 crores, 4.8% in terms of percentage.
Profit after tax, we have done INR 242 crores which is 3.7%. This again has grown 6.8% from the previous year and for the quarter, we have done INR 105 crores which is 3.4%. Profits for the half year have improved, because we had some upside on account of arbitration award and also because of margin improvement in few projects. We could save on the material cost and improve on margins in some projects that is reflecting in the improvement in profit after tax.
But at the same time, let me just reiterate some of the other aspects. In this quarter, we have done a sizable amount of provisioning in one of the projects and that's where you will find that our other expenditure is quite high in the quarter as well as i n the half year. Despite that, we have achieved this kind of profitability number.
Finance cost has increased. We have improved our average borrowing cost in H1 FY '26 as compared to H1 2025, also from what we had achieved in the last financial year , overall March

25. But in H1, the average borrowing has gone up. So, despite improving on the average interest cost on bank borrowing, the overall interest cost has gone up.
Also the interest bearing advances for the period ending September ' 25 has moved to around 40% in the overall component of advance we have. This was 20% previous year September. So, the interest bearing component in the total advances what we have from the customer has just doubled.
And because of that, there is a significant increase in interest cost from the customer advances.
And that's the reason the overall finance cost has gone up, despite bringing like I have talked about the average interest cost and BG commission and LC commission we have reduced. Some of the other interest also we have reduced. But on an overall basis, finance cost has gone up.
We expect the situation to improve , once our L1 orders materializes , because large part of it is international order where the advances are interest free. These profitability numbers is despite that we continue to account for accelerated depreciation on our TBMs. The total depreciation is around 4% of the top line. In that, close to 1.5% is on account of accelerated

depreciation. So,
profit numbers whatever you are looking at is after that accelerated depreciation. And ROCE

and ROE numbers, the ROE number i s again after accounting for this. So, ROCE for the first half is 15% and ROE is around 11%. Of course, this needs to be looked at on an annual basis.
Moving to networking capital, networking capital has increased. We are witnessing delays in certification of the work done and release of payments in some projects. This has led to increase in uncertified work done , leading to jump in working capital requirements. I am not getting into specific about any project s, but there are many projects we have witnessed that the payments are getting stretched. Few projects, there are certification and payment issues.
Now on debt, in H1, operations had to be funded. So, debt has moved to INR 3,472 crores on a gross basis and INR 2,714 crores on net basis. On net debt basis, the debt -to-equity works out to be around 0.5x of the net worth.
On behalf of Afcons team, I thank everyone for attending this call. Now I request moderator to open the floor for Q&A.
Moderator: Thank you, sir. We will now begin the question-and -answer session. Ladies and gentlemen, we will wait for a moment while the question queue assembles. The first question is from the line of Mr. Aditya from Investec India. Please go ahead.
Aditya Bhartia: Good afternoon, sir. S ir, my first question is on 2 large opportunities possibly that we are having in front of us, one being Vadhvan Port , the other one being Dubai Tunnel ling Project. It would be great if you could share some details on the status of these 2 projects and how we see the timelines for these projects.

Srinivasan Paramasivan: Vadhvan Port , we have already submitted the bid. Technical bid is opened yesterday. And after clarifications and other things, financial bid yet to be opened. Towards the end of the quarter or beginning of next quarter, results could be announced there. And that is as far as Vadhvan is concerned.
Aditya Bhartia: And this would be for the Breakwater, sir?
Srinivasan Paramasivan: This is for the Breakwater .
Aditya Bhartia: For Breakwater.
Srinivasan Paramasivan: This is for the Breakwater. Breakwater, there are details of bidders and others are public information. And for DSST P roject, it is still going on. Bid submissions date is still away. We are in active discussion with all concerned. Beyond that, I am not in a position to say anything at this point.
Aditya Bhartia: Understood. U nderstood, sir. S ir, my second question is on Mumbai High Speed Rail Project. If you could share details on how much work has already been done and what kind of revenues and margins would we have recorded until now? Has the margin recognition started on that? Or is it likely to be starting once we move little ahead in the project?
Srinivasan Paramasivan: We have done about 15 % of the project. See, substantial part of the billing schedule is on TBM tunnel ling. NATM tunne lling of 4.8 kilometers is already completed. The lining work is going on. The TBM tunnel ling, all of you are aware of the machine arrival related delays. The first set of consignment has come. It is not full consignment. The second set has to come to make it in full. After that, TBM tunnelling will start. Effectively, the profitability, the turnover will increase as we progress on the TBM tunne lling. That is wher e we stand. In terms of profitability, it is on expected lines. We don 't expect any surprises over there.
Aditya Bhartia: But so far, would we have recorded any margins from the project in 15% of the work that has been done or will margin recognition start little later?
Srinivasan Paramasivan: No, margin recognition, typically, we start at 10 %. And one important development on this is High Speed Railway Authority has accepted th

is delay of TBM arrival and other things as a force majeure condition, which is eligible for compensation to the contractor. They have officially communicated to us force majeu re acceptance.
Aditya Bhartia: Understood, sir. That is great. Thank you so much.
Srinivasan Paramasivan: Thank you, Aditya.
Moderator: The next question is from the line of Shirom Kapur from Jefferies Group. Please go ahead.

Shirom Kapur: Hi, sir. Thanks for the opportunity. I just want ed to ask you about your L1. So, could you quantify what is your L1 position currently? And if you could give the breakup within Croatia between the road and the railway job as well as the other L1s like in Maharashtra? If you could give us the breakup, please.
Srinivasan Paramasivan: See, in Maharashtra L1, it continues to be the four jobs. Nagpur -Gondia Expressway P ackage 1, which is INR 2,599 crores. Nagpur -Gondia Expressway Package 2, INR 2,849 crores , Pune Ring Road, both put together, both packages, Package 5 and Package 7 put together is INR 4,787

crores.
Croatia, the first road project is INR 2,406 crores . Second is INR 2,144 crores . Railway is INR 6,771 crores . With this we have total L1 project s of around INR 23,000 crores. And of this, we do expect some of the jobs to come in the current quarter.
With respect to Maharashtra, I think in the last call also people were asking, there is some amount of uncertainty, because in some of the projects, they have just about commenced the land acquisition activity. Therefore, there is a debate within the Government, whether these projects have to go for rebid after the land acquisition is completed or whether it has to be awarded and then adequately handled, is going on. So, we have been engaging actively with the Government ,
but we need to see what is going to be the final decision , okay . That is the situation as far as the Maharashtra projects are concerned.
All the other projects, we expect substantially in the current quarter, 1 or 2 could slip to the early next quarter. Some of this could happen in the current month itself.
Shirom Kapur: Understood sir. Got it, sir. That is helpful. And just on your order flow guidance, are you still sticking to your INR 20,000 crore guidance for the full year or any changes to that?
Srinivasan Paramasivan: Yes. 100% we are achieving a INR 20,000 crore guidance.
Shirom Kapur: Understood, sir. And just if I could ask you, last thing, your prospect pipeline you mentioned is INR 3.6 trillion. Would you be able to give us a breakup of that across segments and between Domestic and International ?
Srinivasan Paramasivan: Yes. Mr. Hitesh will take you through that.
Hitesh Singh: Yes. I will just give you the breakup. So, out of this INR 3.6 lakh crores which we have talked about, as earlier trends were always there, the largest chunk lies in the Urban Infrastructure project. Around INR 1.6 lakh crores is in the Urban Infrastructure . For us, Urban Infrastructure
essentially means underground metro, elevated metro, including bridges as well. And then in Hydro and Underground space, including waterworks, around INR 94,000 crores is the project which we see. Then in the Roads business, which includes road and rail, what we call as surface transport, around INR 65,000 crores. And Marine and Industrial , around INR 43,000 crores.
That is on the segmental breakup.

In terms of geographical breakup, it is around 1/4ths and 3/4th s. So, one -fourth is from the overseas market, 3/4th s is from the domestic market.
Shirom Kapur: Got it, sir. Thank you so much. Very helpful.
Moderator: Thank you. The next question is from the line of Mr. Mahesh Bendre from LIC Mutual Fund.
Please go ahead.
Mahesh Bendre: Hi, Sir. Thank you so much for the opportunity. Sir, last conferen

ce call, you mentioned that you
had carried for 20 %-25% kind of growth. Now, we are talking about 10% kind of growth. So, what has changed in this last quarter s, that has brought down the drastic change in the guidance?
Srinivasan Paramasivan: Yes. 20%-25%, minimum 20% is the guidance what we had given earlier. What has changed since, some of the L1 orders which I explained to the earlier queries, that we were expecting to get it converted in the first and second quarter. And some of these we were expecting the work to happen in the second half of the financial year, number one.
Number 2, some of the projects, there is no visibility with respect to payment forthcoming. For example, Jal Jeevan Mission, we were slated to complete the entire project in the current financial year. We had to stop the project primarily because payment is not forthcoming. We are stuck with INR 450 crores of receivables in that project. And so, few other projects of Indian-funded projects abroad is also seeing some lesser traction , because the countr ies defaulted to India on the committed repayments and ot her things. Because of that, it is hanging on a thin thread.
With this, there are issues with respect to this thing, not related to us with respect to the environment. Due to that, we need to take a cautious step , based on our own assessment of the situation. Therefore, we have to consciously bring down certain value of the turnover in some projects. This Jal Jeevan Mission, by now, we would have progressed very well.
We would have completed in the current financial year. We have to do s till about INR 600 to INR 650 crores of work, which we are not able to take up. For the simple reason, money is not forthcoming. And people at all levels have been met, including CM's level and all. Therefore, that is something when the payment is going to come, all these having a lot of uncertainty, we
have to take care of the interests of the company.
And taking that, we have taken a call to take some of these tougher calls, which could result in reduced turnover, but it will not compromise on our margin. While the percentage of growth could get compromised, it would still be growing.
Mahesh Bendre: Yes. So, whatever the revenue we could have booked in last 6 months . Is it possible, those revenues can be booked in next year, first half?

Srinivasan Paramasivan: Subject to some of the payment situation improving with some of the clients.

Mahesh Bendre: Okay. So, this is nothing to do with a company like specific. We have purposefully slowed down our execution , because of the payment issue. Is it the right way to…
Srinivasan Paramasivan: Correct. Correct. We have not slowed down. Some projects we have even stopped.
Mahesh Bendre: Okay.
Srinivasan Paramasivan: We have demobilized some projects, giving notice to the client.
Mahesh Bendre: Okay. Sure. Thank you so much, sir .
Srinivasan Paramasivan: Thank you.
Moderator: Thank you. The next question is from the line of Mr. Shravan Shah from Dolat Capital. Please go ahead.
Shravan Shah: Hi, sir. So, now, let's say this year, we will be doing a 10%. So, next year onwards, previously, we used to have kind of a 15% plus, but given the 10% lower that we are doing. So, FY '27, can we look at a kind of a 20% or at current stage, there also only 10% kind of a number one can look at?
Srinivasan Paramasivan: We would like to maintain our earlier guidance of 15% for the next financial year, because this second half of the year, orders are going to bunch.
Shravan Shah: Okay.
Srinivasan Paramasivan: In the second half of the financial year, orders are bunching up and the pace at which it is coming, if it comes in the current quarter, then work will start in the next financial year, initial phase installation will go. If it comes in the next quarter, then post -monsoon

only it will get started.
So, depending on that, our guidance of 15% would remain.
Shravan Shah: Got it. So, now, just a clarification on the order inflow when we say INR 20,000 crore s. So, that obviously would be excluding the L1 that we have. So.
Srinivasan Paramasivan: Not all. L1 of Maharashtra. Excluding L1 of Maharashtra.
Shravan Shah: Okay. Excluding the L1 of Maharashtra.
Srinivasan Paramasivan: Excluding L1 of Maharashtra.
Shravan Shah: Okay. So, Croatia itself would be a kind of a close to INR 11,500 crores to INR 12,000 crores . So, that we are considering and plus INR 1200 crores . So, around 13,500 crore s already we are there, and remaining INR 7,500 crore fresh that we are looking at.
Srinivasan Paramasivan: Correct. Correct.

Shravan Shah: Okay. And this Vadhvan Port , that the bid that we have submitted. So, this is the HAM, one that we are talking about? HAM project?
Srinivasan Paramasivan: No. This is the EPC Breakwater.
Shravan Shah: Okay, EPC. So, value would be roughly around?
Srinivasan Paramasivan: The client's estimated value is INR 5,120 crores.
Shravan Shah: Got it. And now, our guidance in terms of EBITDA margin, obviously, initially, we mentioned that it would be better. So, will it be 13% for this year and next year onwards, again, we will be having 11% kind of guidance?
Ramesh Jha: See, as we explained that on an annual basis, the guidance we are trying to give is 11%. Because we have explained that there are many risks in projects. So, our endeavor is to of course improve and we have demonstrated that as well. For even FY '25 and even for this half year, we have done in the range of 13%. Since we have already done 13%, we expect the full year number to be better than what we had initially indicated.
Exact number, let us leave it at this point in time, because it would not be appropriate for me to give for the balance 6 month s. But one thing I can reassure you that we are not having any bad project or we are not having execution in the second half, which will be less profitable. So, we are definitely going to improve from what annual guidance number we have given.
For the next year, it will be too early to give any guidance on the profitability metrics. But on a sustainable basis, we would like to do 15% top line growth and 11% EBITDA number.
Shravan Shah: Got it, got it. Lastly, on the CAPEX front, how much for this year we would be booking and a broader level next year would be how much? And also the balance sheet data point, mobilisation advance, retention money and unbilled revenue as on September.
Ramesh Jha: See, o n CAPEX, this year we have planned close to INR 1,100 crores and this has largely the TBM for the C2 package, which half of it has come and the second consignment is yet to start. So, once that comes, that is a sizable portion and then rest of the CAPEX, whatever we have planned is linked to the project award. So, once we get the project award , linked to that, we are going to do the CAPEX . That is for this year.

I expect that what we had estimated of INR 1100 crores, some part of it is going to spill over to next year , because if we get the orders in say Q3 and Q4, the procurement also, the orders also we will be giving in line with our requirement. So, some part will get to FY '27.
Initially, when we had estimated, when we had made our budget for ' 26, at that time we were looking at somewhere around INR 700 to 750 crores kind of a CAPEX for '27. So, maybe if

something is not done this year of this INR 1100 crores, that will get added to the next year CAPEX.
Shravan Shah: And the mobili zation advance, retention money and unbilled revenue as on September, sir?
Ramesh Jha: See, these numbers have already been uploaded. These are part of the pre

sentation. These
numbers are already there. The unbilled revenue , and of course, these retentions, it 's in the similar range what it was there.
The retention number has not gone up from say the number what we were having in March or in June . Is in the similar range because some projects as we complete, we get the retention release. And the ongoing project, there is a regular recovery of retention.
And unbilled revenue, again, it is in the similar range what it was there in the say June or March, in the similar range it is there.
And the third thing you were asking was about mobili zation advances. So, mobili zation advances as we have not got the jobs . The jobs have not been awarded, s o we have not received those advances. On the contrary, for the ongoing jobs, whatever advances we had received earlier, recoveries are happening. So, sizable amount of mobili zation advance, if we compare from say March '25 to September, the advances have come down, because of the recovery.
Shravan Shah: Okay, got it, sir. Thank you.
Moderator: Thank you. The next question is from the line of Mr. Parvez Qazi from Nuvama Group. Please go ahead.
Parvez Qazi: Hi, good afternoon, and thanks for taking my question. So, my first question is regarding our bid pipeline. You mentioned that we have a strong bid pipeline. Now, in H1, just wanted to get colour on the incremental bids , which have , let's say , got added to this bid pipeline. In which segment would we have seen new projects getting added to the bid pipeline in the last 6 months?
And also, some colour on the geography, whether it's domestic or overseas, where these new projects have come, that would be great.
Hitesh Singh: Yes, Parvez, largely the projects got added on the urban infrastructure space. There are certain projects which the Government has announced, those got added. And certain projects got added on the hydro and underground. That has been the major change.
And also, as the awarding activity is going on, the tendering goes on, certain projects which were announced got dropped and new projects in the normal course of business got added. So, that's been the change why it has increased.

And Domestic and O verseas, last time ratio was pretty much same. It was 1/4th and 3/4th. The same ratio is there in the overseas market as well, D omestic and O verseas.
Srinivasan Paramasivan: And in terms of your other question on geographies , some point of time, we had kind of practically withdrawn from the Middle East. But having got some of the clients agree to some change in the contract conditions and other things, we are reengaging in the Middle Eastern segment, where we do expect some g ood traction going forward.
Parvez Qazi: Sure, sir. Second, what would be your view on competitive intensity in overseas projects? Do you believe there we will find lesser competition , compared to what we are seeing domestically?
Srinivasan Paramasivan: One cannot generalize the competitive intensity in the overseas situation. In different geographies, different kind of competition takes place. It depends on the client and the funding agency and the number of competitors involved. Therefore, I would not like to venture a general response to this, except saying that everywhere competitive intensity is there, we have to choose your client and also the preferred country and the client, I would put it.
Parvez Qazi: Sure, sir. And lastly, just 2 data points that are needed. What is the CAPEX that we have done in Q2? And second of our INR 32,700 crore s order book, what is the quantum of projects where we are yet to receive the appointed date? Thank you.
Ramesh Jha : So, CAPEX, close to around INR 200 crores, we have done up to September. And on this INR 32,000 crores of order book, what we have as of September, you want to know that whether the appointed

dates have been given for this contract?
Parvez Qazi: Yes, are all the projects under execution or there are projects where we have received LOA , but appointed date hasn't come?
Ramesh Jha : No, all these projects are under execution. So, there is no such project for which we have not got any appointed date or notice to proceed.
Parvez Qazi: Sure. Thanks and all the best for future .
Ramesh Jha : Thank you.
Moderator: Thank you. The next question is from the line of Mr. Balasubramanian from Arihant Capital. Please go ahead.
Balasubramanian : Good afternoon, sir. Thank you so much for the opportunities. So, what is our current exposure in UP Jal Jeevan Mission in terms of receivables? I think last quarter it is around INR 422 crore s. And what is the realistic timeline to expected these receivables?
Srinivasan Paramasivan: In terms of Jal Jeevan Mission, our exposure is around INR 450 crores, almost similar level. We got some money in between, some small monies. And practically from July onwards, we have

stopped the work over there. And just on the eve of Diwali, there was a meeting by the Chief Minister and other things. So, our exposure remains as it is. We have a balanced unexecuted job there of roughly around INR 600 to INR 650 crores.
Balasubramanian: Okay, sir. And how do you look at working capital cycle by end of this year , because of this Jal Jeevan impact?
Ramesh Jha : See, Jal Jeevan Mission, the impact anyways is already factored. And as we are not further putting money there, so what I can see is it is only going to improve from here.
And also on an overall basis, usually up to H1, one needs to fund the projects. But now, since we will be approaching towards the year end, things will gradually improve , because the customers, they will have their own budgets and they need to exhaust all that during the financial year. So, we will be getting payments from the customer and things will unwind.
Balasubramanian: Okay, sir. Sir, out of INR 1,100 crore CAPEX, how much CAPEX for these 2 tunnel boring machines? And when we expect effective deployment into the projects?
Ramesh Jha : See, exact number, we will not be able to give you. But this number is anywhere between say INR 600 to INR 700 crores for these TBMs , along with all these attachments it requires. And it is dependent on when it is sailing from China, the second consignment. And we are hopeful that maybe this month it should happen. And if it sails this month from China, I think by say, end March or maybe April, we should commence the execution.
Balasubramanian: Okay, sir. Sir, if that TB M machines is getting delayed, which other projects is going to impact in the next 2 or 3 quarters?
Srinivasan Paramasivan: This is only one project, C2, that high -speed railway project , undersea tunnel. All other projects, we have TBM in place.
Balasubramanian: Okay, sir. S ir, my final question, what are the strategic initiatives you are going to take to reduce our promoter pledging? What is the roadmap?
Srinivasan Paramasivan: So, I am not clear about your question.
Balasubramanian: So, what is the strategic initiatives you are going to take to reduce promoter pledging? What is the roadmap?
Srinivasan Paramasivan: On promoter pledging, we are not taking any initiative. It is with the promoter. So, it will not be appropriate for us to comment.
Balasubramanian: Okay, sir. Thank you.

Moderator: Thank you. The next question is from the line of Ms. Bhoomika from DAM Capital. Please go ahead, ma'am.
Bhoomika Nair: Yes, good afternoon, sir. So, just on this margin profile, we have seen a very strong one -edge kind of a margin at about almost 13%, which is much higher than our guidance per se. You know, for this year, how do you se

e the margins moving per se, particularly in the second half?
And as some of these conversions from L1 to actual time to begin work is delayed, will that impact the margins that we have quoted for some of these projects or are they escalation based, fixed price? Can you just throw some color on that?
Srinivasan Paramasivan: No, with respect to margins, my CFO will respond. With respect to this thing, there is, in terms of Maharashtra projects, if you take it, there is an escalation mechanism right from the day we submitted the bid. In fact, 21 days before submission of bid onwards, it starts. Okay.
With respect to the overseas project, which we are L1, there are the contracting timelines and our timelines itself is like this. 120 days from the date of bid opening, all these are specified.
Therefore, it's all factored in already. So, we don't expect any impact on the margins or related

things.
On the EBITDA guidance, Ramesh would respond.
Ramesh Jha: So, see, Bhoomika, we have already talked about the EBITDA margin we have done for the half year, 13%. And as confirmed earlier also, we are not having any bad project as such in the second
half or any less profitable activity to be executed in the second half.
So, we expect our EBITDA margin to be better than what we had indicated at the beginning of
the year at 11%. It should be definitely better , because half year we have already done 13%.
Exact number we are not giving you, but I think we can expect that we should be doing better
than what we had indicated.
Bhoomika Nair: Sure. And this quarter also the other income was slightly higher. Was there any arbitration or
FOREX gain that was booked in this particular quarter?
Ramesh Jha: See, FOREX gain is there in this quarter. And as you were asking about the overseas project .
So, in overseas project, what happens that even though in majority of the project , we do not get
any escalation, but then the exchange gain comes as an escalation measure, because on a
continuous basis we are seeing that say a dollar or a euro appreciates against Indian rupees. So,
we have seen in some of the project over a period of say 5, 6 years, the exchange difference itself
becomes a very sizeable portion of the contract . So, likewise, things accrue. So, it is there in this
quarter as well.
Bhoomika Nair: Okay. Would it be possible to give out the number of FOREX gain for this particular quarter,
which is related to the project?

Ramesh Jha: One minute, I will give you that number . So, FOREX gain is around INR 59 crores.
Bhoomika Nair: Okay. Okay. Got it. Got it. Understood. And so, just lastly, I know we have discussed a lot on
the call in terms of the working capital rising and thereby the debt also has risen. While we will
get some of these advances, when we get some of these orders, it should help in terms of reduction.
But, with the money stuck particularly in this JJM orders, do we expect any relief per se within
this year, or you think it will be something which working capital to that extent will remain
elevated itself?
Srinivasan Paramasivan: In terms of our J al Jeevan Mission payment, while we are not in a position to commit, Chief
Minister himself has assured he will clear all the dues as he wants the project to be delivered
well on time. And that is something I think the state level they are working. And theref ore, we
do expect some traction coming in next 2 to 3 months. Many of the states today, state level
finances are, I would say, strained. Because of that, probably there has been some delay, I am
not very sure. I am not able to comment.
Bhoomika Nair: Okay.
Ramesh Jha : And Bhoomika, just to add, see, even last September, we were at a similar kind of debt number. So, not that
this number is different. And you had seen how it has unfolded by the year end. So,
that is the trend. Gener

ally, it happens like that.
Bhoomika Nair: Understood, understood. Fair point. This helps. Thanks so much. Thank you.
Ramesh Jha : Thank you.
Moderator: The next question is from the line of Mr. Parvez Qazi from Nuvama Group . Please go ahead.
Parvez Qazi: Hi. Thanks for taking my follow -up question. I think you had mentioned there was some
exceptional expenses that we had booked this quarter as part of our other expenses. Would it be
possible to get the quantum of that?
Ramesh Jha : So, what do you want to ask, Parvez?
Parvez Qazi: What was the quantum of that exceptional expenses?
Ramesh Jha : It is close to 100 crores.
Parvez Qazi: Okay. Sure. Thanks.
Ramesh Jha : Thank y ou.

Moderator: Thank you. Ladies and gentlemen, that was the last question for the day. I would now like to
hand the conference over to Ms. Bhoomika for closing comments. Please go ahead, ma'am.
Bhoomika Nair: Yes. I would just like to thank all the participants on the call , and particularly the Management
for giving an opportunity to host the call. Thank you very much, sir, and wish you all the very
best. Any closing remarks from your side?
Srinivasan Paramasivan: Thank you very much. Thanks for the continued interest and support. We definitely look forward
to all of you stay with us and earn on a long-term basis. Thank you.
Ramesh Jha : Thank you so much.
Moderator: Thank you, sir. On behalf of DAM Capital Advisors Limited, that concludes this conference.

Thank you for joining us and you may now disconnect your line.

Call: Feb 2026

Afcons Infrastructure Limited
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February 16, 2026

To
The Compliance Manager
BSE Limited
Corporate Relationship Dept.,
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai 400001.

To
The Manager, Listing Department
National Stock Exchange of India Ltd
Exchange Plaza, Plot No. C/1, G Block,
Bandra-Kurla Complex,
Bandra (East), Mumbai 400 051.
Scrip Code: 544280 Symbol: AFCONS

Subject: Transcript of Q3 & 9M FY '26 Earnings Conference Call

Pursuant to Regulation 30 and 46 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the Transcript of the Q3 & 9M FY '26 Earnings Conference Call held on Wednesday, February 11, 2026.

The aforesaid Transcript is also being uploaded on the website of the Company:

https://afcons.com/investors-meet/

Thanking you,
Yours faithfully,
For Afcons Infrastructure Limited

____
Gaurang Parekh
Company Secretary and Compliance Officer
Membership No.: F8764

“Afcons Infrastructure Limited
Q3 & 9M FY '26 Earnings Conference Call”
February 11, 2026

MANAGEMENT : MR. SUBRAMANIAN KRISHNAMURTHY – EXECUTIVE CHAIRMAN – AFCONS INFRASTRUCTURE LIMITED
M R. PARAMASIVAN SRINIVASAN – MANAGING DIRECTOR – AFCONS INFRASTRUCTURE LIMITED
M R. RAMESH KUMAR JHA – CHIEF FINANCIAL OFFICER – AFCONS INFRASTRUCTURE LIMITED
M R. HITESH SINGH – HEAD CORPORATE STRATEGY – AFCONS INFRASTRUCTURE LIMITED

MODERATOR : MS. KRISHNA MUNDRA – DAM CAPITAL ADVISORS LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Afcons Infrastructure Limited Q3 and 9 Months FY '26 Earnings Conference Call, hosted by DAM Capital Advisors Limited. As a reminder, all participant lines will be in listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand over the conference to Mr. Kishan Mundra from DAM Capital Advisors Limited. Thank you, and over to you, sir.
Krishna Mundra: Hi, thanks, Pari. Good morning, everyone, and a warm welcome to the Q3 FY '26 earnings call of Afcons Infrastructure. So, we have the management today being represented by Mr. Subramanian Krishnamurthy, who is the Executive Chairman; Mr. Srinivasan Paramasivan, who is the Managing Director; Mr. Ramesh Kumar Jha, the CFO; and Mr. Hitesh Singh, the Head of Corporate Strategy.
Now at this point, I will hand over the floor to Mr. Krishnamurthy for his initial remarks, post which we will open the floor for the Q&A. With that, over to you, sir.
S. Krishnamurthy: Good morning, ladies and gentlemen. It's a pleasure to connect with all of you once again. I thank our investors, analysts, and stakeholders for joining us today. Our financial results and investment presentation for the quarter have been uploaded on the Stock Exchanges, and I hope you would have had an opportunity to review them. I have joined today along with Mr. Paramasivan Srinivasan, our Managing Director; Mr. Ramesh Jha, our Chief Financial Officer; and Mr. Hitesh Singh, who Heads our Corporate Strategy at Afcons.
Let me begin with an overview of our performance for the quarter ended December '25. For the nine-month period, total income stood at INR9,545 crores, reflecting a marginal year-on-year decline of 0.9%. EBITDA rose 1.8% to INR1,269 crores, with margin improving 35 basis points on a year-on-year basis to 13.3%. EBITDA excludes one-time impact of Labor Code. Profit after tax stood at INR339 crores.
Coming to Q3 FY '26, we reported a total income of 3,025 crore, a decline of 9% on a year-on-year basis. EBITDA for the quarter was INR424 crores, with margins at 14%, representing a 50 basis point year-on-year improvement. Despite lower revenues, we have seen an improvement in our margins, and this is in line with our guidance. Profit after tax stood at INR 97 crores compared to INR149 crores in Q3 FY '25. This includes a one-time impact provisioning of INR76.51 crores for the New Labor Code.
Our top line was impacted by a combination of execution-related and general slowdown in the infrastructure activity. Some recently secured projects, including certain quick turnaround high-output projects, progressed slower than anticipated. We also experienced exceptional delays in the conversion of certain large-value L1 projects. Other factors that impacted the top line growth included continued liquidity issues with certain government clients.

We are actively working to overcome many of these impediments in the coming months. Beyond financials, the quarter was marked by several operational milestones that highlight the depth of our execution capabilities.
I am pleased to share with immense pride that Afcons completed the first 5.5-kilometer TBM drive in the CIDCO water supply project, which also happens to be the first breakthrough for CIDCO. I would like to remind you, Afcons has set and broken its own record for the maximum length of tunneling of 777 meters done in a month during this drive.
The project team has completed this activity one month ahead of schedule with remarkable accuracy, despite logistics and geo-technical challen

ges. In keeping with the Afcons way, the
team has achieved this feat through innovative approaches, one of which has been adjudged as the Best Paper at the Indian Lean Construction Conference held in December '25.
The project has also won Merit award from National Safety Council of India for 2 million safe man-hours without any lost time injury. I am also proud to share that our operational capabilities have been validated through several independent and prestigious recognitions during this quarter. Engineering News-Record USA has ranked Afcons 8th among the International Marine and Port Facilities contractors and 12th among International Bridge contractors in its 2025 rankings.
Afcons has been recognized as the Most Innovative Knowledge Enterprise at both India and global levels for the 8th time in a row. We are the only infrastructure company to achieve this

rare distinction for eight consecutive years. Our innovation drive has been approached by CII, who have bestowed on us the Grand Award for the Top Innovative Company across all sectors and categories and also in the service category. This means we are treated as the most innovative company of the country.

Looking ahead, the operating environment for Afcons looks favorable. Although global infrastructure activity at large has been subdued in the last past year due to geopolitical uncertainties, project pipelines in our focus geographies have been robust, particularly in the segments of our interest.

This is expected to improve further as per various reports. In India, the government has signaled continuity in its infrastructure growth policy through a robust INR12.12 lakh crores allocation and other related policy announcements in the recently announced budget. Ordering activity, however, has remained subdued, particularly in our focus segments. We expect a pickup in Q4, consistent with historical seasonality.

However, we have seen substantial growth opportunities that meet our risk management criteria. Afcons will continue to be disciplined in its pursuit of growth, focusing on operational excellence. I am confident in our ability to effectively navigate challenges in our path, demonstrated time and again, and deliver long-term value to the shareholders.

Thank you for your continued support and trust. With this, I now invite Mr. Paramasivan, our Managing Director, to share his remarks.

Paramasivan Srinivasan: Thank you, Mr. Subramanian, and good morning, everyone. I would also like to extend a warm welcome to all our investors, analysts, and participants. We value your continued interest in Afcons and appreciate the engagement you bring to this discussion. As Mr. Subramanian outlined, the third quarter reflected some execution and sectoral headwinds which moderated our performance.

Despite our best efforts to mitigate these challenges, some impacts persisted, largely due to timing-related factors rather than any internal structural issues. We remain focused on restoring the growth momentum over the coming quarters.

Let me briefly touch upon the operating environment and how we see it evolving. In India, the government has reiterated its long-term commitment to infrastructure development through the recently announced budget. Its vision for new high-speed rail corridors, dedicated freight corridors, and the development of Tier 2 and Tier 3 cities reinforces the continuity and provides positive visibility for the sector.

Further, the push for domestic manufacturing of critical equipment, including construction equipment like TBM, is also encouraging as it aims to enhance Make in India initiative and also helps in eliminating the challenges witnessed while importing these equipment due to geopolitical issues.

Coming to our focused international markets, we continue our drive in the international geographies and believe that there is a healthy pi

peline of projects that gives us confidence that we will continue to bag international jobs in our focus segments. Coming to the order book, I am pleased to share that we recently secured a road project over EUR100 million in Uganda. This is a significant win for us as it reinforces our long-standing presence in Africa.

In the domestic market, we secured two marine contracts worth about INR1,400 crores during the quarter. Both these contracts are strategic for the Government of India and are aligned with the broader objective of contributing to infrastructure of national importance.

With these awards, our total order inflow till date stands at approximately INR3,700 crores and our pending order book as on date remains healthy at INR32,635 crores. While order inflows so far have been lower than our initial expectations, we expect a few meaningful awards to materialize during the current quarter, which should strengthen our order book position. Accordingly, we are hopeful of achieving our full-year order inflow guidance of INR20,000 crores. Looking ahead, our project pipeline continues to be robust at around INR3.8 trillion, spread across multiple geographies and sectors.

That said, we are witnessing rising competitive intensity in several segments, including metros, where bids have become increasingly aggressive. On the operational side, we are still cautious about our Jal Jeevan Mission projects in Uttar Pradesh, although the government's allocation to Jal Jeevan Mission in the current budget has remained similar to budget estimate of last year. But based on our experience and on-ground realities, we prefer to remain cautious.

Regarding our high-speed rail project, the second consignment of our TBM is still awaiting clearance. We are in close communication with the concerned ministries and agencies to expedite the release, and we hope to see the progress soon. In parallel, we are also working with the client and other stakeholders to evaluate alternative solutions to minimize the impact on project timelines.
To conclude, our nine-month performance has remained relatively flat due to the factors already outlined, while we are still working to achieve our 10% growth as guided in the last call, a 5% growth looks definitely achievable. With a healthy order book, a deep and diversified pipeline, and a committed execution team, Afcons is well-positioned to regain momentum and accelerate growth in the coming periods. We remain firmly focused on disciplined execution, prudent risk management, and delivering long-term value to all our stakeholders.
Thank you once again for your confidence and continued support. I now hand over the call to our CFO, Mr. Ramesh Jha, to take you through the details of our financial performance.
Ramesh Jha: Thank you, sir. Good morning, everyone. Before talking on the numbers, let me reiterate what usually I do it on every quarter, and this becomes more relevant this quarter, that the quarterly number varies. Company is into business of construction, the margin in a quarter varies based on the nature, type, and quantum of work executed. So quarterly results may vary in different quarters and may not be indicative of annual result or trend.
Now coming specific to the numbers. For the nine months ended, we have done a top line of INR9,545 crores against last year nine-month top line of INR9,635 crores, which is a kind of, it has come down by 0.9%. In Q3, we have achieved a top line of INR3,025 crores versus INR3,332 crores in previous year Q3. So there is a marginal degrowth in nine months as well as Q3 as well.
Now this kind of top line movement is a manifestation of stressed payment across the projects, and few specific projects where certification and payments are slow. Jobs where we were declared L1 quite some time back are still not awarded. Some recently bagged jobs have not pi

cked up in a manner we were expecting, and also few fast-track projects are moving at the normal pace.
Now moving on to the margins. As far as EBITDA is concerned, for the nine-month period, we have done INR1,269 crores, which works out to 13.3% of the top line, which has improved from the previous year number of INR1,247 wherein we had done 12.9%. So the EBITDA in terms of percentage has gone up. In the quarterly number for the Q3 FY ‘26, we have done INR424 crores, and in this quarter, the EBITDA margin works out to 14%, as against 13.5% in the previous quarter. When we are talking about the EBITDA number, of course, we have not included this one-time exceptional provision on the accounts of labor code-related provision. The exceptional item on account of labor code is around INR77 crores, INR76.51 crores to be very specific, during this quarter. When it comes to profit before tax for the nine-month period, we have done INR456 crores, and this number is after providing for this INR76.5 crores of labor code provision. This works out to around 4.8%, as compared to last year's INR526, which was

5.5%. When we look at this nine-monthly number of 4.8%, the exceptional item provision works out to around 80 basis points for the nine-month period.
On Q3, the number of profit before tax is INR123 crores, against INR200 crores of profit before tax in the Q3 FY ‘25. Profit after tax for the nine-month period is INR339 crores, as against INR376 crores in the previous year nine months. And during the quarter, the profit after tax is INR97 crores, which is 3.2%, as against INR149 crores done last year.
Now I'll just like to explain on the EBITDA. In our EBITDA calculation, we consider BG commission as part of our operating expenditure. So EBITDA what we are talking about is after removal of BG commission as operating expenditure. This quarter, because of labor code-related provision, there is a one-time impact which of course we have not factored in the EBITDA calculation, we have factored that in profit before tax and profit after tax.
Other income. In our calculation, we include other income as part of other operating revenue. Here we have explained earlier also that our other income is something which is part of operating revenue, like arbitration interest, foreign currency exchange gain, and miscellaneous incomes are recurring and very integral to our business. Hence, this needs to be considered as part of other operating income.
For the nine-month period, this amount was INR211 crores in other operating income. Since we have already achieved 13.3% EBITDA margin in nine months, our full-year EBITDA should be better than what generally the guidance we give of around 11%. But at the same time, there

could be some event which may derail, but I am not saying there is any specific project, but I am generally saying that every year we are giving guidance of around 11%.

We have already done better, and we have got all projects which are doing fairly well. So annual numbers should be better than whatever we give generally, the annual guidance. For the nine months, it is around 13.3%.

In terms of profits, the profit for the period is similar to that of the last year after adjusting for the labor code-related one-off exceptional item. Of course, this factors some upside on account of arbitration award and also because of margin improvement in few projects. Also, in some projects, we could save on some of the material cost and other operational improvements, and that has improved the margin on an overall basis.

Specific to finance cost increase, we have improved our average borrowing cost in the nine months FY '26 as compared to what we had achieved last year nine months, but in the nine months, the average borrowing has gone up. And that is because of working capital blockage, because we are not seeing the payments very s

mooth in this nine-month period.

So despite improving the average cost of borrowing (interest on bank borrowing), the overall interest cost on the bank borrowing has gone up. Also, the interest-bearing advances for the period ending December 2025 has almost doubled to around 40% in the overall advance from customers, as compared to last year when we were around say 20%-22% in the overall borrowing -- in the overall advances -- the interest-bearing advance this time was around 39%-40%.

Because of this, interest on customer advance has also increased, making the overall interest cost to go up. We expect the situation to improve once our L1 orders materialize, because large part of the international orders where the advances are interest-free. We have provided for accelerated depreciation in this quarter as well. Of the total INR354 crores of depreciation, more than 1% of the cost component in the depreciation is towards accelerated depreciation. So our profit numbers are after accounting for the accelerated depreciation.

In terms of ROCE, ROCE in nine months is around 14%, 13.4% to be very precise after considering the exceptional item. We'll look at these numbers on an annual basis because that will make more sense. As far as net working capital goes, the net working capital continues to remain at elevated levels.

There is some moderate improvement in payment from January onwards, but the stuck payments are not moving, and that is where the challenge lies. We are expecting some improved collection in this quarter. Realization of few stuck receivables and also the collection of good advances should improve the situation definitely from where we are today.

Debt, the debt number has remained in the similar range that of September and stands at INR3,633 crores on the gross basis and INR2,779 crores on net basis. On net basis, the debt-equity is around 0.5 times of the net worth. In terms of liquidity, the company is in a very comfortable situation because we are maintaining very healthy balance of cash and bank balance, and we have got large amount of bank limits which is unused.

On behalf of Afcons Infrastructure Limited, I thank everyone for attending this call. Now I request the moderator to open the floor for question and answer. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Aditya from Investec. Please proceed.

Aditya: Hi, good morning, sir. Sir, my first question is on the L1 status of our projects. Now these are projects which have been stuck at the L1 stage for a fairly long time, and even Croatia projects are, I think, taking longer than what we had envisaged. So just want to understand how you seeing them getting placed? Is there risk of some of them getting canceled? That's my first question.

My second question is on margins which, I mean for last few quarters, we've been doing quite well, and this is happening despite overall execution pace not being very strong, and as you mentioned, competitive intensity being quite high. So what is really leading to that, and how sustainable should we consider the current margins to be? Thank you, sir.

Paramasivan Srinivasan: Thanks, Aditya. Number one, with respect to L1 status, I'll first touch upon Croatia. On Croatia, the railway project is at an advanced stage of getting awarded. From the government, we find out that all levels approvals are over, and this is going to be the largest contract ever awarded by Croatia to any contractor. Therefore, it is just awaiting the nod of the PM. Once that is done, we are likely to get this job awarded very shortly. Financial institutions and others have already given their approval.

With respect to road jobs, it is in process. There are a couple of road jobs which w

ere bids were
opened earlier than us, which are being awarded now. After that, this will get awarded. So all the three jobs in Croatia are on track for award. While railway job can be expected at any time now, road jobs could go towards end of March or early next quarter. That is something which we are awaiting.
With respect to Maharashtra jobs, from the interactions we learned, the entire 22 packages of Maharashtra project jobs are going for rebid. And as it is more than one year is over, land acquisition in all the cases have not been completed, they would like to have the price discovery again, and therefore a repackaging could be done and it could go for rebid. That is the indication we have got, though officially they have not communicated as so. Therefore, in Maharashtra projects L1, in our internal scheme of things, we don't expect to bag in the near future.
Aditya: And this includes even Pune Ring Road project, sir?
Paramasivan Srinivasan: Pune Ring Road, Nagpur-Gondia, both what we learn, it is undergoing certain changes, and with that changes, it is going for rebid. That is the indication we have, officially they have not communicated so.
Aditya: Sure, sure, sure. But some packages of Pune Ring Road had already been awarded. Isn't that the case?
Paramasivan Srinivasan: There, that was opened -- that was awarded nearly two years back. This bid was invited sometime in Jan 2025 -- bid was submitted rather in Jan 2025, bid was opened. This was awarded much earlier, sometime in March or before that 2024. So that part of the job is going on. This part of the job is something which they are going for rebid, as we know.
Ramesh Jha: I'll answer on the margins. Good morning, Aditya. On the margin front, see we have -- I'll break this into three parts. One, we have already talked about that any project we submit bid, we always look at a threshold of margin, and that margin will always be there in the project, unless something goes upside down and then only otherwise, we'll maintain that kind of margin. So that is one.
Two, we have also talked about that in projects there are some risk and contingencies provisions are there, and our endeavor is always to save on those risk and contingencies, improve on some methods, designs, and then improve the margin. So that is second aspect.
And third, we have got some award because of arbitration award, and because of that also, there is some upside. So that is where on a consistent basis we are talking about that 11% EBITDA margin is something which will be there, and if you see last 10-12 years, we are largely there -- some years maybe around say 9.5% -- but largely we are around say 10% plus and in recent time 11% plus.
So that is something which is sustainable. Balance is dependent upon, how we are able to save on those risk and contingencies, and if some arbitration award comes, that also kind of takes it up.

Aditya: Understood, sir. And should we start assuming that instead of 11%, we can generate higher margins going forward as well, or this appears to be a bit of an aberration because of maybe some arbitration awards that we had and some projects nearing completion?
Ramesh Jha: So the margin what we are seeing today is not from -- 11% is something which definitely will be there, and the kind of margin we are seeing today is not because of purely arbitration award because, arbitration upside is a small fraction of that. The remaining part is towards the improvements we have done in the project. Some projects we have -- we are completing before time.
Some projects we are improving designs and methods, and we are saving on some of the cost. We are saving on some material procurement and other aspects. So that is where this improvement is happening. Definitely the margin will be, northwards of 11%, but at the moment, what we'll request that, let's keep it at 11%

plus.
Aditya: Sure, sir. Understood. Thank you.
Moderator: Thank you. The next question is from the line of Mohit Kumar from ICICI Securities. Please proceed.
Mohit Kumar: Yes, good morning and thanks for the opportunity. My first question is, sir, the revenue growth has been benign for last couple of years and the order inflow also been subdued for last nine months. I understand they are sitting on a large L1 position, but there is also likely to be some cancellation. My question is in this context, how do you think about the growth in FY ’27,

revenue growth?
Paramasivan Srinivasan: In the light of delayed order intake, some of these orders in staggered manner we were expecting all through the year. As it is all bunching up towards end of the current quarter, towards the last quarter of the year, and with that kind of mobilization and other thing required for such large projects, it's -- in our assessment -- it is too premature to comment what will be the growth for the next quarter. Once the orders are in place, we will come back to you with a specific guidance on the next year.
Mohit Kumar: Understood. My second question on the Jal Jeevan Mission. What is the order book right now? And of course, the last nine months, I don't think there has been too much spend on Jal Jeevan Mission. But I also understand that from the January the things have started picking up. Can you please throw some light on the Jal Jeevan Mission order and how do things -- how do you see on the ground now?
Paramasivan Srinivasan: On Jal Jeevan Mission projects, our major problem is with respect to our UP. In UP, balance pending order is roughly around INR500 crores -- sorry, roughly around INR500 crores. Existing outstanding from the client is INR405 crores. So while there had been meetings held at the Chief Minister's level and all as early as in October, not much traction had taken place in terms of cash flows. So we are still awaiting a cash flow coming through for us.

In the meantime, we have whatever business call we need to take with respect to the project we have taken by way of slowing down and probably pruning down our establishment, all those kind of rational calls we have taken.
Ramesh Jha: Mohit, just to add, the total Jal Jeevan Mission-related project is around INR1,300 crores balance order book. As sir has explained, that UP is INR530 crores and that's the biggest chunk. Another say INR500-odd crores is in MP where we are not foreseeing any problem. The bills are -- we are doing the work, we are submitting bills, and we are getting paid as well.
In Rajasthan, we have started the third job. There around say INR300-odd crores is there in Rajasthan. And since it is at the very initial stage, we don't foresee any challenge in Rajasthan.
So all together around INR1,300 crores. UP is something which we need to see. And in UP also, from January onwards, they have started releasing payment.
We have received close to INR15 crores in the month of January. We need to see -- they have promised that they'll release payment, we need to see how it pans out.
Moderator: As there is no response, can we move to the next question, sir?
Paramasivan Srinivasan: Yes, please go ahead.
Moderator: The next question is from the line of Ashish Shah from HDFC Mutual Fund. Please proceed.
Ashish Shah: Yes, thank you for the opportunity. Sir, my first question on -- I mean you did mention that there would have been some impact of favorable arbitration also during this quarter as far as the margins is concerned. As I read from the notes to account, there is INR165 crores of revenue which has been taken to the P&L on account of the Chenab Bridge arbitration award.
So could you tell that whether this INR165 crores directly flows to the EBITDA and down or there is a cost element also attached to it? So what could be the EBITDA impact of

this INR165
crores? That's my first question, sir.
Ramesh Jha: No, it's not the full amount is having an EBITDA impact. There is a cost element also in that.
Ashish Shah: Okay. Sir, any range you could share, what's the EBITDA impact of INR165 crores?
Ramesh Jha: So exact number at the moment we don't have, but the EBITDA impact would be, of this amount, it could be around say 23%-24%.
Ashish Shah: 23 to 24% of INR165. Okay. All right. The same note also mentions there is another INR115 crores that we are still carrying on this particular project. So what happens? I mean the arbitration has given us the INR243 total amount and INR115 still remains. So what happens to this amount, sir? Does this have to be impaired or we continue to go for another round of arbitration for this INR115?

Ramesh Jha: No, so see this arbitration are for on various accounts, and one of the -- one of the case has been settled and we have got the award. The case pertaining to INR115 crores will come in the due course of time.
Ashish Shah: Okay, so that is not yet come up for hearing or something like that?
Ramesh Jha: The arbitration is ongoing. The award will come in some time.
Ashish Shah: Understood, sir. Also, there is another matter that we have disclosed -- and I, as far as I've read,

maybe it is an incremental matter -- that there has been encashment of a bond in Gabon for about INR191 crores equivalent amount. So anything that you could share on this, what really has happened, what's the impact as far as our numbers are concerned, etc.?
Paramasivan Srinivasan: On Gabon, we are doing a project for a French fund, Meridian Funding of France, owned their arm. It's a PPP project with the Gabonese government. We are the EPC player. And more than 90% of the project had been completed quite some time back. And the project is put to use for more than two years now.
Even after that, what we found as a part of -- the originally it was a joint venture between Meridian Funding and Arise of Dubai, and Arise of Dubai along the way they exited, which fact was not known to us. And this thing, SAG is the client who they continued with this thing. They were not taking over the project because on taking over, a lot of payments becomes due. And we had at some stage even Government of Gabon told them to take over. Fearing that they need to pay the money, and they went ahead with an encashment, while we went to the court as well. The French court has initially stayed the proceedings of the guarantee. Later on, the hearing, while they substantially agreed with our contention of abuse by the employer. Nevertheless they said contract is a EPC contract is independent and bank guarantee contract is independent. Therefore, bank guarantee contract there is no recourse but to pay. That is how the encashment has happened. ICC arbitration has already commenced. We are confident of this thing. During the course of this thing only, we also learnt certain facts which had come to our notice during the course of these legal things. So we are quite confident of winning the award in the ICC arbitration -- and we don't expect any impact as far as this job is concerned.
Ashish Shah: So this INR191 crores would be sitting in a debt today, right? We would have had to assume a debt in order to honor the bond. So our debt would have gone up to this extent.
Paramasivan Srinivasan: Correct.
Ashish Shah: Alright. And sir, lastly in terms of the execution constraints that we talked about. Now I get an impression that the UP order book is just about INR530-odd crores out of the total about INR30,000-odd crores order book that we have. Of course, the TBM issues still continues, but beyond UP, what -- can you highlight any specific project segment where things have been slow? So the Bullet Train is something that we understand. The UP is -- seems like a relatively small amount in the overall scheme of things in terms of at least the backlog.

Hitesh Singh: Hi, Ashish. The specific projects it will be very difficult to explain, but there are certain domestic projects where we were anticipating that the progress will be fast-tracked, and that is what we have taken in our plans. But due to various reasons, the progress has not been as fast-track as we have anticipated, and that is why this delay has happened. These are largely domestic projects.
Paramasivan Srinivasan: And including in some cases scope changes and other thing which necessitated complete change of the overall plan.
Ashish Shah: Okay. But you think this run rate of execution could normalize -- I mean, are we have getting any indications or?
Paramasivan Srinivasan: Yes, very much. It should normalize as it looks.
Hitesh Singh: That's what it looks like, the situation will normalize because there are certain scope changes, there are certain approvals which were pending, which we have received and will receive in due course of time, and we expect the pace to catch up very soon.
Ashish Shah: Alright, sir. Thank you. Thank you very much.
Moderator: Thank you. The next question is from the line of Shravan Shah from Dolat Capital. Please proceed.
Shravan Shah: Hi, sir. Couple of questions just continuing the previous questions. So the bond, the French one, so correct me if I'm wrong: what I understand is this Meridian French has already filed for the bankruptcy. So when we are saying that we are confident to get back this INR194-odd crores, can you -- can you explain how that is possible?
Ramesh Jha: So just to add, see this project what we are doing, Meridian is the parent entity, but the project we are doing is for SAG, which is a Gabonese entity. And this project is on a BOT basis in Gabon, and this is for Government of Gabon. So once they start tolling, from that toll revenue, they'll make the payment. So our recourse is on the Gabonese entity, not the Meridian entity, the French entity. The contract was under French law, that's why the reason the matter has gone to French court, otherwise this is with SAG.
Shravan Shah: Got it. Couple of more questions. So now when we are saying that we are looking at a INR20,000 crores order inflow for FY ‘26, so INR3,700 crores including this Uganda one we have already won and now the all the Maharashtra is one can say is cancelled. So Croatia, so can you help me understand this Croatia, the entire INR11,300 crores though you said that the road can spill to the April also, so are we in INR20,000 crores considering the entire INR11,300 crores to be LOA by March?

Paramasivan Srinivasan: We would not like to dwell on individual jobs for the sake of maintaining the confidentiality amongst competitors and all. So considering that, what suffice to say that we are -- we have at this stage there are at any point of time you would see we have around INR40,000 to INR50,000 crores of value always bid submitted to be opened, those kind of things are very much there.

Plus, there are Croatia which are in advanced stage. And there are few others also which are in advanced stage in some cases at the final stages of closure and all that. Therefore, we are confident of achieving INR20,000 crores of our guidance for the year, and balance about INR16,000 and odd crores, INR16,300 crores, we are confident of achieving during the current quarter.

Shravan Shah: Okay, so my thought or my -- I was trying to understand whether this, the balance INR16,000 is entirely how much would be the fresh -- the new one that we are looking at, not the converting of the L1 to LOA Croatia?

Hitesh Singh: Yes, so in the only the Croatia rail project is what we have factored in, which is around INR6,700 crores, rest all are in the new pr

ojects which are in the tendering phase. We in the -- no other L1 we have taken in account in this INR16,300 crores.

Shravan Shah: Okay. And in terms of the going forward also, this kind of a run rate INR20,000 crores is broadly that we look at on a maybe in FY ‘27, ‘28 also. That's the way one can look at?

Hitesh Singh: Yes, that's the target, that around INR20,000 crores next year also will be targeting for order booking.

Shravan Shah: And on the execution front, in the opening, sir has mentioned that still we are hoping 10% growth for the entire full year, but 5% is doable. So I'm just even if I'm doing a math for 5%, that means in the fourth quarter, we need to do a 20%, 19% kind of a growth. That means a INR3,500 crores kind of a number -- or which is INR3,800 crores kind of a number -- so kind of a INR1,000 crores Q-o-Q improvement.

So that kind of a improvement are we already seeing either the projects level, because you also highlighted there are still kind of a payment scope change, all these things are there. So just wanted to understand.

Paramasivan Srinivasan: Roughly we have done about one-third of whatever is the target for the quarter four for achieving 5%, already in 40 days. That should convey you the level of confidence.

Shravan Shah: Okay, got it. Understood that. And couple of balance sheet items if you can share, in terms of the and the gross debt and net debt you have mentioned, but I missed that part, if you can spell it again? And maybe debtor, inventory, creditors, mobilization, retention, unbilled, if you can share, would be help to understand how the working capital is moving.

Ramesh Jha: Working capital, at the moment I don't have the balance sheet numbers, the full breakup, but I can give you the debt number. So the debt number, gross debt number is INR3,634 crores is the gross number, and INR2,779 is the net debt number. And broadly the balance sheet parameters are similar to the September number, and it is already there in the presentation.

Shravan Shah: Okay, okay, okay, got it. And the capex, till now nine months, how much we have done? And we were looking at INR1,100-odd crores, so what's the number for full year? And maybe for next year also if you can specify?

Ramesh Jha: So on the capex front, for this financial year, as you have rightly said, we had planned INR1,100 crores. And in that INR1,100 crores, the tunnel boring machine related to this high-speed rail project is around INR700 crores. Balance INR400 crores is something which we are going to do. And this TBM is something which is contingent upon, movement from China. If the approval comes, then we'll end up somewhere around say INR1,100 crores for this financial year. If that doesn't happen, then maybe we'll end up around INR400 crores.

Shravan Shah: Okay. And till now nine months, how much we have already done?

Ramesh Jha: In nine months, we have done close to INR200 crores.

Shravan Shah: Okay, because in H1, I think it was INR230-odd crores, so nothing has been done?

Ramesh Jha: Similar number is there. So usually what happens that in capex, it's not that it will be, proportionate every month. These are large value equipment, and the movement happens and that's how it gets accounted.

Shravan Shah: Okay. And so, if this INR700 crores TBM, let's say, moves to the next year, so next year this INR700 and plus maybe another INR700 or INR1,400-INR1,500 crores kind of a capex one can look at?

Ramesh Jha: We need to see, because many of the projects, the way we were looking at, at the beginning of FY ‘26, some of the projects were ongoing and then we were expecting that new projects will come. The way things are looking now, some projects, the existing projects will be completing. So large part of the equipment will get free from the existing project.
So it will not be a direct, math of INR70

0 plus INR700. We need to rationalize. It will be -- it will be say around say -- if this TBM moves to the next year, maybe around INR1,000-INR1,100 crores kind of capex will be there.
Shravan Shah: And last, out of current existing order book INR32,500 and maybe plus this INR1,000 crores Uganda, let's assume no further inflow comes, how much of that in terms of the revenue one can look at in FY ‘27 out of this INR33,000-INR34,000-odd crores?
Ramesh Jha: We'll come back on this number maybe next quarter, because it's too early because we have to do that detailed planning.
Shravan Shah: But broadly three year is a is a execution, that's the way one can look at, or it could be three and a half year?
Ramesh Jha: Two and a half year is our average execution period, that's what we have always conveyed.
Shravan Shah: Okay, okay. Thank you and all the best, sir.
Moderator: Thank you. The next question is from the line of Balasubramanian from Arihant Capital. Please proceed.

Balasubramanian: Good morning, sir. Thank you so much for the opportunity. Sir, this Vadhvan Port technical bid opened and it is estimated nearly around INR5,100 crores, and the award when we can expect, sir? Earlier it was mentioned Q4.
Paramasivan Srinivasan: Vadhvan Port is something which has gone for security clearance for all the bidders. Usually in many government contracts, they take only the winning bidder for the security clearance. Here they have mentioned that all the bidders will go for security clearance. So the one they're still awaiting the security clearance, once security clearance comes, bid could be opened.
Balasubramanian: Okay, sir. Sir, I think our interest-bearing advances has been increased to 20% to 40%. So that leads to higher interest cost. Once -- once we get international orders, how this mix will change?
Ramesh Jha: So see we have already in excess of INR11,000 crores of international order which is L1. And even some of the domestic projects also we get interest-free advance. So generally the way we have seen last three-four years, the number is around say 20%-25% the interest-bearing. But at the moment, it is at a bit elevated level. It will be difficult to put in any number, the percentage, but you can take a guidance that in past it used to be around 20%-25%.
Balasubramanian: Okay, sir. Thank you.
Moderator: Thank you. The next question is from the line of Vaibhav Shah from JM Financial. Please proceed.
Vaibhav Shah: Yes. Sir, what would be our total L1 position as of now?
Ramesh Jha: L1 position total is INR11,300 crores. And we have -- we have in this L1 position, we have removed the Maharashtra job because what, the internal this thing we have is these are going for rebid.
Vaibhav Shah: Okay. And sir, how big could the Vadhvan opportunity for us in EPC terms over medium term?
Paramasivan Srinivasan: Vadhvan as of now we have bid well, and the other contracts also we are participating in the bids. So we believe there are good opportunities in Vadhvan Port.
Vaibhav Shah: Can you quantify the opportunity?
Paramasivan Srinivasan: The estimated values could be somewhere in the region of, overall if we take it, somewhere in the region for EPC values, somewhere in the region of around INR15,000 crores.
Vaibhav Shah: And we are bidding for all the packages?
Paramasivan Srinivasan: Yes. One package is awarded where we had not participated -- it's about INR1,300 crores. All the other packages we are participating. We have participated or are participating.
Vaibhav Shah: Okay. And sir, what would be our current bid pipeline, and if you could quantify it across key verticals?

Hitesh Singh: Yes, our current bid pipeline, which extends to next two years, is close to INR3.8 trillion. It is well spread across all the segment

s, all the four key segments where we are actively participating. The large chunk, around 35%, lies in the urban infrastructure space, which takes

care of metro, bridges, elevated corridors and those kind of things.
Around 30% is in the hydro and underground, which includes water, road tunnels, those kind of work. Close to 20% is in marine and industrial business, and around 15% will be in surface transport, which is our road business and railways business. And in terms of domestic and overseas, around one-third will be overseas and two-third is domestic.
Vaibhav Shah: Okay. And sir, lastly, when do you expect the NHAI awarding to improve? And what would be our pipeline right now from NHAI particularly?
Paramasivan Srinivasan: With respect to NHAI, we very selectively participate, for the simple reason the qualification criteria is so relaxed. While recent times they have talked about -- and we have been continuously engaging with NHAI and MoRTH office -- and recent times they have indicated they will go back to the old model of high-value jobs being on a pre-qualified basis and all that, but yet to see implementation.
Because of the current delays in execution in NHAI, they are thinking of going back to the old model. But as of now, the new pattern which is coming in, every bid is about 18, 20, 30 bidders and bids going as low as minus 40%. That is not a market we want to be in. So we will be very, very selective in NHAI bidding.
Vaibhav Shah: Okay. And sir, lastly, are we open for BOT opportunities?
Paramasivan Srinivasan: BOT we don't intend participating as a BOT player. We would associate with concessionaires as an EPC player. And where there is a requirement for qualification and other purposes, some nominal stake to be taken, we may look at it favorably. Otherwise, we are looking at investors or similar concessionaires bidding for it with us as EPC partner. That's what we are looking at.
Vaibhav Shah: Okay. Thank you, sir. Those were my questions.
Moderator: Thank you. The next question is from the line of Mudit Bhandari from IIFL Capital. Please proceed.
Mudit Bhandari: Hi, sir. My question is upon the execution. Now if we look at order book and exclude all JJM and other projects that you talk about, even then we have very good visibility. And you said there are some pending clearances or approvals and change in scope. So can you quantify what amount of these projects are which are pending clearance or undergoing changes?
Hitesh Singh: Mudit, it's very difficult to quantify the projects, but these are some of the projects which are in the initial stage of execution, and that is why the teething issues. Generally, these kind of issue happens and they get resolved quickly, but in certain projects, it has taken more time. That is the one aspect. And the other part is there certain projects we expected the pace of turnaround will be much, much quicker, which has not happened.

So these are the mixed of two things, but very difficult to quantify in numbers in what exactly the number is, I mean quantum of projects which is going through is. But as we have mentioned earlier also, most of the teething issues has been resolved, and we expect this quarter to see the benefit of that.
Mudit Bhandari: Got it, sir. Any color you can give upon which segment of these projects will be?
Hitesh Singh: I mean, again, it is spread across largely three segments, the urban infrastructure business, marine business, and also in the in the hydro and underground business.
Mudit Bhandari: Okay, got it. So we are expecting that all these approvals or majorly of these approvals will receive within this Q4?
Hitesh Singh: Better said, that it stretched more than planned, so they have -- they have already come through.
Mudit Bhandari: So you're saying all the approvals have already came.
Hitesh Singh: Some of them -- mo

st of them have come through.
Mudit Bhandari: Okay, okay. And that's why you say it's -- it gives the confidence that we can do booster growth in 4Q.
Hitesh Singh: Yes.
Moderator: Thank you. The next question is from the line of Bhavin Modi from Anand Rathi Financial Services Limited. Please proceed.
Bhavin Modi: So just one question. In terms of the Bullet Train project, sir, how much work we have executed, and that have we recognized in the revenue?
Ramesh Jha: So again, project-specific numbers, we would not like to put across here. But in terms of percentage, we can tell you that we have completed around 30% in the project, the physical progress, and accordingly revenue and cost has been booked.
Bhavin Modi: Okay. So sir, we have not yet billed to the client, right? So this will be standing as unbilled revenue.
Ramesh Jha: No, no, no. So what we are saying is we have completed 30% in the project. Accordingly cost have been booked, accordingly revenue has been booked. And we have -- the billing happens as per the payment milestones, so we have -- largely it will be done. The billing has been done.

Paramasivan Srinivasan: Just to put in perspective, there are -- there is an NATM tunneling, there is a TBM tunneling, and TBM tunneling related shaft creation and other things. So other than TBM-related work, most of the other works have been completed. There are few other buildings and all is there, which can be completed only after the TBM tunneling is done. Other than that, all others are by and large in the final stages of completion.
Bhavin Modi: Got it, got it. That's it from my side, sir. Thank you.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I now hand over the conference to management for closing comments. Over to you, sir.
Paramasivan Srinivasan: Thank you very much for your continued interest, all of you. We are very confident that Afcons would create long-term value to all the stakeholders. Thank you.
Once again, I would like to reiterate that while so many IT companies and others are operating in India and many of them are considered innovative, CII recognizing us across segments as the most innovative company is something which is very, very unique. And in a construction sector, it is very rare to get that kind of a thing because the measurement of innovation in terms of manufacturing or other things, it is generally done.
In a construction sector across multiple remote projects to take the company as the most innovative company is a very unique -- very unique recognition. I am pretty sure all of you would appreciate that. Thank you very much.
Moderator: Thank you. On behalf of DAM Capital Advisors Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: May 2026

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May 22, 2026

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The Manager, Listing Department
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Subject: Transcript of Q4 & FY '26 Earnings Conference Call

Pursuant to Regulation 30 and 46 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the Transcript of the Q4 & FY '26 Earnings Conference Call held on Tuesday, May 19, 2026.

The aforesaid Transcript is also being uploaded on the website of the Company: https://afcons.com/financials/

Thanking you,
Yours faithfully,
For Afcons Infrastructure Limited

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Gaurang Parekh
Company Secretary and Compliance Officer
Membership No.: F8764

"Afcon Infrastructure Limited Q4 FY '26 Earnings
Conference Call"

May 1 9, 2026

MANAGEMENT : MR. PARAMASIVAN SRINIVASAN – MANAGING
DIRECTOR , AFCONS INFRASTRUCTURE LIMITED
MR. RAMESH KUMAR JHA – CHIEF FINANCIAL
OFFICER , AFCONS INFRASTRUCTURE LIMITED
MR. HITESH SINGH – HEAD (CORPORATE STRATEGY),
AFCONS INFRASTRUCTURE LIMITED
MODERATOR : MR. KISHAN MUNDRA - DAM CAPITAL ADVISORS

Moderator: Ladies and gentlemen, good day and welcome to the Afcons Infrastructure Q4 FY26 Earnings Call hosted by DAM Capital Advisors.
As a reminder, all participant lines are in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing "*" then "0" on your touchtone phone.
Please note that this conference is being recorded. I now hand the conference over to Mr. Kishan Mundra from DAM Capital Advisors. Thank you and over to you, sir.
Kishan Mundra: Hi. Thanks, Alaric . Good morning, everyone, and a warm welcome to the Q4 FY26 Earnings Call of Afcons Infrastructure.
So, today we have the Management with us, which is represented by Mr. Paramasivan Srinivasan , who is the Managing Director , Mr. Ramesh Kumar Jha – the CFO, and Mr. Hitesh Singh – the Head of Corporate Strategy .
Now at this point, I will hand over the floor to the Management for their initial remarks, post which we will open the floor for the Q&A.
With that, over to you, sir.
Paramasivan Srinivasan : Thank you, Kishan. Good morning, ladies and gentlemen. I welcome all investors, analysts, and participants to the Q4 and FY26 Earnings Conference Call of Afcons Infrastructure Ltd.
We appreciate your continued support and participation today. Our Financial Results and Investor Presentation for the Quarter and Year -Ended March '26 have been uploaded on the Stock Exchanges , and I trust you had an opportunity to review them.
Joining me today are Mr. Ramesh Jha – our CFO, and Mr. Hitesh Singh – our Head of Corporate Strategy .
Financial Year '26 was a challenging year for the infrastructure sector, and the overall performance during the year remained far below our expectations.
First of all, I apologize to all the investors that we have made a loss in the quarter for the first time since we started publishing quarterly numbers from 2010. We view this as an exception. In fact, it will not be out of place here to mention that I am personally deeply upset with the results, and I am sure that this could be an aberration or a one -time exception and will change.
For the year, revenue stood at INR 12,322 crores, reflecting a decline of 5.4% year -on-year. EBITDA was INR 1,439 crores, and despite the moderation in performance, we maintained a healthy EBITDA of 11.7%. This continues to be among the better margins in the industry. Profit

after tax stood at INR 251 crores, after providing INR 76 crores for a one -time impact, arising from the implementation of the new Labor Code . If we exclude that, PAT will be INR 327 crores.
For the 4th Quarter , revenues were INR 2,777 crores, while EBITDA stood at INR 170 crores. The quarter closed with a net loss of INR 89 crores, impacted by certain project -specific developments, provisions and one -time factors during the period. The year was characterized by slower -than-anticipated ordering activity across several segments, delays in project conversion, prolonged tender evaluation timelines and execution -related disruptions in certain projects. Our top line during the year was also impacted by continued liquidity constraints at the client level, which affected execution momentum in some projects longer than anticipated.
In addition, certain overseas projects witnessed temporary disruptions during the 4th Quarter due to geopolitical developments in the region. A few projects that were expected to ramp up during Q4 also experienced delays, arising from design and alignment -related changes. Taken together, these factors had a meaningful impact on revenue growth and profitability during the year.
However, we continue to view this as largely timing -related and external factors rather than structural issues in th

e business or our execution capabilities. Despite these challenges, we continue to make progress across several strategic and operational pr iorities. During the year, the HRRL crude oil terminal project at Mundra, part of one of India's largest integrated refinery and petrochemical complexes, was commissioned, reflecting our growing capabilities in industrial and energy infrastructure.

We also witnessed the operationalization and inauguration of several infrastructure projects completed by Afcons during FY26, including sections of the Bangalore -Double Decker Metro and Flyover Corridor as a part of ongoing elevated project. This section was executed within one of the world's and Bangalore's busiest live traffic environments, with minimal disruption to city tr affic. In addition, successful trial runs were conducted on our Agra and Kanpur Metro projects, while Delhi -Meerut RRTS Corridor, where Afcons executed two packages, became fully operational.

Our execution capabilities and institutional strength also continue to receive recognition during the year. Engineering News Record USA ranked “Afcons 8th in Marine Category Globally ” and 12th in “International Bridge Contractors ”, reinforcing our position in technically complex infrastructure segments. We were also honored with the prestigious “MIKE Award ” for the 8th consecutive year. And overall, the 10th year, if you take MIKE and MAKE together, reflecting the “Institutionalization of Knowledge Manageme nt and Innovation Practices ” across the organization.

Turning to our own internal business :

I am pleased to share that we have received a proposal for the rehabilitation and construction of the railway line project in Croatia for which we were declared L1 last year. We expect the related formalities to conclude shortly.

As disclosed recently to the stock exchanges, the two Croatia Road tenders, where we were declared L1, have been cancelled by the client due to budgetary constraints. While this is disappointing, we continue to remain positive on the long -term opportunity in the region.

On the Mumbai -Ahmedabad high -speed rail C2 project, the second consignment of the tunnel boring machine, which had remained held up for several months, has now been received at site. Assembly activities are progressing well and the main drive rs has already been lowered into the shaft. We expect tunneling operations to commence before the end of next quarter. Coming to order inflows during the financial year, we secured new orders worth INR 4,125 crores, excluding approximately INR 3,800 crores of variation and change orders received on existing projects.

The order intake was below our earlier expectations, largely on account of the deferment of several large project awards and delays in conversion of L1 positions into firm orders, particularly in the 4th Quarter . You would have noticed that we have booked around INR 8,000 crores of orders and declared L1 in another around INR 7,000 crores of new orders so far in this financial year. We expect these L1 orders to get converted in this quarter.

With this, last year's order booking guidance backlog will be completed in the first quarter of this financial year itself. That said, we have seen encouraging progress on some of these opportunities, both in domestic and international markets. In recent w eeks, our addressable pipeline remains robust across key segments – transportation, marine, underground, hydro, water and industrial infrastructure.

Having a certainty of about INR 15,000 crores order including L1 in the current financial year, we expect to book another INR 15,000 crores of more orders, making a total order booking guidance of INR 30,000 crores for the current financial year. At this stage, considering the continued uncertainty in the geopolitical environment, elongated award cycles and ongoing project -related develop

ments, we believe it would be prudent to wait for greater visibili ty before providing specific revenue growth or EBITDA m argin guidance for FY27. To conclude, while FY26 was undoubtedly a difficult year operationally, we remain confident in the long -term fundamentals of the business – our diversified presence across sectors and geographies, strong execution capabilities, hea lthy opportunity pipeline and disciplined approach to growth position us well to navigate the current environment and capitalize on opportunities as sector conditions improve.

With that, I now invite our Chief Financial Officer – Mr. Ramesh Jha to take you through the financial performance in greater detail. Thank you all.

Ramesh Jha: Thank you sir. Good morning, everyone. Before talking on the numbers, let me reiterate that our quarterly number varies.

Compan y is into the business of construction, the margin in a quarter varies based on the nature, type and quantum of work executed. So, quarterly results may vary in different quarters and may not be indicative of the annual result or trend.

Now, moving into specific numbers, in Q4 FY26 :

We had a total income of INR 2,777 crores. This is 18% down as compared to Q4 FY25 wherein we had done INR 3,387 crores. For the full financial year, we have done INR 12,322 crores

which again is 5.4% down from the previous year '25 wherein we had done INR 13,023 crores. Now, specifically in Q4, we have seen that the payments were not coming from the customers. Payments were not very smooth from majority of the customers. Working capital, funding to the projects continued in Q4 as well and under the circumstances, we decided to balance between funding projects and maintaining liquidity. So, we funded projects up to a limit but we had not gone beyond a point to avoid overexposure to any customer.
This limited our turnover in some projects. Also, in Q4, after the war, there were Petroleum, Oil, and Lubricants (POL) and gas -related issues in projects consumables and logistic -related challenges. Especially, this was in the overseas market which kind of marred the planned progress.
Usually, we have seen that in Q4, we do at least 15 % to 20% turnover more than Q2 and Q3 and that is backed by smooth payment from the customers and that gives us the benefit of economies of scale and improves profitability significantly in Q4 and then impacting overall year performance. However, this year was a contrary effect. It was one of the factors which has impacted the bottom line also during the year.
For the full year, we achieved a turnover of INR 12,372 crore which is a drop from previous year top line. This year, we could not achieve the planned turnover from various projects across domestic as well as overseas. So, on an overall basis, if I have to put it in a nutshell, there were payment issues, L1 orders were not converted, some of the fast -track projects were not picked up and certain geopolitical issues were the main reason impacting the revenue growth.
Now, moving on to EBITDA :
During Q4, we had done an absolute number of 170 crores of EBITDA which was significantly lower than the previous year's INR 415 crores. In terms of percentage, in Q1, it was 6.1% and for the overall year, the absolute number of EBITDA was INR 1439 crore which is 11.7% as compared to last year's INR 1662 crore which is 12.8%. So, on a year -on-year basis, it was down by around 13.4%. Now, in our EBITDA calculation, we consider the BG Commission as part of our operating expenditures. So, EBITDA what we are ta lking about is after removal of BG Commission as operating expenditure, this year because of overall reduction in our interest rate, the finance cost even though has gone up which I will talk about when I talk about the finance cost.

Also, our EBITDA calculation includes other inc

ome as part of revenue. Here, we have
explained earlier also that our other income is very much part of business, arbitration interest, foreign currency exchange gain, miscellaneous incomes are recurring and t hose are very integral to our business. Hence, this needs to be considered as other operating income.
So, for the year ended, a sizable amount of INR 374 crores which is part of other income needs to be considered as other operating income. Now, moving on to profit before tax. For the full year, we have done INR 387 crores of profit before tax which works out to be 3.1% of the top line and this has come down as compared to FY25 wherein we had done INR 710 crores which was 5.5% in the previous year. In profit after tax, for the Q4, there is a loss of INR 89 crores. However, for the full year, the profit afte r tax is INR 251 crores which works out to be 2% of the top line wherein in FY25, we had done INR 487 crores which was 3.7% of the top line.
Profits for the quarter got severely impacted because of sizable provisioning in one of the projects and in another project, we incurred substantial extra cost on marine operations.
Both these are kind of one -off events. In addition to this, in some projects where we were expecting to cross the margin recognition threshold, usually in all the projects, once we receive a threshold of turnover which is around 10%, then only we start recognizing profit. So, in few recent projects, we could not cross the margin recognition threshold which we were expecting in Q4.
We fell short marginally to reach that threshold. So, margin could not be recognized . In addition to this, under -recovery of fixed costs because of lower turnover, higher finance costs because of working capital lock -up were the components contributing to loss in the quarter.
For the full year, in addition to the above factors impacting Q4 profitability, Labor Code related one-off exceptional item was another big impact. Now, specific to finance cost increase, during the year we have continued to see payment related challenge. We have improved our average borrowing cost in FY26 as compared to FY25 because of the int erest rate going down and of course, because of improvement in our credit rating as well.
But during the year, the average borrowing has gone up as compared to previous year and because of that, the overall interest cost has gone up and this has a manifestation of working capital blockages. So, despite improving the average cost, interest on ba nk borrowing has gone up. Also, the interest -bearing advances for the full year FY26 which is around 40% of the overall advances from the customer, which even though in March 25 was also around say 38 -39%, but then the interest on customer advances were no t for the full year that 40% because it gradually

moved from say around 20% in September ‘24, it moved to around 38 -39% by March ‘25.
So, for the interest -bearing advance in last year, there was not full year impact whereas this year, almost 40% of the overall advances were interest bearing. So, that has got a bearing and the interest from the customer advances has increased in this financial year. Because of this, interest on customer advances has increased making the overall interest cost go up.

We expect the situation to improve on realization of number of locked up assets, which we are in a very advanced stage at this point in time in many projects and also on receipt of interest free advances mainly in international order.
On the depreciation front, we continue to account for accelerated depreciation on our TBMs of the total INR 454 crores. The normal depreciation was around INR 289 crores, which is 2.33%. So, rest of it is on account of accelerated depreciation.
On tax, the tax rate on Afcons profit is around 35%. This is on account and this is higher than usually one would expect. So, this is on acc

ount of some of the JVs where we paid tax in the range of 35 % to 36%.
Also, in some overseas locations like Bangladesh, Gabon, tax is charged on turnover. In such situation, if you do not make profit above the threshold, the extra tax needs to be charged off, which was the case in places like Gabon and Bangladesh. Beyond thi s, we had to make provision in one of the JV entities , which has brought the consolidated profit down, making that effective tax rate higher.
Now, specifically on ROC, we have talked about that higher provision in one project due to arbitration development, extra cost on a marine operation in one of the projects and non -recognition of margin in few projects due to non -achievement of turnover thr eshold and also under -recovery of fixed cost due to lower top line. This all has severely impacted the profitability, in turn impacting the ROC and ROE. In FY26, we have done around 12% RO CE and ROE is around 5%, which is quite low.
In terms of debt :
Gross debt has remained in the similar range that of September and December and that stands at INR 3,538 crores and net debt is INR 2,653 crores on the net basis.
So, on net basis, the debt to equity is around 0.49 x of the net worth. This is on the numbers. On behalf of Afcons , I thank everyone for attending this call.
Now, I request the moderator to open the floor for Q&A.
Moderator: Thank you very much. We will now begin the question -and-answer session. The first question comes from Shravan Shah with D olat Capital. Please go ahead.
Shravan Shah: Hi, Sir. Thank you. Sir, you have tried to explain various reasons why our p erformance was the worst quarter in our history, but still trying to get some more clarity there. So, when we had a call in the third quarter post the result in February, we were kind of confident that we will be able to at least 5% revenue growth for the entire full year. That means we would be doing a kind of a 19 -20% kind of growth on the 4th Quarter versus now we have seen a 19% degrowth in the 4th Quarter and for full year also 5% kind of a degrowth. So, just trying to understand that even

at the middle of the quarter, we were so confident and what has gone so wrong in terms of and that's why we missed significantly on the execution front.
Ramesh Jha: That is correct. But see, usually what we have said, this was based on the last 15 -20 years’ experience . What happens that in Q4, we have seen that the customers, they release all the payments up to date. This is what our experience has been for quite some time. But this year was an exception wherein we have seen that there was a slowdown in terms of payment and payments were not forthcoming. That has impacted and we had to decide a choice between growth or to preserve the liquidity and then we had not taken that aggressive call to pursue the top line growth. And then in the midst of that, the war started and then that severely impacted the supply chain management and you are aware that even this year we have done close to 30% from our overseas project, even though the order book is lower in terms of order book composition, domestic versus overseas. But in terms of turnover, we continue to do around 30% from the overseas market. And some of the countries where we are operating are not that bigger economies where they have got higher amount of oil reserves. So, the operations got severely impacted in the month of March. So, POL related stuff and logistics related stuff, so we couldn't send material to project site and this severely impacted. Even in domestic market also, you are aware that many of our projects are at remote locations. So, availability of gas was a real problem.
Shravan Shah: Okay, got it, sir. So, now, again, we are at the middle of this quarter. So, first, obviously, I think, correct me if I am wrong, for full year FY27, we are not providing any r

evenue guidance.
So, if that is the case, then this quarter Q1 till now and looking at whatever now the whatever the constraint, payment related issues, everything, can we see a growth in the Q1 FY27 this quarter?
Ramesh Jha: This is where what we have conveyed is that at this point in time, because of the geopolitical situation, because the condition continues to be the same, even in domestic market, we are getting very contradicting signals. We are hearing that the energy pri ces are going to significantly go up. And we have not seen the payment situation improving significantly, even though some of the stuck payments we are, as I said earlier, that we are in a very advanced stage to get those payments. But at the s ame time, those supply chain related issues continue. So, it would not be prudent on our part to give you any guidance as such for the full year or even for the Q1.
Shravan Shah: Okay, got it. So, same for even for margin also, the normal long term guidance that we have eleven percent. So, that will also we will right now will not be kind of giving any kind of guidance on that front.
Ramesh Jha: See, we are not saying we are not giving any guidance on the margin front also, because we need to see how it actually pans out. Because many overseas places we have seen that the petrol, diesel prices have significantly gone up during the war period. In t he month of March, April, the prices have gone up. Some of the places like Bangladesh, they were having elections. So, till the elections were there, the prices remained stable. But after the results, the prices had gone up. So,

we are looking at that kind of situation. And you are aware that in many overseas locations, our prices are fixed price contracts. So, we need to see how we are able to recover from the customer these escalated costs. So, we have in the past also explained that generally in the overseas market, we try to keep risk and contingency. But then at the same time, we are not very sure to what extent those risks and contingencies will be able to take care of the escalated costs.
Shravan Shah: Lastly, sir, on the inflow front, just to get a number correct. So, after the 31st March, how much value of inflow that we have received the LOA? Obviously, we also know, if you can also specify in terms of the L1. One, what I know is a Croatia, which would be a INR 7,800 odd crore and the Vadhavan , which is INR 5,300 odd crore s. So, kind of a INR 13,000 odd crore kind of, if you can specify the number would be better. So, we are saying by June, we would be getting a INR 15,000 crore LOA. That is one. And second, additionally, we will be getting a INR 15,000 crore more inflow. So, total would be a INR 30,000 crore for the entire FY27.
Ramesh Jha: Yes. So, you are right. We have already informed to the exchanges that this Croatia order is already we have been selected as the contractor for the project. And besides that, you are aware, there are news in the social media that a couple of projects, we have been declared L1. Since we are not disclosing that to exchanges, we will not be able to give you the exact details. But you are aware there are projects where we have been, we have emerged as L1.
Paramasivan Srinivasan : There is also an underground metro of DMRC of INR 373 crores, which we have ba gged already.
Ramesh Jha: So, in the year -end number, what we are talking about, almost 50% is having a clear visibility in place, in the first 1 .5 months .
Shravan Shah: Okay, got it. And the CAPEX for full year now, given the FY26, I think the TBM cost now will be shifting in the FY27. So, how one can look at the FY27 CAPEX ?
Ramesh Jha: So, FY27, we are looking at a CAPEX of around INR 725 crores.
Shravan Shah: Okay. That is it from my side. Thank you.
Ramesh Jha: Thank you.
Moderator: The next question comes from the line of Ankita Sh

ah from Elara Capital. Please go ahead.
Ankita Shah: Yes, hi. Sir, I am referring to your last call that you mentioned that nearly one -third of your Q4 target is already achieved in the first 40 days. Most approval on related to project delays have been resolved. Execution pace to normalize from 4Q and 11% looks sustainable. Amid all this commentary that you gave, what is it that you did not see coming through, which impacted the balance 50 days of project execution and margins? What are the key projects that actually impacted this and you did no t see it coming through?
Ramesh Jha: So, see, let’s appreciate that Q4 always remains to be a sizable portion in any year. Now, in the month of March, we had seen a sizable drop because of, as explained earlier, because of supply

chain disruption and energy -related challenges. Many places, the vendors were asking for advance payment and then only they were committing. And they were, despite giving advance payment, many places it was not available. So, that became a major constraint. And as I explained that we have got almost one -third which comes from overseas market and some of the countries are not having those kind of energy reserve. So, that severely impacted. And some of the projects, even in domestic market, got impacted in th e month of March. So, this is something

which we had not, we were not expecting. And also, some of the projects where the Fast-track projects, we were expecting because the kind of discussion we had, because these were all private customers also, we were expecting things to ramp up, but then it did not pick up.
Ankita Shah: So, do you mean to say, okay, can we read it this way that a large part of this impact has been on account of your international projects, which is 30%?
Ramesh Jha: Large part is because of international projects. And as I explained earlier also, that the payments, see payment has to be something which makes things flow. This got stuck. This has severely constrained us to put beyond a point money by ourselves.
Ankita Shah: Okay. So, how much percentage of impact is on account of domestic projects and export, I am assuming everything got impacted.
Ramesh Jha: Export everything got impacted . Maybe in domestic market, if you have to put a number around, say, 25% or so, the projects got impacted.
Ankita Shah: Okay. What do you I mean, given that the situation still remains the same, do you think this issue will continue going forward as well, at least this quarter or next six months clarity you might be having, given the kind of experience you have had over the years? What is your read through for in the near term on this?
Ramesh Jha: This challenge continues to be so, and we have not seen a very sizable improvement in overseas market in terms of energy availability. And what we hear you might have also seen media, very prominent leaders, world leaders, they have talked about that we are looking at big disruption coming up. So, we are also not very sure how to give talk anything futuristic at this point in time, but the situation has not drastically changed. That is the reason we are holding on to the guidance, because once w e see some clarity, we will be giving the guidance.
Ankita Shah: Okay. Can you give me more clarity on your international projects? Where all do you have the projects and what is the nature of the work that you are doing there?
Ramesh Jha: See, in Bangladesh, we are doing a couple of road projects, and we have got a railway project. In Maldives, we are doing one bridge connecting project. Besides that, we are doing a couple of water related project in Tanzania. We are doing a project, water related project in Benin, in Ivory Coast, and then there are various countries in Africa.

Ankita Shah: Okay. So, what has been the issue

here in these places? I mean, if you can give more clarity, is it supply chain related or local level disruption that you saw? I am unable to understand there, that thing.
Ramesh Jha: No. Usually, what happens that in most of these projects, the material goes from domestic market India, and from Middle East. Dubai works as a hub for us. So, movement of material became a problem for these places. And usually, for our project execution, we require a lot of diesel, we require a lot of gas. So, availability of this was not there. Many places, we had to give advance, and then only they were committing delivery.
Ankita Shah: Okay. So, this led to increase in the cost, and has the work stopped on the site, or you have continued the work, but you have not got the payment from the clients?
Ramesh Jha: So, one, of course, the cost impact was not that severe, but then because of this, the operations could not move in a manner we were expecting.
Ankita Shah: Okay, sir. I will get back in the queue. I have more questions. Yes. Thanks.
Moderator: Thank you. The next question comes from the line of Jainim Jain from DAM Capital. Please go ahead.
Jainim Jain : Thank you for the opportunity. So, we have highlighted the delay in the payment from the customer end. So, are there any concerns on any specific customer side, or are we facing issue from the government or the private clients?
Ramesh Jha: As such, we are not saying that there is concern, but what we have seen is in some of the states, there was election, and because of that, there was no decision. The payments were certified by the customer. It was sent to the treasury, and the payments wer e not coming. Some of the customers, we heard that they were not deciding. Payments were certified. It was sent to their centralized finance team, and then we just heard that the payments will be released. It was not released. It was released a ctually subsequently in the month of April. So, as such, we are not saying that we are seeing any concern, and I think in the past, we have talked about the j al-jeevan mission, which continues to be in UP. They have taken a stand that wherever people are completing 100 percent, then only they will release the payment. This is contrary to the contractual condition, but this is how it has been taken up.
Jainim Jain : Okay. So, basically, there was a spillover of receivables from March to this quarter, and we have seen a relief of the payments in this quarter, right?
Ramesh Jha: Yes. It's not only limited to quarter. Actually, what we are trying to say is that the payments are getting elongated. As such, it's not that the payments are stuck. The running bills and payments are stuck, but in the manner, it used to come or we were expecting, it is not coming in that manner.

Jainim Jain : Okay. My second question is, is there any plan to bid internationally on the ME side, given that Abu Dhabi has unveiled its $55 billion worth of project pipeline?
Paramasivan Srinivasan : We are definitely at it, and sooner than later, we will start bagging projects in the Middle East.
Jainim Jain : Okay. And currently, would you give any bid pipeline number for now, for this year?
Hitesh Singh : So, yes, sure. Our bid pipeline remains healthy for the next two years, which we track. It's close to INR 4 lakh crores, which we are tracking across segments, and out of that, 70% is domestic and 30% is from the overseas market. As MD sir just mentioned, the Middle East also looks like a big opportunity once the war gets settled. So, that area also we are looking. And there are many large relief projects in our pipeline, which we are expecting to convert soon. And basis that it gives us a con fidence that this year we are giving a guidance of INR 30,000 crores for the order booking.
Jainim Jain : Okay. So, do we have any bifurcation for the bid pipeline of 4 trillion?
Hitesh Singh : Yes, I have the bifurcation as well. So, out of that INR 4 lakh crores, around INR 96,000 crores is from the hydro and underground business, which includes our water business as well. Around 90,000 crores is from the marine and industrial. It will be like 50 -50 distribution. Our rail and road business will be around 85,000 crores, and remainder around 1.3 lakh crores is from the urban infrastructure business, which includes metro, underground, elevated and elevated corridor projects as well. So, that is how the distribution looks like.
Jainim Jain : Okay, sir. That answers my question. Thank you so much and all the best.
Moderator: Thank you. The next question comes from Parvez Qazi with Nu vama Group. Please go ahead.
Parvez Qazi: Hi, good afternoon. Thanks for taking my question. So, you mentioned that in Q4, we had a sizable provision in one project. So, would it be possible to get a quantum of the total provision that is made in Q4 across all projects?
Ramesh Jha: In Q4, across all projects, we have done a provision close to INR 160-odd crores.
Parvez Qazi: And what would have been this number for FY26?
Ramesh Jha: FY25. FY26.
Parvez Qazi: ‘26.
Ramesh Jha: FY26, the number is close to INR 325 crores. See, Parvez, I will just explain you. What we have done is, this year we have, in Q4, what we have done is we have made a ECL provisioning matrix. So, earlier, what we used to do is as per accounting standard, we used to look at some previous periods, what is the write -off and basis those averages we used to make provision. And then in some specific project where we used to think that there could be some challenge, we

used to make those specific provisions. But this time around, rather than sticking with that individual assessment or individual basis that we used to make provision, this time we have made a matrix wherein we have moved from earlier basis, the management judgment provision, we have moved to a matrix wherein basis aging and basis category, we have made a provision matrix. So, it will be automatically provision will be made, all the receivables. And so, there was some extra provisioning required because we h ad to shift to this new matrix system. There was some extra provisioning required, which we have done.
Paramasivan Srinivasan : Also, we have done in one of the projects where we had an arbitration award where we could be taking a call as to contest or not. We thought it is prudent to provide for it. So, we had provided for that. That is also a significant amount. Plus, another of the projects where there is a cost increase in terms of our marine spreads and other things, which we thought while it could get compensated in due course of time, we thought it is upfront we will book the cost. And later on, as compensation comes, it could be plus side that time. That is how we had, as per our usual conservative accounting policies, that is something we have done up front.
Parvez Qazi: So, to summarize, I mean, if one adds all these, which is extra provision due to a new policy or cost incurred in a marine project or some provision for a potential claim where we have to decide a strategy, I mean, what will be the quantum of these one -time costs in Q4 across all these categories put together?
Ramesh Jha: I think all this put together, the quantum could be around say INR 260-265 crores.
Parvez Qazi: Sure. And second question is what is the CAPEX that we incurred in Q4 and FY26?
Ramesh Jha: So, in FY26, we have incurred a CAPEX of INR 1069. And this number was in December, this number was around INR 370 odd crores. So, in Q4, we have done close to INR 700 crores.
Parvez Qazi: Got it. I think that is it from my side. Thanks and all the best.
Moderator: The next question comes from Bhavik Shah with Invexa Capital LLP. Please go ahead.
Bhavik Shah: Hello

, sir. My first question is regarding the current order book. Can you help me with the split of, say, the fixed price order book in it and the variable cost order book in it? And also in the fixed cost, how much of it is going to be impacted, say, with the margins, which may not be at our normal margins now?

Paramasivan Srinivasan : In terms of our existing order book, nearly about 10% to 11% only is currently in the overseas segment. 13% is the overseas segment. All others are domestic segment. As you know, domestic segment, we have a pass -through mechanism and international segments, we do not have a pass -through segment. And therefore, our impact and most of these projects which we are talking about is on the closing stages. Other than the fres h order which is received in the current quarter, all others are i n the final stages of closure. And therefore, we do expect a limited impact in terms of the existing cost escalation or other things. In the new project in the Croatia, beyond a particular level, it has a pass -through mechanism in that contract. Up to 10% additional cost we

need to absorb. Beyond that, it is a pass -through. That is something which is there in the new contract.

Bhavik Shah: In the projects you mentioned in Bangladesh, Maldives, Tanzania and Benin, you executed this quarter. What will be the quantum of these? Because you were saying the large impact came from these projects. What is the quantum of these projects?

Ramesh Jha : Can you come again?

Bhavik Shah: You told the Bangladesh Road Rail Project , the Maldives project, the Tanzania water project, the Benin project, all of these were slow moving during the quarter. Can you help us with the quantum of these projects?

Ramesh Jha: In the overall order book, at this point in time, the overseas component is around 13%. But what I have explained earlier also that even though it is around 13% in the overall order book, but during the year turnover, almost 30% is coming from the overseas market.

Bhavik Shah: We are saying we have INR 32,500 crores of order book. We are saying we have INR 15,000 crores of assured inflows and INR 15,000 crores of inflows are going to bag more. That will take me to around INR 60,000 crores of order book. Even after having INR 60,000 crores of order book, we are not able to give a revenue guidance for the year. Isn't that a little misleading?

Paramasivan Srinivasan : No, it is not misleading at all. Because the infrastructure industry needs some bit of an understanding where the initial few months, it goes towards installation, design and other phases. The revenue starts accumulating in the heavy civil infrastructure p roject, by and large, from the second year onwards only. And some of the projects what we have currently in our INR 30,000 crores, INR 31,000 crores of order book have slightly long gestation projects. Like if you talk about there a re four dams, which are about five-year duration, there is a high-speed railway project, which is about 62 months, which is now because of the tunnel boring machine, getting extended to another 12 to 15 months. Therefore, these are long gestation projects. Therefore, it is based on the expected order, based on the current order, giving a guidance, especially till uncertainty remains in the geopolitical situation, will be inappropriate. And while on the one side, there have been talks about this thing, our o wn increase in petrol, diesel is minuscule to start with, in stages, it could get increased. All these will have to be factored in properly. And even now we find that some places, there are non-availability of fuel in some of the overseas markets, some of the domestic markets in remote places, all this. So, based on all these, giving a guidance may not be very appropriate. That's the reason we felt it's not appropriate to give guidance.

Ramesh Jha: And see, w

e are not saying that we are not giving guidance. What we are saying at this point in time, we are just holding on. We just want to see the visibility, how things are panning out. Because what I am saying is, the cost may go up. If there is a confirmed order, you may incur some extra cost. But the continuity continues because of the payment flow. That is where we are seeing that there are certain uncertainties. That's where we want to see some visibility that how things are moving.

Hitesh Singh : We are giving a guidance of INR 30,000 crores. We have to see at what point of time the project comes. Because we are also seeing that the award cycle is getting elongated. So, if the project comes in Q2, Q3, accordingly, it will impact the revenue. So, that is also one of the reasons.

Bhavik Shah: Right. Understood. And in case of say, the customers are elongating our payments, not giving us on time, do we have any rights to maybe get those payments earlier? Or how are we negotiating with them currently? Because it will impact our margins for sure.

Ramesh Jha: That is correct. See, usually what happens is in construction contract, we are not, at least with the government customer, we are not negotiating perse, individually the contract condition. Because once the tenders are out, the contract conditions are set in that contract. In that project. So, basis that everybody bids and then once whoever gets, he has to follow the same contract condition. Now, many a times what happens that if your payment is getting delayed, then you will have a provision of charging interest to the customer. All that is there in the contract. But in practice, what happens that the customers, if they are not seeing the visibility of releasing payment when they don't have funds, they'll not certify the bill. And being government entity, you don't want to get int o a confrontation kind of a mod e with the customer because that is also not advisable. So, till now, the way we have operated is we have tried to deliver projects, we have tried to, in advance, we have tried to solve customers' problem and this is that goodwill that because of those performance aspects, we were getting our things done. At this point in time, we are foreseeing that there are some challenges related to liquidity and that is kind of creating this kind of situation. Otherwise, we are not having any bad experience with these customers because our customer selection is quite, we are quite focused on our customer selection.

Bhavik Shah: Understood, sir. Understood. I wish you all the very best for the year. Thank you, sir. Thank you.

Moderator: Participants, in the interest of time and fairness to others, please restrict yourselves to two questions. For any more questions, you may rejoin the queue. The next question comes from the line of Shrinarayan Mishra with Baroda BNP Paribas Mutual Fund. Please go ahead.

Shrinarayan Mishra : Thanks for the opportunity. So, you highlighted that you are delaying execution of few projects because of uncertainty on collections. So, if you can highlight what is the order book which is facing this issue of collection, so as to gauge how much impact we are facing and related to that, also projects with less than 10% completion, what is the receivable on these projects?

Ramesh Jha: See, I think specifically if we have to talk about project, I think other than UP Jal -Jevan Mission Project and maybe project in Gabon, we do not have any specific names to be given. What we are saying is in any project, what we try to do, we have our own internal threshold that this many months of turnover, if it is not realized, then beyond th is, we are not going to fund and we try to manage the project from the project cash flow. So, if the payments are elongated because many a times it happens that they will try to bunch up, 2 -3 months bill be hold up.

So, after that, we try to go slow. We do not fund from our own pocket. Payment comes, then we try to manage the project and this is how things are going and this has got overall impact, what we are trying to say.

Specific project, if we have to talk about, we have already talked about UP Jal Jeevan Mission Project and we have tried to explain that there, contrary to the contract condition, the customer has taken a stand that whoever is completing the final connection. So, it means that one needs to complete 100% those connections and then only t hey will be getting paid. So, wherever we have completed say 60%, 70%, 80%, the contract condition says that progressively the payment needs to be made, but now they have tak en this stand that final connection 100% completion, then only they will release the payment.

So, in normal course, maybe we could have done anywhere around 60 -70 crores monthly turnover, but now given the kind of situation, we will be completing those wherever we have reached say 90%, those kind of. So, we will try to complete that 100% and we wil l get that money and from then that money we will try to complete the remaining maybe then we maybe look at wherever we have done 80%. Likewise, we will go.

Shrinarayan Mishra : So, what I understand is then the collection problem is widespread, it is not limited to certain projects, right?

Ramesh Jha: Absolutely.

Shrinarayan Mishra : Okay. And also less than 10% completion projects, what are the receivables there, outstanding amount?

Ramesh Jha: So, receivable is not that significant there. There are receivables, maybe say it will be around two months receivable will be there in such projects.

Shrinarayan Mishra : Okay. And just last question on these interest -bearing advances that we are getting that proportion is increasing. So, on the order book level, what percentage of order book will have interest bearing advances? So, I want to have a sense of forward looking that where this number is going to be finally. And on one side, we are paying interest on advances to customer, other side customers are delaying our payment. So, we are in a kind of a deadlock situation. So, I do not, I mean, how will you manage this? So, it is a big problem.

Ramesh Jha: No, I think we do not look at project selection in that manner that if there is a, we will keep maybe say 50% only interest -bearing advances because this is not how we look at. What we look at is in any project, what is the threshold of margin we are looking at. And generally, these projects we are talking about, we are paying interest is for sure, but then in these projects, we have better margin. Unfortunately, we are at a time wherein we have not crossed the threshold wherein we recognize the margin in the project and on the contrary, we are paying the interest. So, that is, it is getting reflected. But then I think once the top line kind of elevates, we will not have this kind of a situation.

Shrinarayan Mishra : But where this number will go?
Moderator: I am sorry to interrupt Narayan; I would request you to rejoin the queue.
Shrinarayan Mishra : On the same question, I am not asking a new question. So, I understand that you do not look at this while bidding for orders, but your ROC Es and ROEs will get impacted, if you have higher interest -bearing advances as a percentage of your order book. So, how confident are you on achieving the guided ROC E and ROEs, if you know the project is getting stuck ?
Ramesh Jha: That will impact, that will certainly impact the ROE, but you are getting the money from the customer. So, your capital employed is not there and ROC, I think that the interest expenditures comes below that. So, that will not impact the ROC.
Shrinarayan Mishra : Okay. So, anyway, I will ask you a follo

w -up question.
Ramesh Jha: So, I think just to add further to that, we have said that generally our order book from overseas market has always been say around 30% or one third of the order book, which is down at the moment. But I think hopefully we will reach that stage and then we will have, because overseas is interest free and that can significantly improve the situation.
Shrinarayan Mishra : But I would still appreciate if you can give in terms of segment or order book, what is this number that will give a forward -looking information. Thank you.
Moderator: The next question comes from the line of Shirom Kapur with Jefferies Group . Please go ahead.
Shirom Kapur : Hi, sir. Thanks for the opportunity. Just had a question on your order flow visibility. So, the 30,000 crores that you are guiding for this year, what gives you that confidence on that balance 15,000 crores that you mentioned? You said visibility is in place for about 50% of this. The balance, 50%, what gives you visibility on this? Is it going to be more on the international side or domestic side? Which areas are these projects coming up in? Is the bidding already opened or is this more sort of, if you could give some more color on that balance 50%?
Paramasivan Srinivasan : Balance 50% consists of both domestic and international. And in terms of certain international projects, we are already in the stages of negotiation and closure. So, therefore, we do expect things to happen quicker. And in domestic projects also, we have a number of bids already submitted. And there are a few more bids in the pipeline. Therefore, we would say there is a definite visibility in terms of balance 15,000 crores order book as well. We will not be surprised some more of thi s will come in the current quarter itself, which we are keeping our fingers crossed.
Hitesh Singh : And S hirom, it is across segments. We have good visibility in marine, in urban infrastructure, in hydro and certain projects in surface transport as well. So, visibility is also across the various segments we operate in.

Shirom Kapur : Understood, sir. And just secondly, on your working capital, right? So, of course, we have had a lot of discussion on the payments getting delayed and we have seen consequently rise in your receivable days this year. But are you seeing any – how are you seeing this panning out in FY27 in terms of your receivable days? It has gone up more than 300. Maybe in the next one, two months, you cannot give any guidance. But overall, a sense of target number that you are looking for FY27 in terms of receivable and ov erall working capital days.
Ramesh Jha: See, in terms of receivable days, I have just now, during the call, I have said that on quite a few, big chunk money which is stuck and on this, we are working with various customers and we are at a very advanced stage. So, before June, we are looking at a sizable amount getting unlocked. So, that will give us some improvement in terms of the number we are looking at. Because at the moment, this networking capital number of around 143 days and in last call, we had talked about that we are looking at somewhe re around, say, 120 odd days. So, with this, and to be very honest with you, these monies we were looking at getting monetized before March. That is what we were discussing. But it did not happen. But hopefully before June, this is going to happen because now we are on the verge of closing many of these. We know that some of the payments have already gone and they are releasing the payments. So, still, I am just taking another, say, 40 days or so. It will definitely be going to happen. So, with that happeni ng, we will go back to around 120 days and then from there on, there are a number of stuck payments and we are not going, as I have told that in projects, we are not overexposing ourselves. So, I think, bare minimum,

we can look at 120 days and from there on, we need to see improvement. But I do not want to commit at this point in time because we are hearing very contrary news about payments and all. So, we need to see how it actually works o ut.
Shirom Kapur : Got it, sir. And if you could just comment on the Maharashtra L1 tenders, is there any update on

that? They are going on for rebidding. So, any comment on those Maharashtra tenders which L1
and earlier, any update on that?
Paramasivan Srinivasan : Earlier, L1, both the Pune Ring Road and Nagpur -Gondiya, both are going for rebid, which we had communicated in the earlier quarter itself, it is likely to go for rebid. Now, they have informally advised us and also asked us to collect the EMD guarantees and all back. Both of these are going for rebid. Therefore, we have removed it from the L1 status also, those jobs.
Shirom Kapur : Okay, sir, but no visibility on the timelines of the rebidding process, when it might come up and how is the competitive intensity in those projects going ahead?
Paramasivan Srinivasan : We expect Pune Ring Road could come for bidding in the current quarter itself towards the June or so, because Pune Ring Road , the land acquisition is almost completed. With respect to Nagpur -Gondiya, I think visibility will come once they do the land acquisition fully. So, Pune Ring Road could come up for bidding shortly.
Shirom Kapur : Got it, sir. Thank you so much. All the best. Thank you.
Moderator: The next question comes from the line of Mudit Bhandari with IIFL Capital. Please go ahead.

Mudit Bhandari: Hi, sir. I just wanted to get a more sense upon when we say we have 79% of our order book from government and majority of our current issues are coming from this side. So, I know you don't provide any specific bifurcation but any range where you can give h ow much it is from central government or any specific states like you mentioned one of them as UP or any PSUs ?
Hitesh Singh : Yes, of our pending order book, close to 50% is from state government. I mean around 80% is from government side and out of that 50% is state government and 50% is from the central government. That is how the breakup is. And out of state governments, we have projects in Maharashtra, Uttarakhand, Madhya Pradesh, Rajasthan, UP, Bihar. So, across multiple states, we have exposure in our pending order book. And with regards to st uck payment, the main, as our CFO already explained, it is from the Jal Jeevan. Rest everywhere, there are certain liquidity concerns but not anything specific to be highlighted or pointed out.
Mudit Bhandari: Okay, understood, sir. Thank you so much.
Moderator: Thank you. The next question comes from the line of Bala Subramanian with Arihant Capital. Please go ahead.
Bala Subramanian : Good afternoon, sir. Thank you so much for the opportunity. On that Chennai Metro TTA JV, that 659 crore in variation due to unforeseen geological conditions. Could you please explain what it is exactly and whether the geological conditions were indeed foreseen based on the initial investigation? I am just trying to understand how do you look at whether it will come as a provision or is there any possibility to so rt out this ?
Ramesh Jha: See, it would be project specific, we would not like to discuss here. But since you have raised this point, I am not talking about specific about that project. But generally, what happens that in any contract, if there is a contract clause which allows variation accounting, and we have incurred any variation as per the instruction of the customer, then we account fo r those variations. In normal course, what happens that the customers many a times, they will settle the amount for those variations across. But in some cases, it so happens that we are not reaching any agreement with the customer on the settlement amount. And in such cases

, what we do,
irrespective of whatever we may claim, in our books, we account for revenue only to the extent of cost we are in curring. So, that is a mere reimbursement we are looking at. And that is the amount which is getting reflected in the specific project you have talked about.
Moderator: The next question comes from the line of Bhavin Modi with Anand Rathi Group . Please go ahead.
Bhavin Modi: Thank you for the opportunity. So, my first question is, I understand that we are now doing the work in proportion to the payment that we are receiving. So, can we see debt levels to go down from here on? We are already at the pre -IPO level debt of 35 billion. So, how should we look at the debt movement going forward?
Ramesh Jha: See, what happens that generally we have seen that in Q1, Q2, the debts go up. And I mean, even though we have said this, that from the project only we will be funding, but not all the time, all

the expenditure will be funded through the project collection. Main operations, yes, but then many a times we need to pay salaries, we need to pay rent, and those kinds of stuff, we are not hell-bent. So, there could be some marginal debt number going up and down, that is for sure. But one thing for sure we can tell you that for this financial year FY27, we will see a sizable drop in the debt number. And that's what we have stated also that debt, we have al ways tried to maintain it at a level which is comfo rtable to us and comfortable to our stakeholders. And this time it is not that this is an alarming number, on a gross debt basis also our debt -to-equity is around 0.65, on net debt basis is below 0.5, according to me it is quite a comfortable situation.

But having said that, we will bring it down to a lev el what we were there say in FY25 or so.
Bhavin Modi: Okay, and the second question sir, again relating to this, obviously our net debt -to-equity is at comfortable 0.5x, but last two years our cash flow from operations were negative, and we were actually paying the interest cost by taking the more debt, which is a vicious cycle. So, what gives us the confidence that the debt levels will go down?
Ramesh Jha: See, it's a call, it's a calibrated call, and maybe those kinds of concerns can arise when your debts are at an alarming level. And in the past, we have operated at a debt -to-equity of more than say around 1.3, 1.4. At the moment, even on a gross debt basi s, we are at around 0.65. So, it's not that alarming level, and we are at a very comfortable situation, we have got a sizable cash and bank balances, we have got sizable undrawn bank limits available with us, and we have got very sizable advanc es which we can draw at any point in time. So, I don't think we are at that kind of a situation. And in terms of finance cost and all, what we had planned for the year, maybe marginally we are higher, but it's not that it is out of blue. You know, we are incurring some more cost on account of borrowing .
Bhavin Modi: Okay, got it, sir. Thank you.
Moderator: Thank you. Ladies and gentlemen, we will take that as the last question for today. I would now like to hand the conference over to the management for the closing remarks.
Ramesh Jha : No, we can take more questions.
Paramasivan Srinivasan : See, we are seeing that three more are there. We will continue and close it.
Moderator: Okay, sure, sir. The next question comes from the line of Avnish Tiwari from Vaikarya Fund . Please go ahead.
Avnish Tiwari: Hi, can you explain this cost inflation passed through in the domestic projects? And the delayed payment when you are experiencing, do you think there could be a risk to the passing inflation through in these domestic projects?
Paramasivan Srinivasan : All our domestic projects have an escalation formula. The formula could vary from customer - to-customer, but it has got an escalation formul

a consisting of steel, cement, labor, fuel, other factors, and all that. And based on that, whatever is the increases on in some cases, it is fully covered. Some cases, it is 90% covered. Some cases, it's more than 100% covered. So, that's a

formula. Therefore, generally, any kind of increase in the domestic contracts, there have been no issues in terms of cost increases, except in sometimes when there's an abnormal increase, like happened in 2004 -05, there was suddenly an abnormal increase in the pric e of steel. From that of INR 17,000, it went up to INR 65,000 over a period of one year. So, unless that such kind of situation, normally it is manageable within the escalation formula. Internationally, most of the contracts are fixed -price contracts, barring some exceptions here and there. And for international price, we have a well -developed escalation formula. Normal price increases get absorbed over to that formula, which we put inter nally in the pricing itself, we do that. In Croatia, which is our biggest contract to date, is something where up to 10% of cost increase , we need to absorb. Beyon d that, it has a pass -through. So, therefore, everywhere we are properly provided for, we will see comparatively limited impact.
Moderator: Does that answer your question, Avnish ?
Avnish Tiwari: Yes. The second question I had was on this minimum wage increases we are seeing, and some protests we are seeing in Northern states. Are you experiencing the cost increase as well as some degree of shortage or protest in any of your sites in India?
Ramesh Jha: So, we are not seeing that kind of situation. Whatever minimum wages and Labor Code related increases, we have already factored all that. So, we are going ahead as per the revised code.
Hitesh Singh : And Avnish , labor issues are across the board, so that availability we are trying to manage, how it can be managed. But yes, there is an availability issue of the labor part, but not protest, nothing like that.
Moderator: Okay, great. Thank you. Thank you. The next question comes from Shravan Shah with D olat Capital. Please go ahead.
Shravan Shah: Hi, sir. Thank you for the opportunity. Sir, you said that we have bided for a couple of projects where bid is yet to open. If you can specify what's the number and also how much is in India and how much is outside India?
Paramasivan Srinivasan : It will not be appropriate for me to mention the bidding values, amounts, and other things. More or less, we would say that we are reasonably confident of achieving this INR 30,000 crore order book guidance. And in terms of domestic international split, it could be roughly about 40 :60 or so. Domestic will be around 60, international will be around 40. Depending on which order we get, it could get shifted also in terms of percentage
Shravan Shah: Got it, sir. And sir, now, just to clarify the CAPEX number that we have said INR 1,069 crore, but in the cash flow, that number is lower. So, obviously, the cash outflow will be happening or may would have happened in the Q1 FY27. So, given that, the depreciation over the capital W IP, I hope mostly it would be related to the TBM. So, how one can look at this INR 100 crore

quarterly depreciation that we have seen in Q4, a broader sense how one can look at, how it can
inch up for FY27?

Ramesh Jha: Yes, FY27, it will be the similar number, maybe marginally it will be up from because you yourself have said that these CAPEX, whatever TBM, we have added INR 1000 odd crore. So, that is going to get added in the gross block. And so accordingly, there will be some incremental depreciation, but it will be in line with FY26 and plus some increase towards all these additions.
Shravan Shah: Okay. And sir, is it possible to break it down the other income for FY26, INR 374 odd crore, the way we giv

e in the Annual Report ? So, two heads that I am trying to look at. So, one is obviously the interest income, that is one is obviously the arbitration one and the other one is the other interest and what would be the balance? So, balance I can minus it, but these two numbers, if you have for FY26, what would be the interest on arbitration awards? And what is the other interest in other inc ome?
Ramesh Jha: So, that is the arbitration interest is INR 19 crore and other interest is INR 61 crores.
Shravan Shah: Okay. So, put together only INR 80 crore is the interest part is there out of INR 374-odd crore s?
Ramesh Jha: Yes.
Shravan Shah: Yes. And just one more thing in terms of when we mentioned in previous answer that INR 260 crores to INR 265 crore is kind of a one -off provision that was there in the 4Q. Till now in Q1, any broad sense that how much, because the way we consider arbitration as a normal part of our business, this provision one should be considering as a normal part of busines s and not kind of a one -off. So, it depends how one can look at, but just trying to see in till now, have we kind of done any kind of provision in Q1 till now or likely to be there?
Ramesh Jha: No.
Shravan Shah: Okay. Got it, sir. Thank you. Thank you.
Moderator: The next question comes from the line of Shrinarayan Mishra with Baroda BNP Paribas Mutual Fund. Please go ahead.
Shrinarayan Mishra : Thanks for the follow -up. Sir, I wanted to know on the Croatia order that road projects got cancelled due to budget constraints. So, for the railway projects, do you feel there might be collection issues going forward or I mean, how do you see that?
Paramasivan Srinivasan : ECB has already approved the entire amount, and funds are already there with them. Therefore, we don't find any issues. Even with respect to road projects also, there is an ECB approval for the funding up to a value because there were a series of tenders, not these two tenders alone, there were oth er tenders as well. As all were higher between 20% to 45%, they decided they will cancel the tenders and revise the estimate, get the approval from ECB and then go for fresh bid. That is th e reason it got cancelled. This one has already been approved by the ECB and all the others.
Shrinarayan Mishra : Got it. And sir, in terms of L1 orders, do you feel any other orders are also at risk of cancellation?

Paramasivan Srinivasan : No.
Shrinarayan Mishra : Okay.
Moderator: Thank you. The next question comes from the line of Ankita Shah with Elara Capital. Please go ahead.
Ankita Shah: Sir, just to follow up on inflow side, given the pipeline of projects that you have and the L1 position pending as of date, what is the visibility on inflows for 20 27?
Paramasivan Srinivasan : You mean order inflow?
Ankita Shah: New order inflow s, yes.
Paramasivan Srinivasan : New order inflow, we have indicated INR 30,000 crores, out of which we have already received INR 8,000 crores and another about INR 7,000 crores were L1 and further INR 15,000 crores.
Total INR 30,000 crores is the guidance for the year.
Ankita Shah: And largely these will be orders in India or are you looking at other geographies also for the same?
Paramasivan Srinivasan : It will be a mix of both.
Ankita Shah: Equal split?
Paramasivan Srinivasan : Roughly about 60% domestic, 40% international for the balance of the orders.
Ankita Shah: And international will be similar geographies where you are present currently or you are exploring new areas?
Paramasivan Srinivasan : No, mostly it will be similar geographies.
Ankita Shah: Okay. And in this Middle East rebuilding or reconstruction activity that could be there, in your assessment, how big could be that opportunity?
Paramasivan Srinivasan : Already Abu Dhabi has expressed $55 billion and similarly other opportunities could come up.
Bahrain

is quite deeply impacted. So, at this point it is too premature because even in terms of timeline of reconstruction also, we need to see from the second ha lf only it could start. So, therefore, today we have not factored in the reconstruction part of it in our assessment.
Ankita Shah: Okay, sir. Yes, sure. That's it from my side. Thank you and all the best.
Moderator: Thank you. The next question comes from the line of Shirom Kapur with Jefferies Group . Please go ahead.

Shirom Kapur : Hi, sir. Thanks for the follow -up opportunity. Just to clarify the INR 8,000 crore orders that you mentioned, these are already confirmed orders that would be part of your order book. And if you could give some color on which orders these are, just if you could explain.
Hitesh Singh : Yes, sure. Out of those INR 8,000 crores confirmed, INR 373 crores is already part of our order book. Croatia, we have not taken in our order book yet.
Shirom Kapur : Okay. So, just to understand…
Paramasivan Srinivasan : INR 373 crores of DMR C and INR 7,544 of Croatia are the orders in that INR 8,000.
Hitesh Singh : Yes, but in our pending order book, we have not taken the pending order book.
Paramasivan Srinivasan : No, 31st March we have done. These are 1st Quarter .
Shirom Kapur : Right, sir. So, then, so this would be your INR 8,000. And you mentioned that you have clear visibility in case of 50% of the INR 30,000 crore order book.
Paramasivan Srinivasan : Another two orders were only L1, where Vadhvan is the public knowledge and it's around INR 5,300 crores. There is one more job where we are L1, which is the rest of the amount.
Shirom Kapur : So, that will be the balance that makes up, that will be about INR 1,700 crores to make up the total INR 15,000 that you are talking about.
Shirom Kapur : Okay. Understood. Thank you.
Moderator: The next question comes from the line of Abhinav Kotiya with ICICI Securities. Please go ahead.
Abhinav Kotiya: Yes, sir. Thanks for the opportunity. Just one question. You mentioned about the Pune Ring Road coming up in Q1. What could be the opportunity size over there?
Paramasivan Srinivasan : Most likely, they are awaiting the cabinet approval. It could be around the similar size, whatever they have made earlier. What they are trying to do this time is, instead of going a basic number and then go for above the estimate and all, they've updated the estimates and calling for the bid.
Abhinav Kotiya: Understood. Thank you, sir. Thank you.
Moderator: The next question comes from the line of Siddharth Suren with FirstRand India. Please go ahead.
Siddharth Suren : Thanks for the opportunity. So, two questions. One is on, there is this invocation of Lombard Guarantee , which you had mentioned as one of the note items. Just wanted to understand if there is any impact on the earnings for the quarter on account of that. So, that is one. And second is on the buildup of contract assets. So, you had earlier guided that there would be a liquidation, which we can see on buildup of these contract assets as the billing would be certified and so on but basis the commentary we understand that that is taking some time. So, can you still give us

some guidance as to when we can see the liquidation of the short -term contract assets in the future?
Ramesh Jha: Yes. So, on your first question, Gabon, so, Gabon, we have already paid that bank guarantee invocation. And in that contract, anyways, we were not recognizing any margin and whatever was to be provided, we have already provided for the expenses. And as we have communicated earlier, we have close to 92% or so we had completed the project. So, since the contract at the moment, we are not recognizing anything as such thereafter. Now, coming to your second question of liquidation of some of the contra ct assets

, as I explained that some of the receivables,
we were in the March itself, we were looking at liquidation and it could not go through. We are looking at those liquidation, maybe say by June, we should see a sizable liquidation in the range of say INR 1000 odd crores. So, with that, we will see that getting realized. And also, we can look at reduction in number of working capital days, which we are looking at elevated number of 143.
Siddharth Suren : Thank you.
Moderator: The next question comes from the line of Avnish Tiwari with Va ikarya Fund. Please go ahead.
Avnish Tiwari: Hi, just a quick follow up. These delayed payments you experienced in government projects, did you also experience the same in private side in India?
Ramesh Jha: Private side, we have not seen that.
Avnish Tiwari: And the government side, it's mostly state versus centers or across the board?
Ramesh Jha: It is, I think, it is across the board.
Avnish Tiwari: Okay. Thank you very much.
Ramesh Jha: Thank you.
Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to the management for the closing remarks.

Paramasivan Srinivasan : Thank you very much, all the analysts, investors, and our friends from the industry. And we look forward to an exciting period ahead. Stay invested. Thank you.

Moderator: Thank you, sir. Ladies and gentlemen, on behalf of DAM Capital Advisors, that concludes this conference call. Thank you for joining us and you may now disconnect your lines.